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Global eCommerce

The Agentic Era: Catalyzing Growth and Innovation

With innovation in discovery & purchase pathways, we see agentic commerce further powering online retail. The sector de-rated amid disruption fears, but our adoption and incrementality frameworks drive a more constructive view, and we identify platforms positioned to capitalize on the agentic era.

Tech Diffusion
A Morgan Stanley Research Key Theme of 2026

Agentic commerce can reduce friction and power the secular shift online; our proprietary model shows a US$7 trillion eCommerce opportunity by 2030, with a +9% CAGR accelerating from +7% 2021-2025 growth. We identified in November that **Agentic Shoppers Are Coming**: From assisted search to autonomous purchasing, AI-driven commerce agents are increasingly acting as personal digital shoppers, with the ability to research, manage, and ultimately transact online purchases on behalf of consumers. We see this as the next evolution in a three-decade eCommerce path of lower friction, broader supply, faster logistics, and more personalized discovery. ***What's new inside?*** We expand our earlier frameworks, now with global agentic sizing & regional developments, incrementality-versus-cost scenarios, and a company scorecard uncovering relative positioning. In our Global eCommerce model (***our Industry Model file can be shared upon request***), we forecast online gross merchandise value reaching 27% penetration of retail sales in 2030 (22% in 2025). As agentic tools improve the shopping journey, we see scope for higher conversion, greater repeat purchasing, and further penetration gains, particularly as consumers move from AI-assisted discovery toward more automated purchase workflows.

We see >20% of GMV having an agentic influence over the next 5 years, estimating a ~6% TAM uplift as these offerings unlock new eCommerce use cases; company disclosure, AlphaWise data, and incrementality frameworks inform our views. Early adoption is sizable, with 300mn+ customers using Amazon's Rufus (now Alexa for Shopping) and ~140mn for Alibaba's Qwen AI-driven shopping experience (Feb 2026), per company disclosures. AlphaWise survey data show 30% of China consumers used AI to shop for products in the past month, while 24% in Mexico and 12% in Brazil reported past three month usage. In our five-year base case, we see nearly two-thirds of shoppers engaging with agentic commerce, with one-third of their GMV having an AI search & discovery touchpoint, implying >20% of industry GMV is materially agent-influenced. We estimate a smaller subset of ~8% of GMV having a higher level of agent task execution (i.e., basket building, checkout initiation), and ~2% becoming autonomous with agent-to-agent negotiations. Applying different levels of incrementality, higher for more autonomous use cases, we build to a ~6% agentic uplift to the five-year eCommerce

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TAM, with a ~1.5% to ~15% bear-to-bull range. Our base case annualized impact aligns with our call for +2pp of accelerated industry growth versus 2021-2025 levels, with the industry benefiting from agentic uptake and diffusion of other GenAI initiatives.

We see scaled eCommerce platforms positioned to control much of the agentic journey, contrary to market concerns. Early uplift data and our LLM cost analysis point to an accretive ROI on incremental AI-driven sales. Leading eCommerce platforms have largely favored their own on-site agents and selective discovery partnerships rather than handing over catalogue access, checkout, and customer relationship control to generalized LLMs. We believe this reflects the continued importance of retail fundamentals (i.e., inventory, fulfillment, post-purchase service) in shopping decisions, even in the agentic era. Further, early company disclosures increase our conviction that agentic tools are driving measurable purchase uplifts. Amazon cited Rufus users as 60% more likely to complete a purchase, while Lowe's, Sea, Walmart, Wayfair, and Zalando have each cited higher conversion, order value, or purchase actions from AI-enabled shopping tools. Model expenses are an offsetting consideration, while our cost and uplift analyses show incremental contribution profit covering LLM costs by ~2-3x outside our stress case. This is a favorable setup for platforms that control consumers' AI journeys, while the range of outcomes is wider (with greater downside skew) for those relying more on external traffic.

***How to play it?* Our scorecard illuminates AMZN, WMT, BABA, MELI, SE, & Allegro as OW calls where multi-factor data plus analyst views indicate favorable positioning for the agentic era...** Across our global eCommerce coverage we apply the Morgan Stanley "5 I's" framework (Inventory, Infrastructure, Innovation, Incrementality, Income Statement). Our scorecard blends "5 I's" positioning with metrics across scale, direct engagement, ecosystem assets, agent development, and LLM integration. This provides a data-driven framework mapping agentic positioning and opportunities. Notably, our scorecard shows agentic implementation already taking hold: 17 of 35 screened companies have deployed consumer-facing agents, another 7 are actively working on agents, and catalogue integration with major LLMs is emerging, led by US and Asia-based platforms. Scaled platforms screen favorably, particularly those with direct customer relationships, complementary ecosystem services (i.e., logistics, loyalty), and the ability to spread agent development costs across a broad merchandise base.

… creating opportunity for our favored picks as the eCommerce sector has de-rated in part on agentic disruption fears. Sector multiples have de-rated near post-pandemic lows. At 2.4x EV/revenue, the eCommerce multiple gap to Nasdaq sits at -2.9x, near historical wide levels as eCommerce multiples compressed -0.5x in the past year. The market is focused on risks including AI model costs, displacement from horizontal agents (i.e., generalized LLMs), and greater uncertainty for smaller and more vertical-specific operators. While early-stage thematic development drives a wider bull-bear skew for companies towards the lower end of our scorecard, we believe scaled platforms face less displacement risk. The top-six companies in our scorecard, ranked by descending market cap and each OW-rated, are Amazon (**AMZN**), Walmart (**WMT**), Alibaba (**BABA**), MercadoLibre (**MELI**), Sea Limited (**SE**),

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and Allegro (**ALEP.WA**). Across these stocks, we forecast an average +15% GMV CAGR (compared with +12% overall bottom-up GMV growth), +16% revenue CAGR, and +18% EBITDA CAGR from 2025-2028E. The group trades at ~17x 2026E EBITDA and ~13x 2027E EBITDA, with +26% average price target upside. Morgan Stanley analysts highlight five additional OW-rated agentic beneficiaries in the US: Wayfair (**W**), Shopify (**SHOP**), Chewy (**CHWY**), Target (**TGT**), eBay (**EBAY**); and six internationally: Meituan (**3690.HK**), Coupang (**CPNG**), LY Corp (**4689.T**), Mercari (**4385.T**), FSN E-Commerce (**FSNE.NS**), and Temple & Webster (**TPW.AX**). **We believe further disclosure showing agentic AI-driven uplifts could act as a re-rating catalyst.**

***Where could we be wrong?* Lower direct traffic could weigh on platform economics, and fears of horizontal agent share gain could prevent multiple re-rating, while the physical aspects of eCommerce are a partial hedge.** For eCommerce platforms, a key economic risk is that external agents shift traffic away from direct channels and move retail media dollars into horizontal LLM environments. We find GenAI platforms account for <0.5% of average eCommerce web traffic today, limiting near-term risk to earnings. However, trading multiple pressure could persist as fears of horizontal agents inflecting are difficult to disprove. General LLMs' commerce strategies bear monitoring: moves to own the eCommerce stack on-platform risks greater disruption than directing qualified traffic to marketplaces. Yet even if commerce pivots increasingly to horizontal agents, we see the risk more around diluted economics than displacement. Structurally, eCommerce requires the physical movement of goods, including sourcing, fulfillment, delivery, and returns, giving us conviction in the sector's value-add even if the agentic shift proves more disruptive than our base case. While durable pressure to sector trading multiples is a downside risk, we believe the trough starting point drives a favorable skew particularly for our most-preferred names.

Exhibit 1: Key Global eCommerce OW-Rated Calls for the Agentic Era

Company	Ticker	Last Price	Price Target	Upside/ Downs.	EV/Revenue 2026	EV/Revenue 2027	CAGR 25-28e	EV/EBITDA 2026	EV/EBITDA 2027	CAGR 25-28e
Agentic Scorecard Leaders										
Amazon.com Inc	AMZN.O	247	330	33%	3.2x	2.8x	16%	11.9x	8.8x	30%
Walmart Inc	WMT.O	114	140	23%	1.4x	1.3x	5%	21.4x	19.8x	8%
Alibaba Group Holding	BABA.N	112	180	60%	1.5x	1.4x	8%	16.6x	10.8x	7%
Mercadolibre Inc.	MELI.O	1,874	2,450	31%	2.2x	1.8x	30%	22.3x	15.5x	24%
Sea Ltd	SE.N	109	130	19%	1.9x	1.6x	25%	14.8x	11.8x	21%
Allegro.eu SA	ALEP.WA	44	39	-12%	3.7x	3.2x	14%	12.6x	10.0x	19%
Agentic Scorecard Leaders Average				**26%**	**2.3x**	**2.0x**	**16%**	**16.6x**	**12.8x**	**18%**
Agentic Scorecard Leaders Median				**27%**	**2.1x**	**1.7x**	**15%**	**15.7x**	**11.3x**	**20%**
US Key Calls										
Shopify Inc	SHOP.O	126	192	53%	10.5x	8.6x	25%	73.3x	56.5x	34%
Target Corp	TGT.N	134	150	12%	0.7x	0.6x	3%	8.8x	8.4x	6%
eBay Inc	EBAY.O	113	121	8%	4.5x	4.1x	8%	18.6x	15.7x	13%
Wayfair Inc	W.N	89	110	24%	1.1x	1.1x	6%	29.4x	23.9x	23%
Chewy Inc	CHWY.N	20	42	106%	0.6x	0.5x	8%	8.1x	6.6x	25%
US Key Calls Average				**41%**	**3.5x**	**3.0x**	**10%**	**27.7x**	**22.2x**	**20%**
US Key Calls Median				**24%**	**1.1x**	**1.1x**	**8%**	**18.6x**	**15.7x**	**23%**
International Key Calls										
Meituan	3690.HK	83	120	44%	0.8x	0.7x	14%	NM	6.8x	NM
Coupang Inc	CPNG.N	18	28	58%	0.7x	0.6x	12%	NM	15.1x	44%
LY Corporation	4689.T	446	500	12%	1.3x	1.2x	10%	6.8x	6.2x	7%
FSN E-Commerce Ventures Ltd	FSNE.NS	329	321	-2%	9.4x	7.4x	27%	NM	NM	53%
Mercari	4385.T	4,693	5,000	7%	3.3x	2.9x	14%	15.9x	12.8x	29%
Temple & Webster Group Ltd	TPW.AX	5	8	52%	0.8x	0.7x	11%	25.7x	13.4x	38%
International Key Calls Average				**24%**	**3.1x**	**2.5x**	**15%**	**11.4x**	**10.2x**	**33%**
International Key Calls Median				**12%**	**1.3x**	**1.2x**	**14%**	**11.4x**	**9.8x**	**36%**

Source: Factset, Company data, Morgan Stanley Research estimates.
Note: Pricing as of 7/14/2026

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The Agentic Era: 12 Key Exhibits

Exhibit 2: We see a spectrum of agentic commerce offerings from "agent-influenced" AI search to "agent-executed" proactive basket building. We expect consumer behavior will deepen as comfort increases and technology adoption spreads — with reduced friction further driving the secular shift towards online retail

The Agentic Commerce Spectrum

Agent Roles, Consumer Inputs, and Example Use Cases

RECURRING SUBSCRIPTION	ASSISTED SEARCH	ASSEMBLED BASKETS	PROACTIVE PURCHASE	AUTONOMOUS AGENT
Strictly rules-based	Agent offers advice and suggestions	Agent assembles ready-to-purchase baskets	Agent anticipates needs, executes purchases	Agents negotiate pricing, logistics, and terms with other agents
Consumer sets all guidelines	Consumer leads query, follow-ups, remaining purchase steps	Consumer reviews, authorizes, and executes	Consumer sets aim, budgets, scope	Consumer sets objectives
Consumable household products, delivered on a regular interval	Running shoes targeted to the user's needs; replacement parts fitting device specifications	Outfit and accessories for a special occasion; basket of groceries for a dinner party	Annual birthday gifts for friends/family; regular wardrobe refresh during preferred brand sales	Bulk office supplies procurement for business; Used goods C2C marketplace purchase

Agent-Influenced → **Agent-Executed** → **Autonomous**

Source: Morgan Stanley Research

Exhibit 3: Our five-year view implies >20% of eCommerce volumes are materially influenced by agentic tools. Autonomous uptake is a smaller subset (~LSD% of GMV), but more incremental to the TAM

Agentic Commerce: 5-Year Uptake & Incrementality Scenarios

5-Year Uptake

% of eCommerce GMV	**Bear**	**Base**	**Bull**
AI Shopping Penetration	40%	65%	80%
(x) AI-Influenced Share of Shoppers' GMV	25%	33%	40%
Agent-Influenced GMV	**10%**	**22%**	**32%**
(x) Execution Attach Rate	20%	35%	50%
Agent-Executed GMV	**2%**	**8%**	**16%**
(x) Autonomous Attach Rate	15%	25%	30%
Autonomous GMV	**0.3%**	**2%**	**5%**

More consumers will use AI shopping tools over time…
… impacting some, but not all, of their eCommerce purchase journeys.

Of the AI-influenced baskets, a subset will have deeper tool use such as automated basket building, price alert triggers…
… while a further, smaller subset will include autonomous purchases.

Incrementality

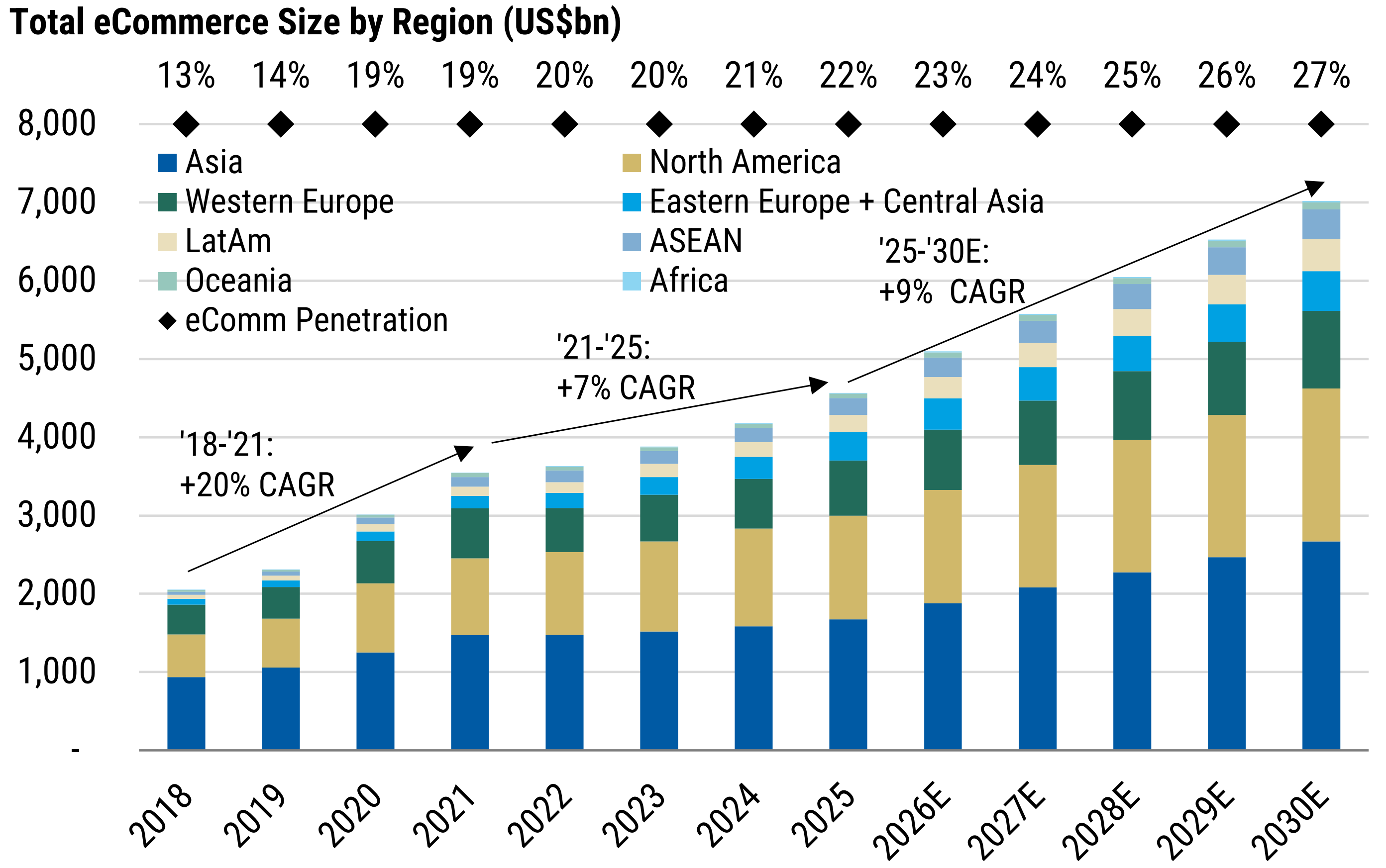
% Incrementality			
Autonomous	40%	60%	80%
Agent-Executed, but not Autonomous	30%	40%	50%
Agent-Influenced, but not Executed	10%	20%	30%
Incrementality to 5-Year TAM	**1.4%**	**6.2%**	**14.2%**
Annual Growth Impact	**0.3%**	**1.2%**	**2.7%**

Autonomous GMV is most likely to be incremental vs the existing eCommerce TAM…

… and influenced GMV less-so, but still incremental through reduced frictions.

Source: Morgan Stanley Research

Exhibit 4: We see a ~6% industry 5-year uplift from agentic (>1pp annualized), or ~1.5% to ~15% in our bull-bear range, supporting our call for global eCommerce to accelerate to a +9% '25-'30E CAGR (from +7% in '21-'25) — reaching a ~US$7.0tn market in 2030



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Exhibit 5: Companies have begun quantifying uplifts from agentic commerce tools, increasing our conviction that there is measurable traction

Agentic Commerce Uplift Commentary

Company	Commentary
Amazon	- 3Q25: "Shoppers using Rufus are **60% more likely to complete a purchase**." - 4Q25: "Rufus helped deliver "**nearly $12 billion in incremental annualized sales** last year."
Lowe's	- 3Q25: "When our customers engage with Mylow online, **the conversion rate more than doubles**." - 1Q26: "The conversion rate for online customers who use Mylow is **triple that of customers who do not use the tool**."
Sea	- 1Q26: "In 1Q26, AI tools supported a **14% uplift in purchase conversion** and **cut cost per customer service contact by ~30% YoY**, with **~80% of queries now handled by chatbots**"
Walmart	- 1QFY27: "Customers using Sparky have an **average order value that's about 35% higher than non-Sparky customers**."
Wayfair	- 3Q25: "Customers who see these designer-quality personalized recommendations are **a third more likely to save, add to cart, or order products**."
Zalando	- FY25: "Zalando's precision in matchmaking has already driven a **13% increase in items added to bags**."

Source: Company earnings releases & transcripts, Morgan Stanley Research

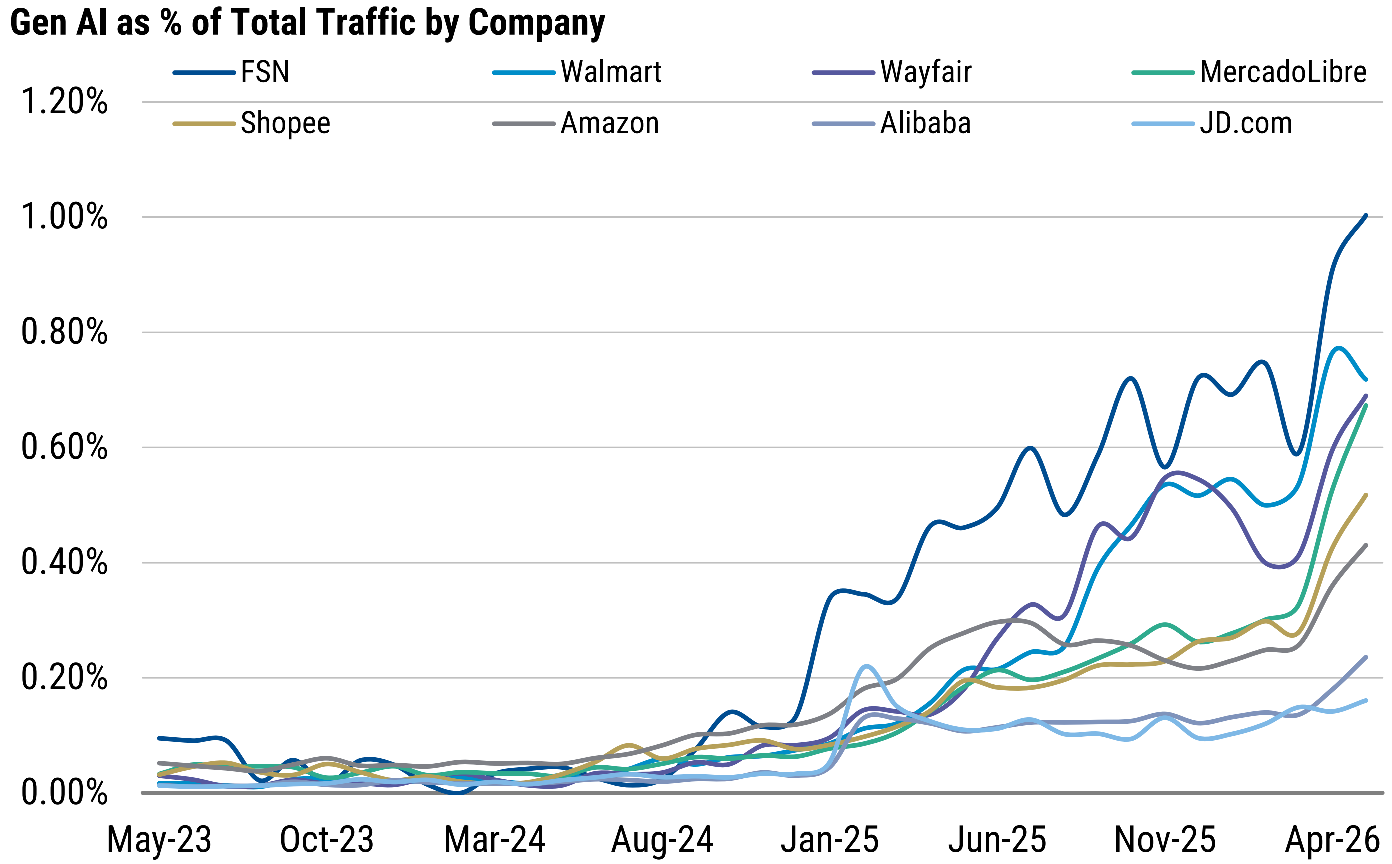
Exhibit 6: Balancing incremental gains to sales & conversion, agentic commerce conversations have associated costs (LLM token usage). We see contribution profit uplifts more than covering costs related to LLMs (outside our stress test case), demonstrating the ROI of agentic AI as long as sales are incremental

Agentic Commerce Cost-Benefit Analysis

	Interaction Complexity				
	Low	Mid	High	Stress Test	
Cost per AI-engaged Shopping Session	$ 0.005	$ 0.027	$ 0.240	$ 0.133	Each AI-engaged shopping session incurs token cost…
Conversion %					
Baseline Shopping Session	3.0%	3.0%	3.0%	3.0%	
AI-Engaged Shopping Session	4.0%	5.0%	10.0%	5.0%	... while the agentic uplift likely scales with interaction complexity …
Incremental Conversion Uplift	1.0%	2.0%	7.0%	2.0%	
LLM Cost Incurred per Incremental Sale Gained	**$ 0.5**	**$ 1.3**	**$ 3.4**	**$ 6.7**	
Average Order Value	$ 20	$ 40	$ 100	$ 40	... and correlates with higher-ticket / more-involved purchase decisions.
x Contribution Margin	8%	8%	8%	8%	
Order-Level Contribution Profit (CP)	**$ 1.6**	**$ 3.2**	**$ 8.0**	**$ 3.2**	
Coverage (Incremental CP vs. LLM Cost)	***3.2x***	***2.4x***	***2.3x***	***0.5x***	Outside our stress test, we see CP uplifts well-covering LLM costs.

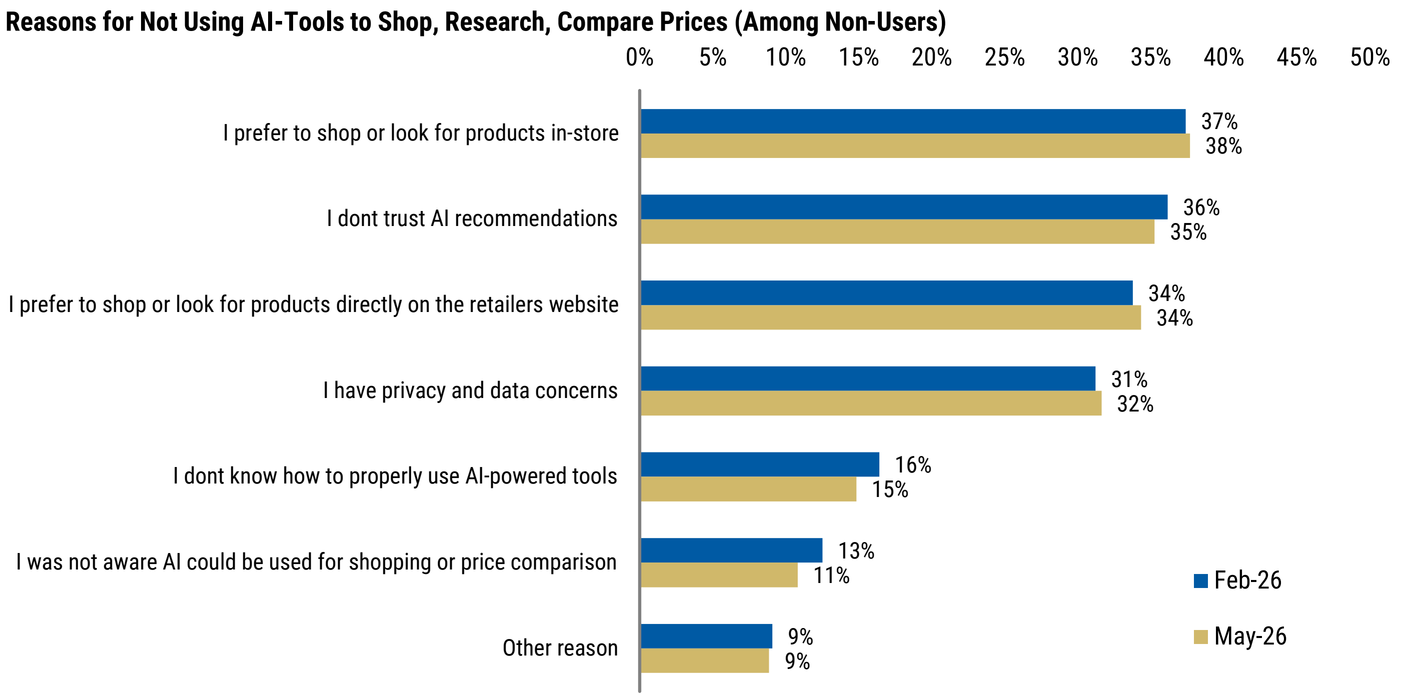
Source: Dynamic Yield, Morgan Stanley Research

Exhibit 7: A shift towards paid traffic (and an associated loss of retail media dollars) risks weighing on profitability. LLM-driven traffic is ramping, but still represents a small (<0.5% average) share of eCommerce platforms' web traffic today



Source: SimilarWeb, Morgan Stanley Research

Exhibit 8: For additional agentic risks, trust/privacy concerns plus legacy shopping preferences could drive slower uptake than we forecast



Source: AlphaWise, Morgan Stanley Research

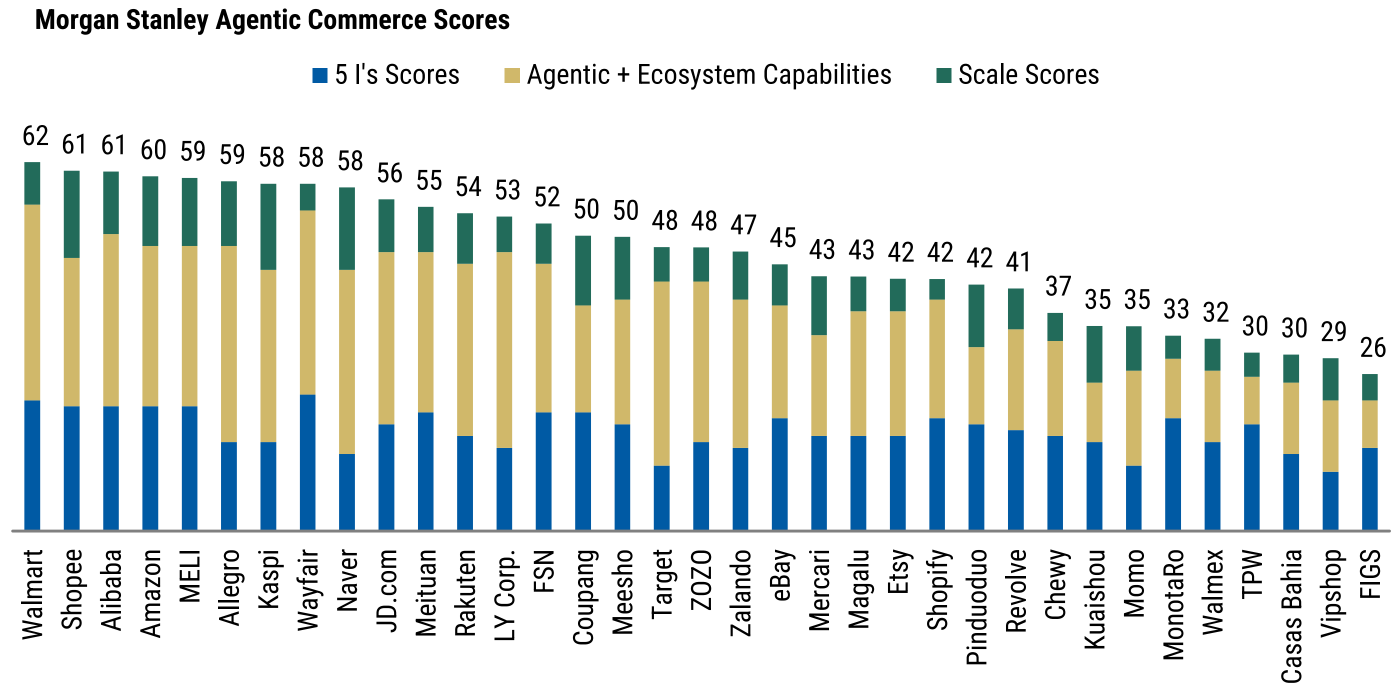
Exhibit 9: How to play it? Our 5 I's framework, extended globally, highlights relative positioning for the opportunities and risks of the agentic commerce era...

Morgan Stanley's 5 I's Agentic Commerce Framework

Company	Inventory	Infrastructure	Innovation	Incremental Growth Opp.	Income Statement / Mg Impact	Total
North America						
Wayfair	5	5	5	3	5	23
Walmart	5	5	5	5	2	22
Amazon	5	5	5	4	2	21
Shopify	4	2	5	4	4	19
eBay	5	3	4	4	3	19
Revolve	3	2	4	4	4	17
Chewy	2	4	3	2	5	16
Etsy	2	2	3	5	4	16
FIGS	5	2	1	2	4	14
Target	3	3	1	3	1	11
Latam						
MELI	4	5	4	5	3	21
Magalu	2	4	3	3	4	16
Walmex	3	4	2	2	4	15
Casas Bahia	1	4	2	2	4	13
EMEA						
Allegro	2	3	4	3	3	15
Kaspi	2	3	4	3	3	15
Zalando	2	4	3	2	3	14
APAC						
Alibaba	5	5	4	4	3	21
Shopee	5	5	4	4	3	21
Meituan	5	5	3	4	3	20
Coupang	5	5	3	3	4	20
FSN	5	3	4	4	4	20
MonotaRo	4	5	2	4	4	19
Meesho	5	2	3	4	4	18
JD.com	4	5	3	3	3	18
TPW	4	3	3	4	4	18
Pinduoduo	4	3	4	4	3	18
Mercari	4	1	3	4	4	16
Rakuten	3	3	4	3	3	16
ZOZO	3	4	3	2	3	15
Kuaishou	2	2	4	3	4	15
LY Corp.	3	3	3	3	2	14
Naver	3	1	4	3	2	13
Momo	1	4	2	1	3	11
Vipshop	1	2	2	2	3	10

Source: Morgan Stanley Research

Exhibit 10: ... and the Morgan Stanley Agentic Commerce Scorecard couples 5 I's scores with additional qualitative and quantitative metrics capturing scale and agentic + ecosystem capabilities. This illuminates the favorable positioning of scaled platforms, particularly those adapting existing strengths towards agentic innovation



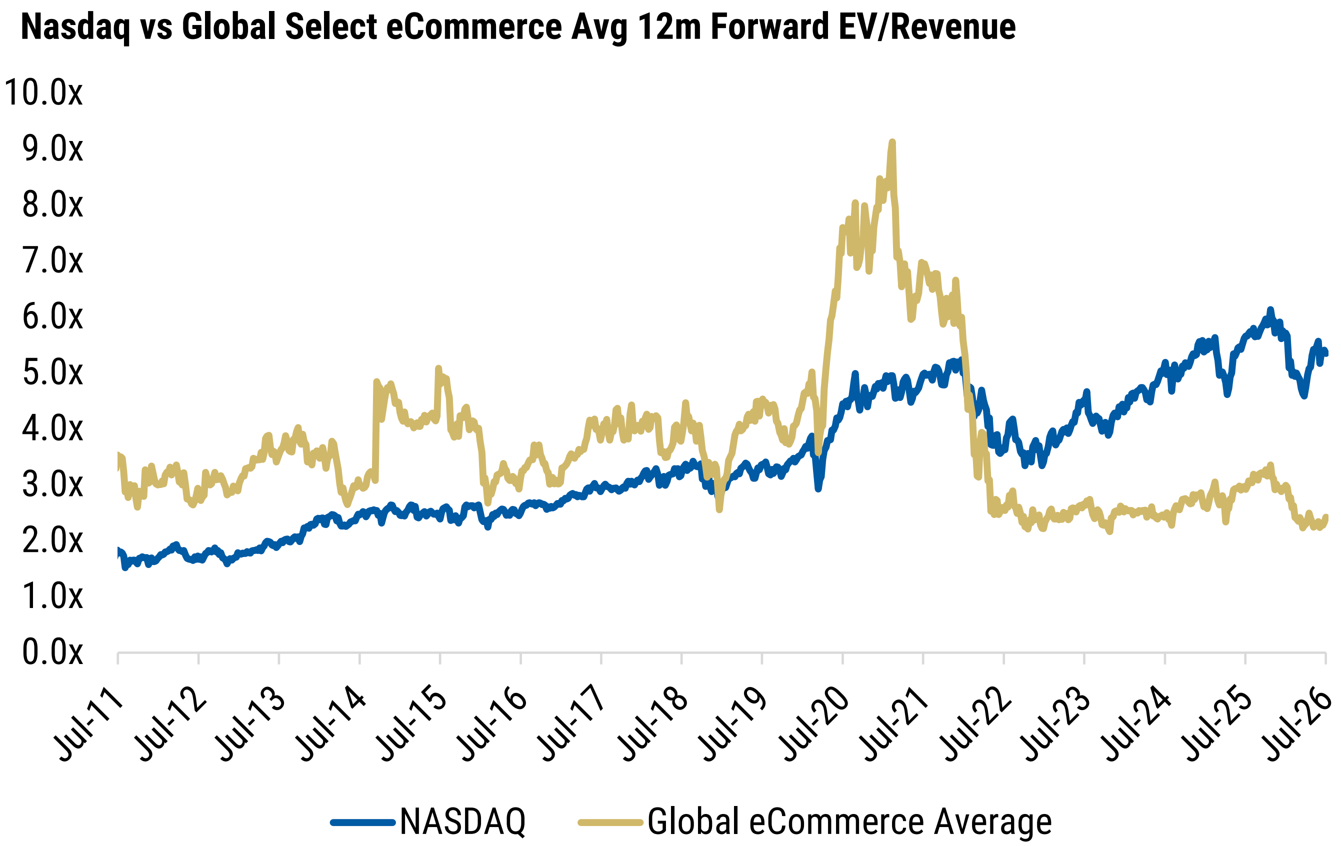
Source: SimilarWeb, Sensortower, Company data, Morgan stanley Research

Exhibit 11: We highlight agentic initiatives and attributes across the top 6 companies in our scorecard, all OW-rated

Company (Ticker)	MS Analyst	Agentic Attributes
Amazon.com Inc (AMZN)	Brian Nowak	• Fulfillment (infrastructure), Prime, and broad selection (inventory) create a durable agentic moat. • Alexa for Shopping shows early traction: 300mn+ users, associated with ~2% of global 4Q25 GMV. • Tough-to-replicate data and logistics assets, regardless whether proprietary or horizontal agents win.
Walmart Inc (WMT)	Simeon Gutman	• Sparky is scaling, with +150% Sparky-attributed GMV growth (1QFY27), ~35% higher AOV from users. • OpenAI and Google partnerships position WMT at the center of an emerging agentic ecosystem. • Omnichannel data supports whole-basket personalization and replenishment.
Alibaba Group (BABA)	Gary Yu	• Qwen AI assistant helps users complete shopping and everyday tasks within Alibaba's ecosystem. • Integrated apps across shopping, payments, etc. enable a seamless path from intent to delivery. • Top tier in-house AI model capabilities support user experience and long-term monetization.
Mercadolibre Inc (MELI)	Andrew Ruben	• Buyer base, data, and direct traffic support MELI as the starting point for search and discovery. • Marketplace, logistics, fintech, and loyalty "ecosystem" support customer relationship control. • Proprietary approach favored, with a Pago fintech agent launched; commerce tools in development.
Sea Ltd (SE)	Divya Kothiyal	• Capital-efficient AI strategy focused on partnerships, applied use cases, and ROI. • Early benefits include purchase conversion uplifts and customer service cost reductions. • Multi-segment collaboration approach drives personalization across Shopee/Monee/Garena/Migoo.
Allegro.eu SA (ALEP.WA)	Luke Holbrook	• Top-five scorecard rank, supported by scale, LLM integration, loyalty, and financial services. • Broad inventory and direct engagement position Allegro well for AI-led discovery. • Logistics backbone provides support and mitigates potential external AI pressures.

Source: Company data, Morgan Stanley Research

Exhibit 12: Our favored global eCommerce stocks are trading near EV/revenue lows and at a wide gap versus the Nasdaq, with the market focused on AI disruption risk...



Source: Bloomberg, Morgan Stanley Research

Exhibit 13: ... while we see an upside setup for companies we believe are positioned to capture the agentic opportunity

Company	Ticker	MS Rating	Market Cap ($mn)	Last Price	Price Target	Upside/ Downs.
Agentic Scorecard Leaders						
Amazon.com Inc	AMZN.O	OW	2,724,023	247	330	33%
Walmart Inc	WMT.O	OW	908,687	114	140	23%
Alibaba Group Holding	BABA.N	OW	278,007	112	180	60%
Mercadolibre Inc.	MELI.O	OW	95,001	1,874	2,450	31%
Sea Ltd	SE.N	OW	69,752	109	130	19%
Allegro.eu SA	ALEP.WA	OW	12,248	44	39	-12%
Agentic Scorecard Leaders Average						**26%**
Agentic Scorecard Leaders Median						**27%**
US Key Calls						
Shopify Inc	SHOP.O	OW	162,325	126	192	53%
Target Corp	TGT.N	OW	61,128	134	150	12%
eBay Inc	EBAY.O	OW	51,201	113	121	8%
Wayfair Inc	W.N	OW	12,214	89	110	24%
Chewy Inc	CHWY.N	OW	8,447	20	42	106%
US Key Calls Average						**41%**
US Key Calls Median						**24%**
International Key Calls						
Meituan	3690.HK	OW	64,650	83	120	44%
Coupang Inc	CPNG.N	OW	31,950	18	28	58%
LY Corporation	4689.T	OW	20,773	446	500	12%
FSN E-Commerce Ventures Ltd	FSNE.NS	OW	9,741	329	321	-2%
Mercari	4385.T	OW	4,774	4,693	5,000	7%
Temple & Webster Group Ltd	TPW.AX	OW	457	5	8	52%
International Key Calls Average						**24%**
International Key Calls Median						**12%**

Source: Factset, Company data, Morgan Stanley Research estimates.
Note: Pricing as of 7/14/2026

Global Executive Summary

The Agentic Era

The Power of Agents

Commerce agents are increasingly acting as personal digital shoppers: researching, managing, and transacting online purchases… In a step forward from the query-and-response model of large language model (LLM) interfaces, ***Agentic AI*** involves a set of autonomous systems that act on a user's behalf, leveraging LLMs to plan and execute tasks with lower or no recurring human interaction. This can include gathering information, making decisions within rules, using tools, and completing workflows. Within this umbrella, ***Agentic Commerce*** is shopping powered by agents that can automate and execute a user's purchasing tasks, or parts of the purchase journey. This can be personalized based on a user's data and a model's memory, and predictive/repeatable based on buying behaviors. Commerce agents can understand intent, help users compare options, and ultimately transact and manage post-purchase flows (Exhibit 14).

… reducing the friction of buying online, further driving the secular shift towards eCommerce. We see substantial power from agentic commerce in ***reducing frictions*** of buying online. From mobile internet access, broader marketplace supply, logistics network enhancements, digital payments tools, and early AI adoption, we see a three decade path of eCommerce improving at a faster pace than offline retail innovates. Agentic opens the next phase, automating tasks that have to-date required active customer efforts, such as searching based on keywords, comparing product attributes, assessing reviews, and deciding on a purchase. Agents can run searches, compare platforms, adapt to individual preferences, and make informed recommendations. Agents can further take on transactional tasks such as building baskets, applying payment credentials, choosing delivery windows, and completing purchases. We see reduced friction translating into higher conversion, and therefore higher GMV and eCommerce penetration.

Exhibit 14: What Can Your eCommerce Agent Do For You?

Source: Morgan Stanley Research

We see a spectrum of agentic commerce offerings and expect consumer behavior will deepen as comfort increases and technology adoption spreads. Capability development likely leads consumer uptake, and step one will not involve automating purchases based on anticipated needs. However, as consumers start in the agentic journey, we believe behaviors can evolve towards lower-friction pathways. Already in the short few years since LLMs have been widely adopted, a search for "men's running shoes" seems outdated when you can ask for "running shoes in size 10 men's with heavy cushion for long distances, priced on-sale between $75-$100 and reviews highlighting comfort". These queries are the start of an agentic commerce journey moving from low autonomy assisted product discovery or rules-based subscriptions to high autonomy where agents execute on purchase goals and conduct more complex negotiations. As consumers become more comfortable with agents' outputs and capabilities, and as agents get to know consumers better (based on purchase behaviors and conversations), we expect consumers will shift deeper into the autonomy spectrum. We highlight frameworks from McKinsey (here) and Deloitte (here) and lay out our view of how agentic commerce behaviors could evolve (Exhibit 15).

Exhibit 15: Over time we expect consumers' uptake of agentic commerce solutions to increase in both frequency and depth

The Agentic Commerce Spectrum

Agent Roles, Consumer Inputs, and Example Use Cases

RECURRING SUBSCRIPTION	ASSISTED SEARCH	ASSEMBLED BASKETS	PROACTIVE PURCHASE	AUTONOMOUS AGENT
Strictly rules-based	Agent offers advice and suggestions	Agent assembles ready-to-purchase baskets	Agent anticipates needs, executes purchases	Agents negotiate pricing, logistics, and terms with other agents
Consumer sets all guidelines	Consumer leads query, follow-ups, remaining purchase steps	Consumer reviews, authorizes, and executes	Consumer sets aim, budgets, scope	Consumer sets objectives
Consumable household products, delivered on a regular interval	Running shoes targeted to the user's needs; replacement parts fitting device specifications	Outfit and accessories for a special occasion; basket of groceries for a dinner party	Annual birthday gifts for friends/family; regular wardrobe refresh during preferred brand sales	Bulk office supplies procurement for business; Used goods C2C marketplace purchase

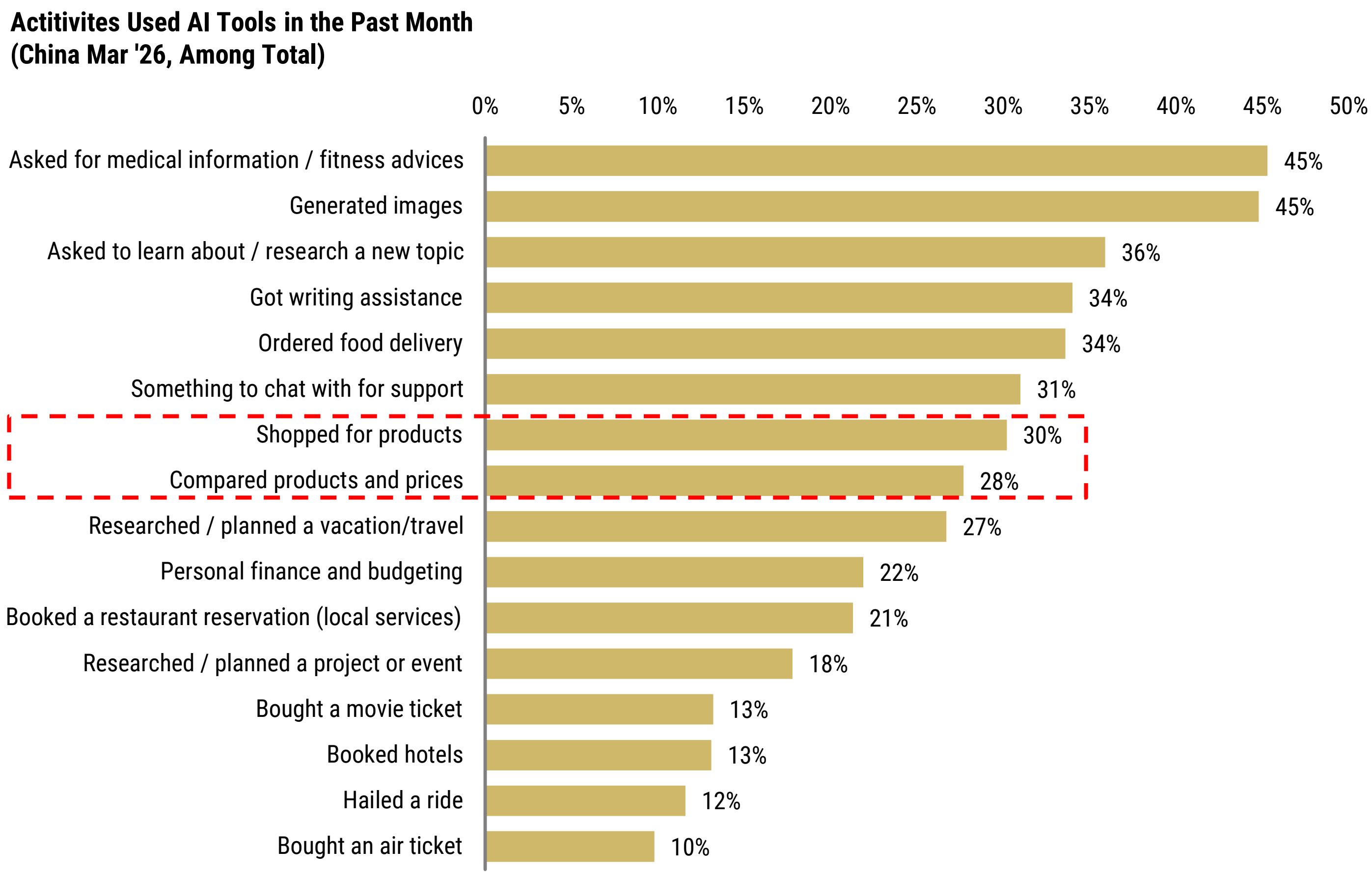
Agent-Influenced → **Agent-Executed** → **Autonomous**

Source: Morgan Stanley Research

Consumer Views: AlphaWise Evidence

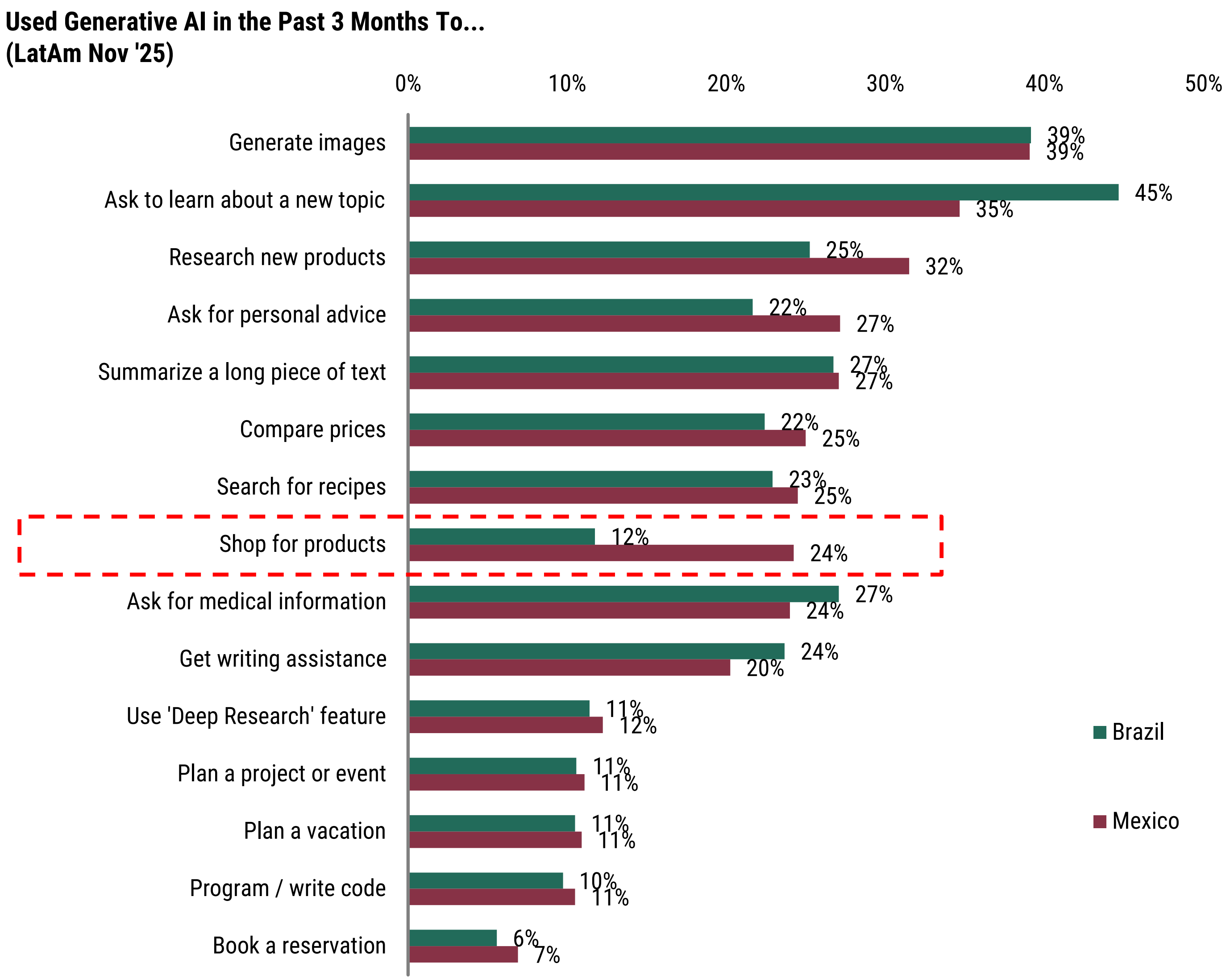
We see growing consumer adoption of AI to shop for products, albeit below other AI use cases and diverging by market. In our recurring AlphaWise surveys across the US (here, conducted May '26), China (here, conducted Mar '26) and LatAm (here, conducted Nov '25), we ask consumers around their use of generative AI tools over the past month (US & China) or past three months (Brazil & Mexico). The vast majority of consumers report some engagement with AI tools, and the top use cases skew towards research (including product comparison), image generation, and writing. Using GenAI to "shop for products" showed divergent stages by market: 30% in China shopped for products using AI tools in the past month alone (Exhibit 16), above 24% in Mexico considering the past 3 months (+6pp y/y) and just 12% in Brazil (flat y/y); see Exhibit 17 .

Exhibit 16: In China, 30% of consumers engaged in AI shopping over the prior month, towards the middle of AI use cases



Source: AlphaWise, Morgan Stanley Research

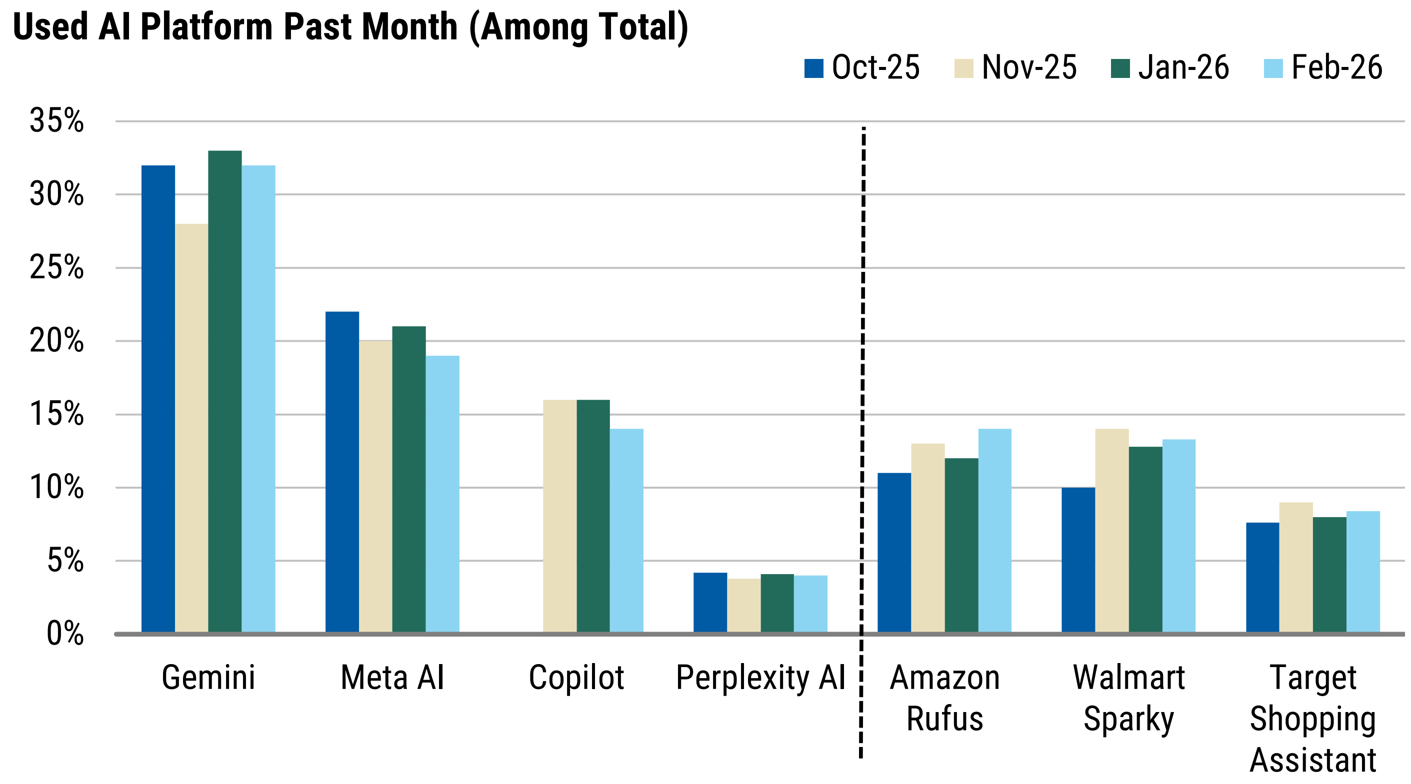
Exhibit 17: AI shopping was similarly towards the middle for use cases in Mexico (24% P3M), but towards the low end in Brazil (12%)



Source: AlphaWise, Morgan Stanley Research

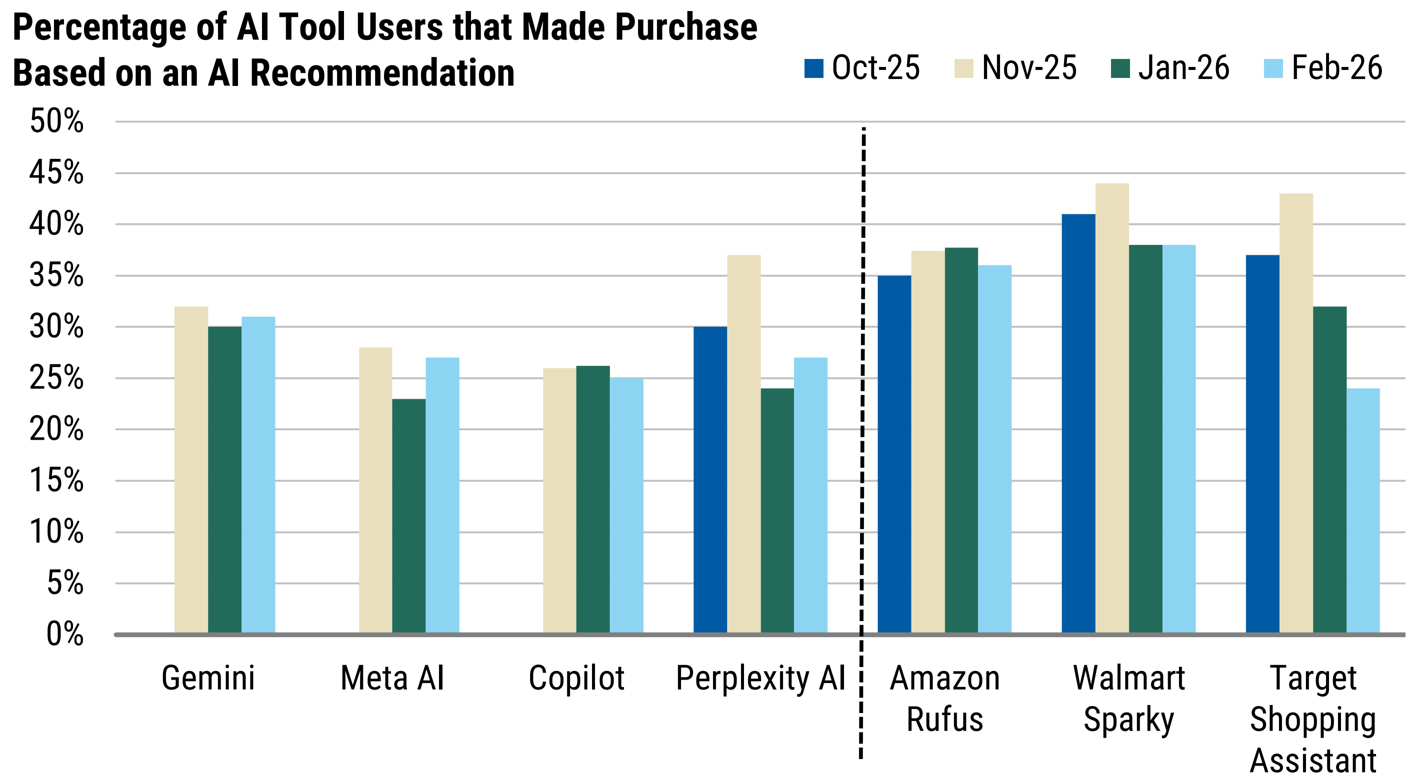
In our US teams' survey, generalized LLMs lead for broad usage, but retailer-specific tools show agentic purchase behaviors at or above generalized platforms. Looking to platform-level trends, as our US Internet and Retail team highlighted in March (here), adoption on large LLM platforms remains higher than retailer-specific AI assistants like Walmart Sparky, Amazon Alexa for Shopping (formerly Rufus), and Target Shopping Assistant given their broader use cases (Exhibit 18). However, retailer-specific agentic purchase behavior rates are at or above those of the broader platforms… speaking to the opportunity for Sparky/Alexa/Target to drive potential incremental growth and share gains if they can drive agentic adoption (Exhibit 19). As retailers continue to partner with AI platforms, we are watching for inflections in both categories.

Exhibit 18: Broader LLM platforms continue to lead retailers' AI tools in overall adoption...



Source: AlphaWise, Morgan Stanley Research

Exhibit 19: ... while retail platforms rank in-line or above generalized LLMs for the proportion of users that made a purchase based on an AI recommendation



Source: AlphaWise, Morgan Stanley Research

Sizing The Agentic Opportunity

Our 5-year view implies >20% of eCommerce volumes are materially influenced by agentic tools, while autonomous uptake is a smaller subset (~LSD% of GMV). We bridge from our agentic commerce spectrum framework to industry 5-year sizing estimates, viewing the prevailing single-point approaches as insufficient to capture the range of agentic behaviors. Our estimates are informed by current adoption data, platform/product launches, AlphaWise survey results, and other technology uptake curves. Consumer AI commerce adoption has already begun, and platforms' capabilities increasingly support this behavior. Our bull-base-bear scenarios are included as Exhibit 20 . **Detailing this bridge:**

- ***We incorporate nearly two-thirds of shoppers using agentic tools in 5 years*** in our base case, informed by AlphaWise survey results and Adobe data (here) indicating 38% of US consumers already having used GenAI for shopping as of July 2025. The initial uptake ramp has been fast, and we expect further traction.
- ***For AI users, we estimate one-third of their GMV is AI-influenced*** (i.e., found via conversational search), implying >20% of 5-year GMV is materially driven by agentic tools. We believe the majority of shoppers will leverage AI tools, but this will be applicable at higher rates for hard-to-find item searches, multi-item baskets, and recurring purchases; less-so when a consumer's target purchase is already well-defined.
- ***Of these AI-influenced purchases, we estimate ~one-third would involve further AI involvement*** such as proactive cart-building or checkout initiation, for "agent-executed" transactions as ~8% of 5-year GMV. We note these agent-executed GMV estimates are similar to the ~10% base case (~20% bull case) penetration assumptions as our US teams outlined in Agentic Shoppers Are Coming, with further category-level support in their agentic commerce model.
- ***We incorporate a further subset of ~25% of agent-executed GMV as fully autonomous***, for ~2% of total 5-year GMV reaching this

definition in our base case. We note an Accenture study (here) found 32% of consumers would let an agent make purchase decisions within defined boundaries while the consumer validates before payment, while only 9% are open to fully autonomous shopping.

The bar for consumer trust and for digital infrastructure is higher when moving further along our agentic spectrum. However, we believe the more value-add provided by agentic tools, the more likely these will represent incremental online purchases. **Coupled with agentic incrementality estimates (higher for more autonomous purchases), we see a ~6% industry 5-year uplift (>1pp annualized), or ~1.5% to ~15% in our bull-bear range.**

Exhibit 20: We see agent-influenced GMV reaching >20% of industry volumes in 5 years; autonomous uptake is lower, but more incremental to the TAM

Agentic Commerce: 5-Year Uptake & Incrementality Scenarios

5-Year Uptake

% of eCommerce GMV	Bear	Base	Bull	
AI Shopping Penetration	40%	65%	80%	More consumers will use AI shopping tools over time…
(x) AI-Influenced Share of Shoppers' GMV	25%	33%	40%	… impacting some, but not all, of their eCommerce purchase journeys.
Agent-Influenced GMV	**10%**	**22%**	**32%**	
(x) Execution Attach Rate	20%	35%	50%	Of the AI-influenced baskets, a subset will have deeper tool use such as automated basket building, price alert triggers…
Agent-Executed GMV	**2%**	**8%**	**16%**	
(x) Autonomous Attach Rate	15%	25%	30%	… while a further, smaller subset will include autonomous purchases.
Autonomous GMV	**0.3%**	**2%**	**5%**	

Incrementality

% Incrementality				
Autonomous	40%	60%	80%	Autonomous GMV is most likely to be incremental vs the existing eCommerce TAM…
Agent-Executed, but not Autonomous	30%	40%	50%	
Agent-Influenced, but not Executed	10%	20%	30%	… and influenced GMV less-so, but still incremental through reduced frictions.
Incrementality to 5-Year TAM	**1.4%**	**6.2%**	**14.2%**	
Annual Growth Impact	**0.3%**	**1.2%**	**2.7%**	

Source: Morgan Stanley Research

Retailer Control and Partnership Models

To-date, we have seen top eCommerce platforms favoring their own on-site agents as opposed to fully integrating with LLM checkout solutions… We believe horizontal LLMs can face challenges around changing consumer behavior, requiring differentiated offerings with incremental utility versus existing eCommerce platforms. Key factors include scaled and curated inventory, ample and diverse reviews, shipping and pricing options, etc. — areas where we see retailers & marketplaces having the embedded edge. Etsy (here & Exhibit 21) in the US has been among the early exceptions, pursuing horizontal partnerships with consumer-facing agents.

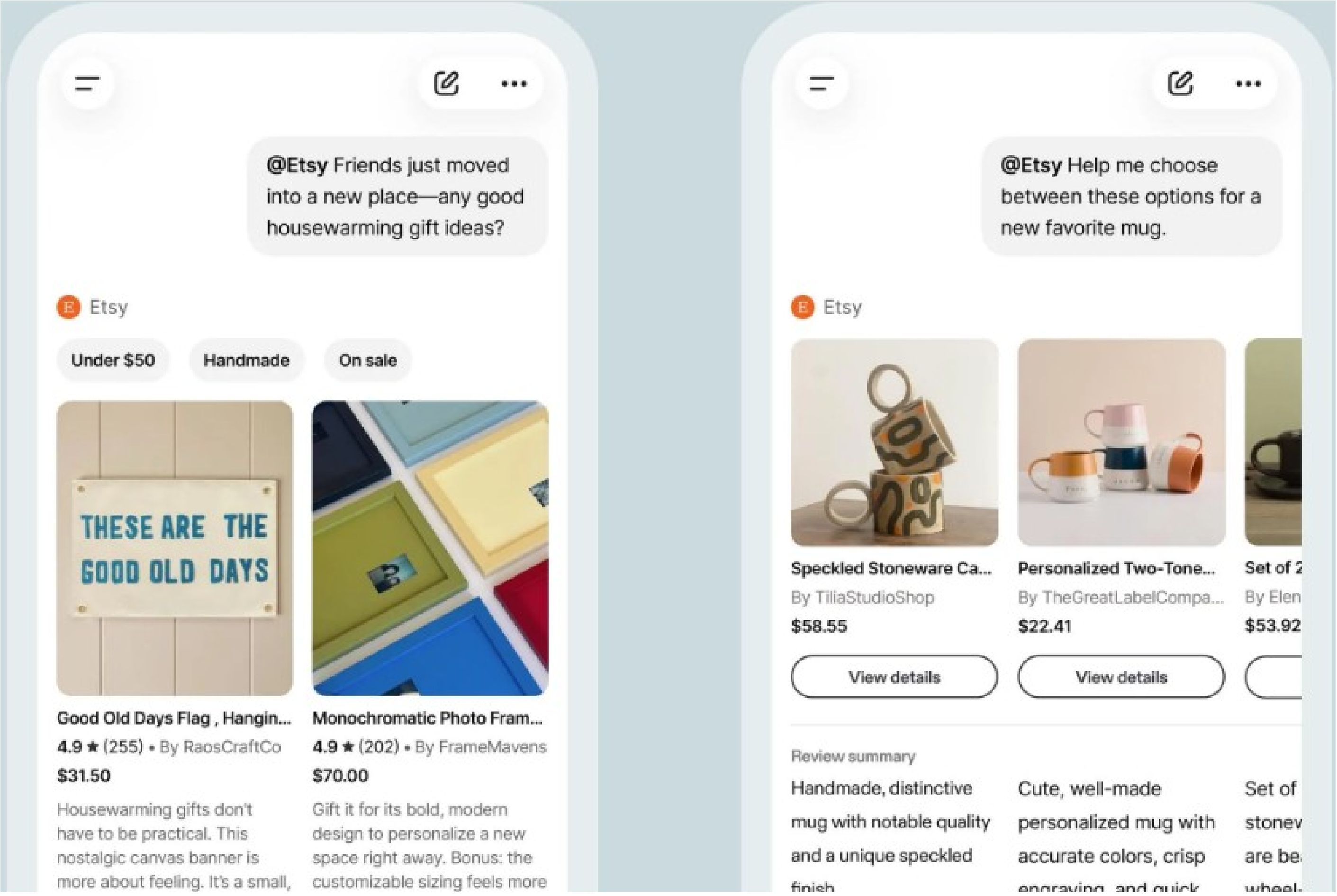
… while we see partnership potential through discovery and through powering retailers' agents.

- As ***MercadoLibre*** management highlighted in a May '26 conference (here), they are focused on consumer principality and having the shopping journey start on their platform. In turn, they suggest limited incentive for a leading eCommerce platform to hand over full catalogue access to a counterpart that could potentially disrupt the consumer relationship. However, while not enabling full LLM catalogue/data access, MELI does want to show up in the search & discovery process, and they keep an open approach towards potential future partnerships.
- For ***Walmart***, as detailed in WMT's Push Into The Agentic Era, management noted that for their AI assistant "Sparky" they are not building their own models. Instead, Walmart cites working with the hyperscalers, translating the best of the technology to Walmart, wrapping this in a retail experience, and then doing what a retailer does best: matching customer demand to retailer availability.

We believe these examples are relevant as they show generalized LLMs do not need to house the end-to-end agentic commerce journey in order to benefit from this shift.

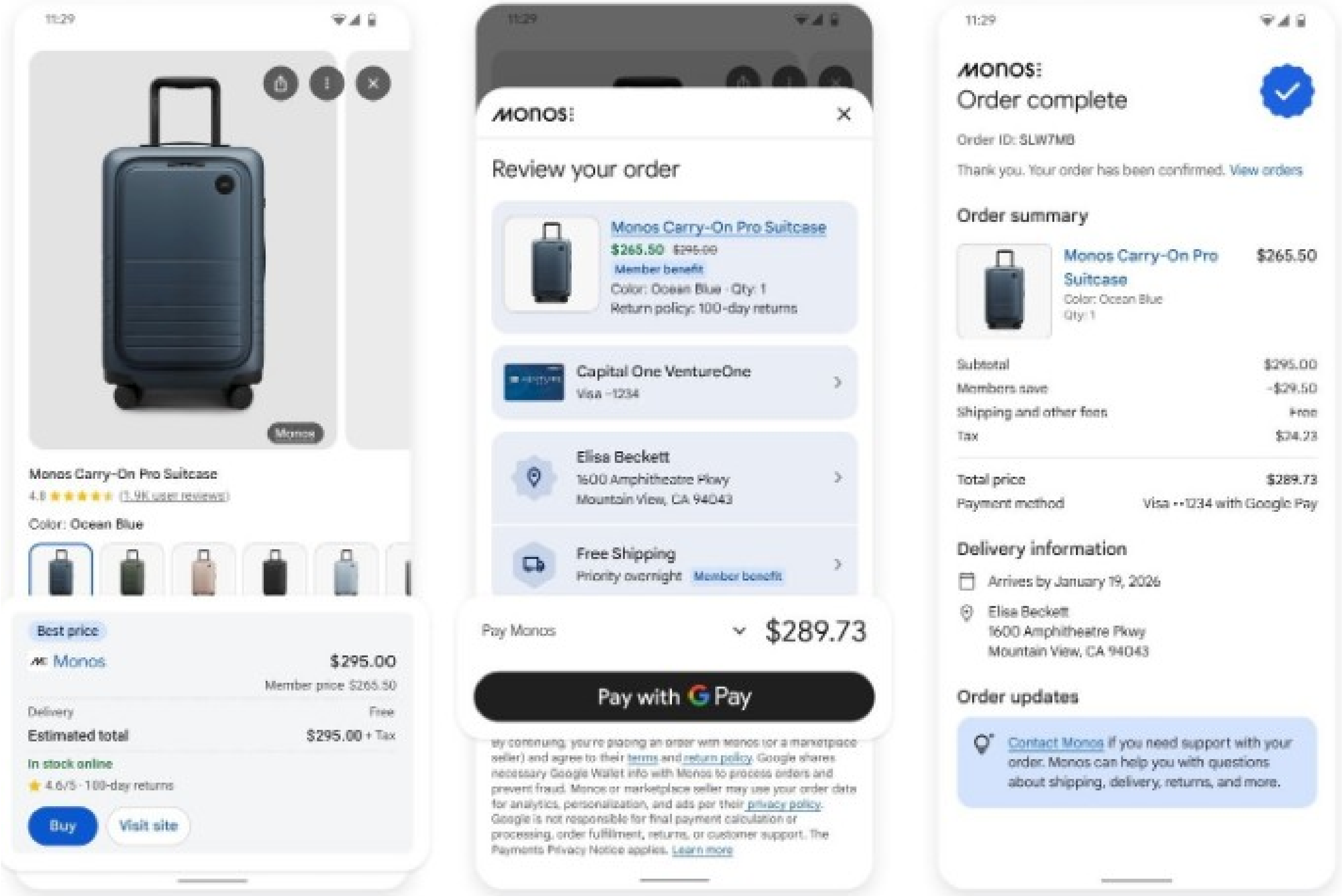
Google's UCP potentially offers a middle ground between retailer-owned agents and LLM-operated checkout. Google's Universal Commerce Protocol (launched with partners including Shopify, Etsy, Wayfair, Target, and Walmart) is positioned less as a closed checkout product, and more as an open commerce standard: connecting consumer search & discovery to merchant back-ends for cart, checkout, and post-purchase flows. Under UCP, businesses remain merchants of record and retain customer relationship control. We believe retailers may initially be more open to integrating with UCP than with direct LLM checkout efforts, as UCP enables AI-led discovery and lower-friction conversion, while still allowing retailers to control areas such as inventory logic, pricing, and fulfillment (Exhibit 22).

Exhibit 21: Select eCommerce platforms such as Etsy have been first-movers in AI shopping integration...



Source: Company website (here)

Exhibit 22: ... while Google's Universal Commerce Protocol (UCP) balances AI-led discovery with retailer control of purchase flows



Source: Company website (here)

Analyzing Agentic Commerce Economics

As eCommerce platforms roll out agentic capabilities, consumers are responding with uptake and greater purchase conversion. With roll-outs and usage accelerating in recent quarters, agentic uptake has increasingly featured in eCommerce operators' quarterly earnings calls. For usage, Alibaba noted ~140mn users with a Qwen AI-driven shopping experience by the end of Feb-2026, and Amazon cited 300mn+ customers using Rufus (now Alexa for Shopping) in 2025. Across these two platforms, their combined agent uptake alone accounts for a MSD% share of the world's population. In addition to usage breadth, companies are beginning to cite uplifts associated with agentic use; we summarize quantified call-outs as Exhibit 23 . Walmart and Zalando cited higher order/basket sizes when using their tools, while Lowe's and Amazon spoke to greater conversion including ***shoppers via Amazon's Rufus as 60% more likely to complete a purchase.*** We acknowledge caveats that AI users may already be higher-intent buyers, and Agentic commerce uptake remains in the earlier-stages, but we see fundamental support for an uplift given improvements to the search and discovery process.

Exhibit 23: Companies have begun quantifying uplifts from agentic commerce tools, increasing our conviction that there is measurable traction

Agentic Commerce Uplift Commentary

Company	Commentary
Amazon	- 3Q25: "Shoppers using Rufus are **60% more likely to complete a purchase**." - 4Q25: "Rufus helped deliver "**nearly $12 billion in incremental annualized sales** last year."
Lowe's	- 3Q25: "When our customers engage with Mylow online, **the conversion rate more than doubles**." - 1Q26: "The conversion rate for online customers who use Mylow is **triple that of customers who do not use the tool**."
Sea	- 1Q26: "In 1Q26, AI tools supported a **14% uplift in purchase conversion** and **cut cost per customer service contact by ~30% YoY**, with **~80% of queries now handled by chatbots**"
Walmart	- 1QFY27: "Customers using Sparky have an **average order value that's about 35% higher than non-Sparky customers**."
Wayfair	- 3Q25: "Customers who see these designer-quality personalized recommendations are **a third more likely to save, add to cart, or order products**."
Zalando	- FY25: "Zalando's precision in matchmaking has already driven a **13% increase in items added to bags**."

Source: Company earnings releases & transcripts, Morgan Stanley Research

Agentic commerce conversations have associated costs (LLM token usage), which we size at a US$0.03 per conversation baseline and a range of <US$0.01 to ~US$0.25 depending on transaction and model complexity. While platforms' development of AI commerce tools will have initial build-out costs, eCommerce marketplaces are not training their own foundation models; as such, in general we do not expect outsized project-related expense. Instead, the costs are primarily operating, conversation-related costs. An agentic commerce transaction includes multiple "turns" of input and response between the user and the LLM, starting with a query and moving to refinement questions, product comparisons, and so on. Each turn faces model usage or "token" (text usage) cost related to input processing, product information retrieval, merchant rules, and conversational output. These costs can scale based on the complexity of the user's ask as well as how the platform leverages models (i.e., not using a frontier model for a query of "toasters under $40").

In Exhibit 24 we lay out scenarios for the token cost of an agentic commerce conversation. Token usage ranges are based on our industry discussions and estimate of words processed in each turn (including input/context/output), and token costs ranges are based on LLMs' public API pricing. For simplicity, we model LLM cost using a blended token rate rather than separate input/output/caching line items. We assume a retailer can run most conversational search traffic on lower-cost models, escalating harder queries to larger models. This supports a base-case blended cost of ~US$0.03 per five-turn AI session, with a range of <US$0.01 to ~US$0.25 based on query and model complexity.

Exhibit 24: We estimate a US$0.03 average cost per conversational commerce session, but with the potential to scale up based on interaction complexity

Agentic Commerce Cost Analysis

	Interaction Complexity			
	Low	Mid	High	
Turns per Engaged AI Shopping Session	3	5	10	Each session includes conversational input/output turns…
(x) Words Processed per Turn	2,500	4,000	6,000	… with words processed including back-end instructions plus input/output text…
Words Processed per Session	7,500	20,000	60,000	
(x) Tokens per Word	1.33	1.33	1.33	… with each word processed having a token cost…
Tokens per Session	10,000	26,667	80,000	
Cost per Million Tokens	$ 0.50	$ 1.00	$ 3.00	… and this cost can scale up or down based on model complexity…
Cost per Token	$ 0.0000005	$ 0.0000010	$ 0.0000030	
Cost per AI-Engaged Shopping Session	**$ 0.005**	**$ 0.027**	**$ 0.240**	… combining for our AI shopping session LLM cost estimate framework.

Source: LLM pricing websites, Morgan Stanley Research

Combining our uplift and cost estimates, we bridge to incremental contribution profits well-covering (~2-3x) the incremental cost of

LLMs in agentic commerce transactions. On a unit economics basis, we see AI search as accretive when incremental profits exceed the LLM costs incurred across AI-engaged sessions. We include this analysis as Exhibit 25 , using the cost per AI-engaged session as previously calculated. We use a baseline conversion rate of ~3% (i.e., the proportion of site visitors that complete a purchase) based on data from industry source Dynamic Yield (here). For an AI-engaged session we use an estimated 5% conversion, with an uplift as detailed in prior sections. We include a spread between our low-high cases (4-10% conversion) as we assume that a detailed and multi-step query, while more expensive to run, will also correlate with higher conversion. Allocating the cost per AI-engaged session to *only* the AI-related incremental sales, we see a cost incurred per incremental sale gained of ~US$0.5-3.5. This compares to our order-level contribution profit, or profit gain on an incremental sale, of ~US$2-8 in our low-high scenarios; these illustrative figures reflect profits net of merchandise, logistics, and other variable costs (i.e., payment processing, customer support). In each low-mid-high case, we see the incremental profit covering ~2-3x the LLM costs.

Incrementality is key, as downside occurs if LLM search displaces keyword search, adding cost without adding sales. To this point, we include a stress test case that includes elevated model costs (between our middle and high cases) but only our middle case uplift and AOV scenarios. In this scenario, the cost per incremental sale increases and does not cover the incremental order-level contribution profit. However, we view this stress scenario as less likely than our baseline cases as **agentic experience improvements help mitigate the risk of limited uplift, and model improvements over time could support agentic cost efficiencies.**

Exhibit 25: We see contribution profit uplifts more than covering costs related to LLMs (outside our stress test case), demonstrating the ROI of agentic AI as long as sales are incremental

Agentic Commerce Cost-Benefit Analysis

	Interaction Complexity: Low	Mid	High	Stress Test	
Cost per AI-engaged Shopping Session	$ 0.005	$ 0.027	$ 0.240	$ 0.133	Each AI-engaged shopping session incurs token cost…
Conversion %					
Baseline Shopping Session	3.0%	3.0%	3.0%	3.0%	
AI-Engaged Shopping Session	4.0%	5.0%	10.0%	5.0%	... while the agentic uplift likely scales with interaction complexity …
Incremental Conversion Uplift	1.0%	2.0%	7.0%	2.0%	
LLM Cost Incurred per Incremental Sale Gained	**$ 0.5**	**$ 1.3**	**$ 3.4**	**$ 6.7**	
Average Order Value	$ 20	$ 40	$ 100	$ 40	... and correlates with higher-ticket / more-involved purchase decisions.
x Contribution Margin	8%	8%	8%	8%	
Order-Level Contribution Profit (CP)	**$ 1.6**	**$ 3.2**	**$ 8.0**	**$ 3.2**	
Coverage (Incremental CP vs. LLM Cost)	***3.2x***	***2.4x***	***2.3x***	***0.5x***	Outside our stress test, we see CP uplifts well-covering LLM costs.

Source: Dynamic Yield, Morgan Stanley Research

Agentic Commerce Company Scorecard

The Morgan Stanley "5 I's" framework can help determine the balance of opportunity & risk for retailers in the agentic era. As detailed in Agentic Shoppers Are Coming… Who Could Win or Lose?, the 5 I's are:

1. ***Inventory:*** Unique, competitively priced inventory increasingly important as agentic makes it easier to cross-shop, compare prices, and match unique items to personalized tastes/demand.
2. ***Infrastructure:*** Access to physical infrastructure to quickly & cheaply deliver items along with digital infrastructure to enable agentic sales.
3. ***Innovation:*** Investment/innovation to take advantage of GPU-enabled ML through areas such as better search & discovery, seller tools, external partnerships, etc.
4. ***Incremental Growth Opportunity:*** Ability to drive incremental topline growth and gain market share in a company's addressable market.
5. ***Income Statement and Margin Impact:*** The net impact to a company's margin structure, largely due to risk that agentic cannibalizes higher-margin core business and retail media advertising earnings, but offset by a potential shift in marketing costs.

We apply this framework globally, with relative (1-5) ratings on the 5 I's as shown in Exhibit 26 ...

Exhibit 26: Our 5 I's framework, extended globally, highlights relative positioning for the opportunities and risks of the agentic commerce era

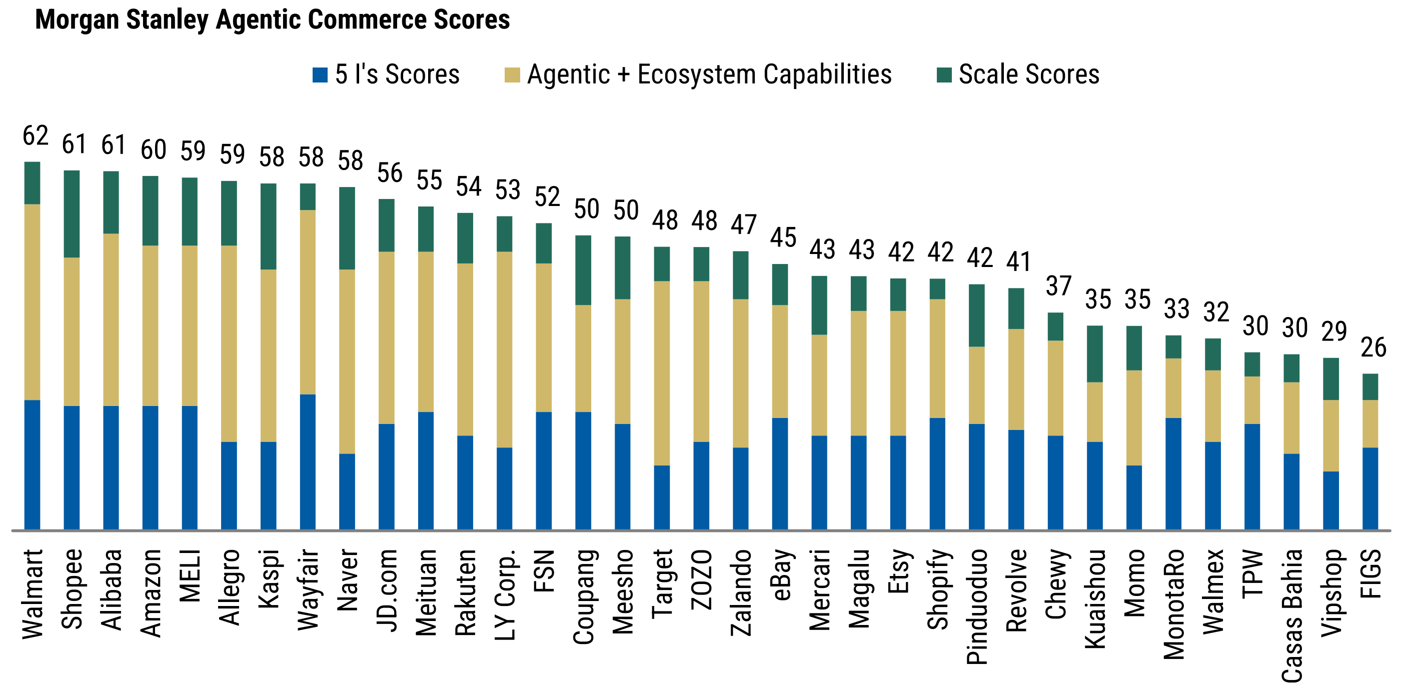
Morgan Stanley's 5 I's Agentic Commerce Framework

Company	Inventory	Infrastructure	Innovation	Incremental Growth Opp.	Income Statement / Mg Impact	Total
North America						
Wayfair	5	5	5	3	5	23
Walmart	5	5	5	5	2	22
Amazon	5	5	5	4	2	21
Shopify	4	2	5	4	4	19
eBay	5	3	4	4	3	19
Revolve	3	2	4	4	4	17
Chewy	2	4	3	2	5	16
Etsy	2	2	3	5	4	16
FIGS	5	2	1	2	4	14
Target	3	3	1	3	1	11
Latam						
MELI	4	5	4	5	3	21
Magalu	2	4	3	3	4	16
Walmex	3	4	2	2	4	15
Casas Bahia	1	4	2	2	4	13
EMEA						
Allegro	2	3	4	3	3	15
Kaspi	2	3	4	3	3	15
Zalando	2	4	3	2	3	14
APAC						
Alibaba	5	5	4	4	3	21
Shopee	5	5	4	4	3	21
Meituan	5	5	3	4	3	20
Coupang	5	5	3	3	4	20
FSN	5	3	4	4	4	20
MonotaRo	4	5	2	4	4	19
Meesho	5	2	3	4	4	18
JD.com	4	5	3	3	3	18
TPW	4	3	3	4	4	18
Pinduoduo	4	3	4	4	3	18
Mercari	4	1	3	4	4	16
Rakuten	3	3	4	3	3	16
ZOZO	3	4	3	2	3	15
Kuaishou	2	2	4	3	4	15
LY Corp.	3	3	3	3	2	14
Naver	3	1	4	3	2	13
Momo	1	4	2	1	3	11
Vipshop	1	2	2	2	3	10

Source: Morgan Stanley Research

... coupled with additional qualitative and quantitative metrics for an 'Agentic Scorecard' across our collective eCommerce coverage. Fundamentally, we see better-positioned platforms with direct engagement (traffic, loyalty), branding (perception, owned/exclusive products), complementary assets (logistics, payments), depth (SKUs, reviews, product data), and innovation culture (agent development). To these points, our scorecard captures whether companies have offerings such as loyalty / fintech / logistics, and whether they are developing agents and/or integrating with LLMs. We also look to scale metrics (market share, and app users relative to the population) and traffic sources. With retail media (advertising) as a debated area of AI impact, we also screen for advertising % of GMV, and whether any of companies' ad revenue comes from off-platform/non-marketplace sources. Our agentic scorecard is summarized as Exhibit 27 , breaking down the build-up between 5 I's ranking, scale metrics, and agentic + ecosystem capabilities; further detail is included in our appendix Agentic Commerce Scorecard Detail .

Exhibit 27: The Morgan Stanley Agentic Commerce Scorecard captures qualitative and quantitative metrics plus analyst views around factors likely to correlate with company positioning

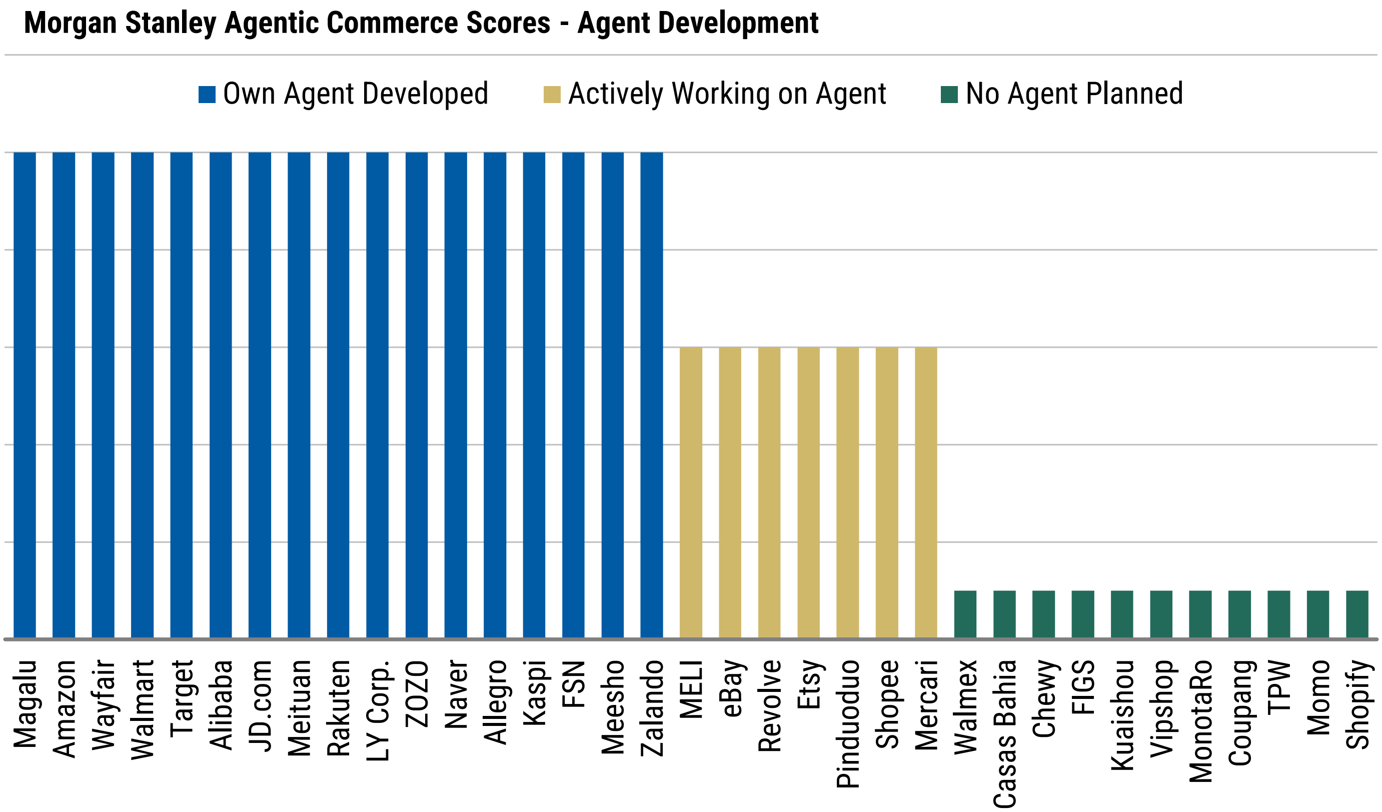


Source: SimilarWeb, Sensortower, Company data, Morgan stanley Research

Our scorecard illuminates the favorable positioning of scaled platforms, particularly those adapting existing strengths towards agentic innovation. We see scale as a commonality between the companies ranking towards the high-end of our scorecard framework, with each of Walmart, Shopee, Allegro, MELI, Kaspi, Amazon, and Alibaba having leading retail/eCommerce share in their respective markets. Related to scale is the ability to invest in complementary assets (i.e., logistics, fintech, loyalty) as captured in our scorecard. Further, platform scale can correlate with data, and with the ability to spread technology adoption costs across a wider merchandise base. Lacking these characteristics, we see category specialists largely ranking at the lower end of our scorecard framework; Wayfair screens as an exception. (Company-level detail is in the Regional Analysis & Stock Implications sections inside.) ***Delving into select metrics:***

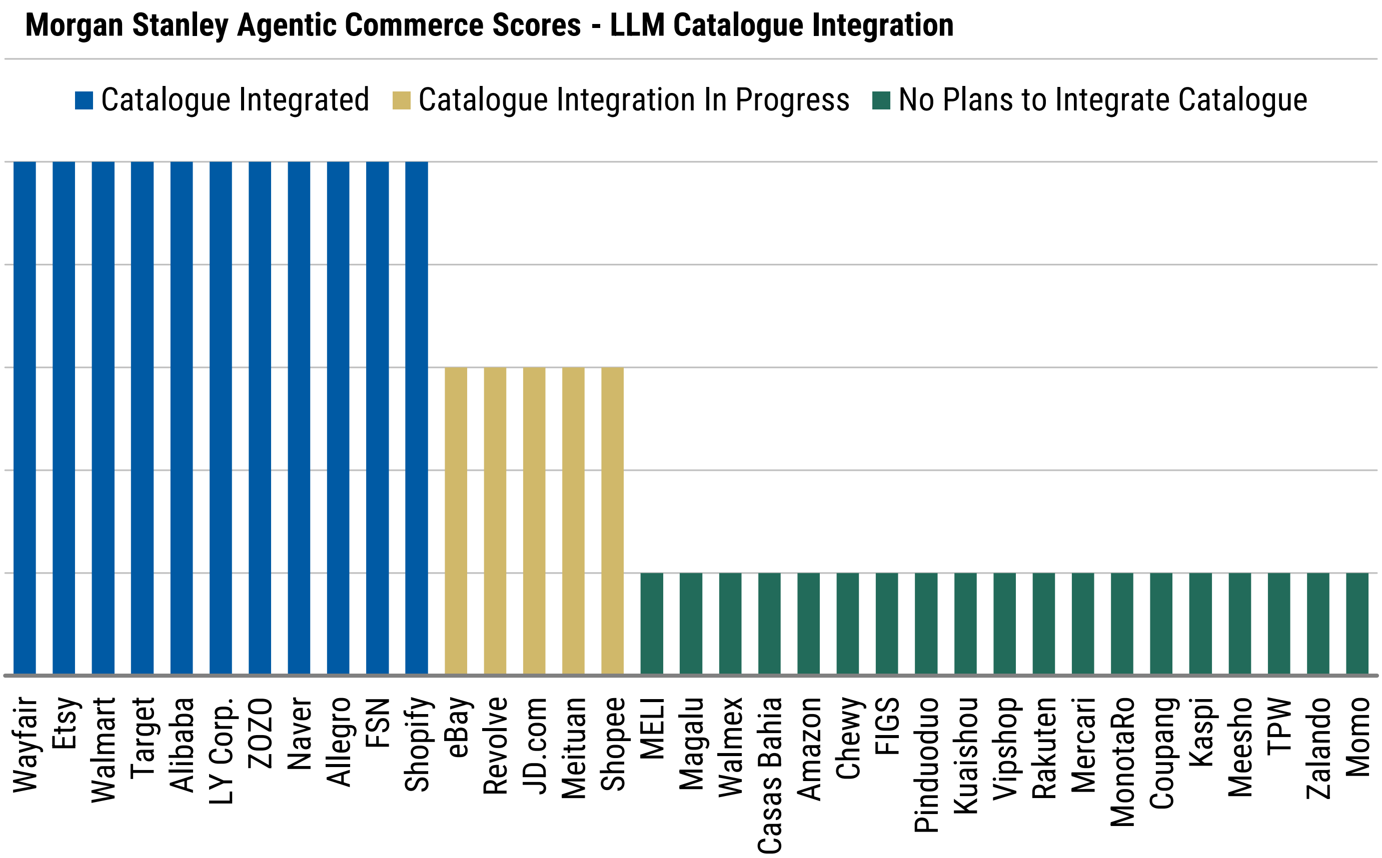
- Agent Development/Catalogue Integration to LLMs: We see 17 out of 35 screened companies with a live consumer-facing agent, with another 7 actively working to deploy their own commerce agents to consumers (Exhibit 28). For catalogue integration to any major LLM, we see a lower adhesion rate, with 11 already integrated and another 5 in-process (Exhibit 29). By region, we see US and Asia-based companies leading in these metrics, highlighting earlier innovation versus other global markets.
- **Complementary Assets (Logistics / Financial Services / Loyalty):** Our scorecard shows logistics are a pillar across eCommerce, with our global teams highlighting logistics as a "high importance" asset for 23 out of 35 companies, with "moderate importance" for another seven. Loyalty programs are seen as a high importance pillar for 17 companies, with moderate importance for another nine. Financial services have a more balanced impact, as high importance for 12 companies, while 11 reported no offerings in this vertical. MELI, JD.com, Shopee, Rakuten, Coupang, Naver, Allegro, and Kaspi were rated with high importance for each of these three ecosystem verticals (Exhibit 30).
- **Direct Site Traffic Share:** We similarly note scaled platforms leading for share of direct site traffic. We view direct traffic as a mitigating factor against agentic disruption risk, pointing to consumers engaging with a platform directly as opposed to purchasing there based on the output of a separate search/discovery process. The China-based companies in our analysis further screened highly on this metric. Conversely, we see less-scaled operators and category specialists ranking at the lower end of direct site traffic, indicating greater risk if top-of-funnel discovery pivots more towards generalized LLMs.

Exhibit 28: Our scorecard shows 17 companies have already deployed commerce agents to consumers, with another 7 companies actively working on this...



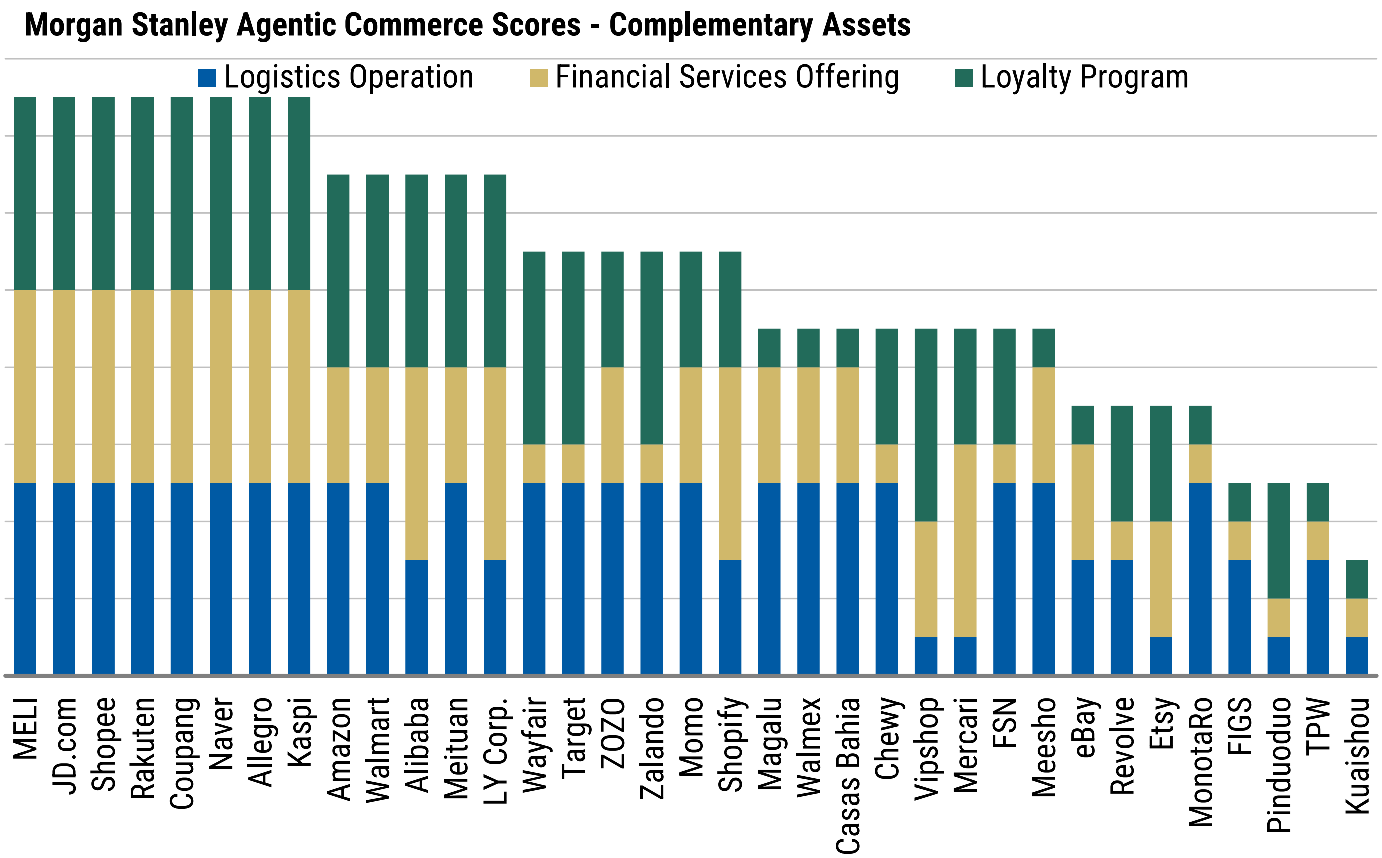
Source: Morgan Stanley Research

Exhibit 29: ... while we see lower adhesion for catalogue integration to major LLMs. To-date, US and Asia-based companies lead for agentic implementation



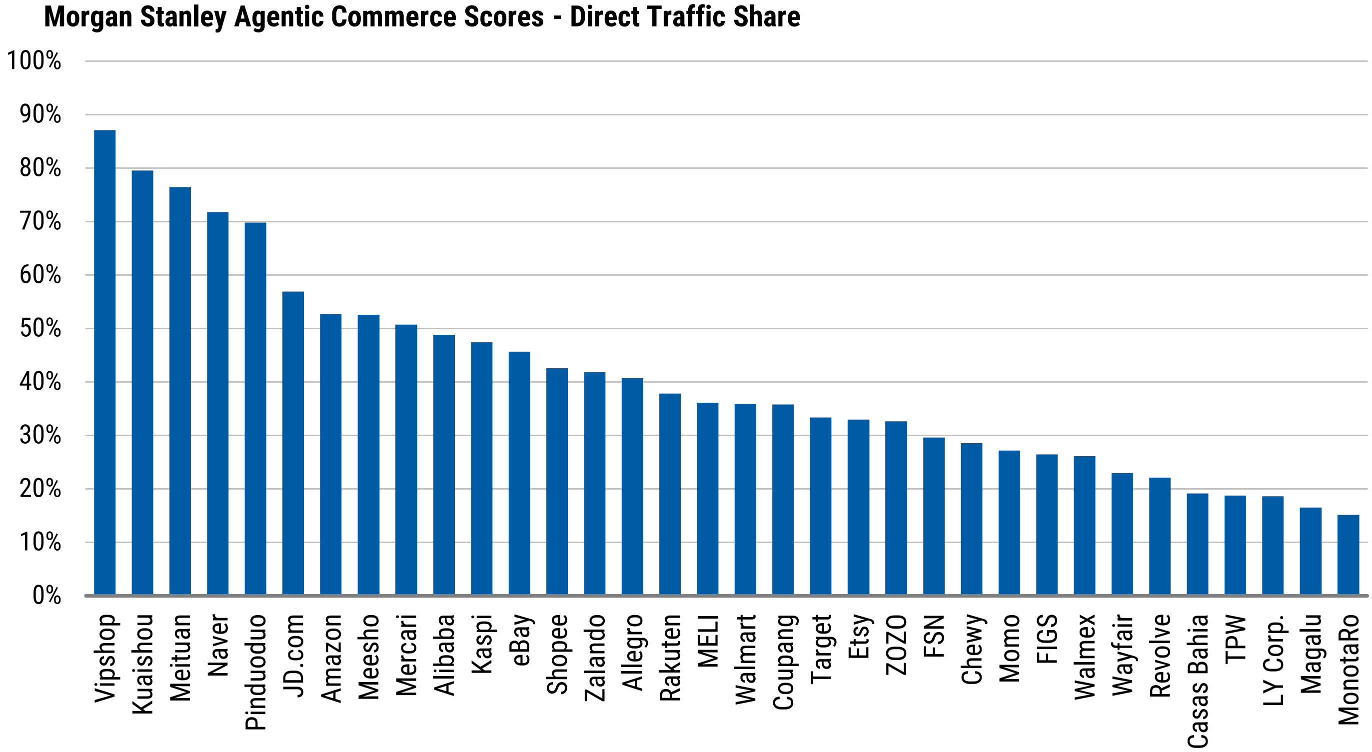
Source: Morgan Stanley Research

Exhibit 30: We see scaled marketplaces leading for importance of complementary assets across logistics, financial services, and loyalty



Source: Morgan Stanley Research

Exhibit 31: We see scaled platforms ranking at the high end for direct traffic share; China-based operators also rank highly, while category specialists lag



Source: Similarweb, Morgan Stanley Research

Agentic Scorecard Methodology

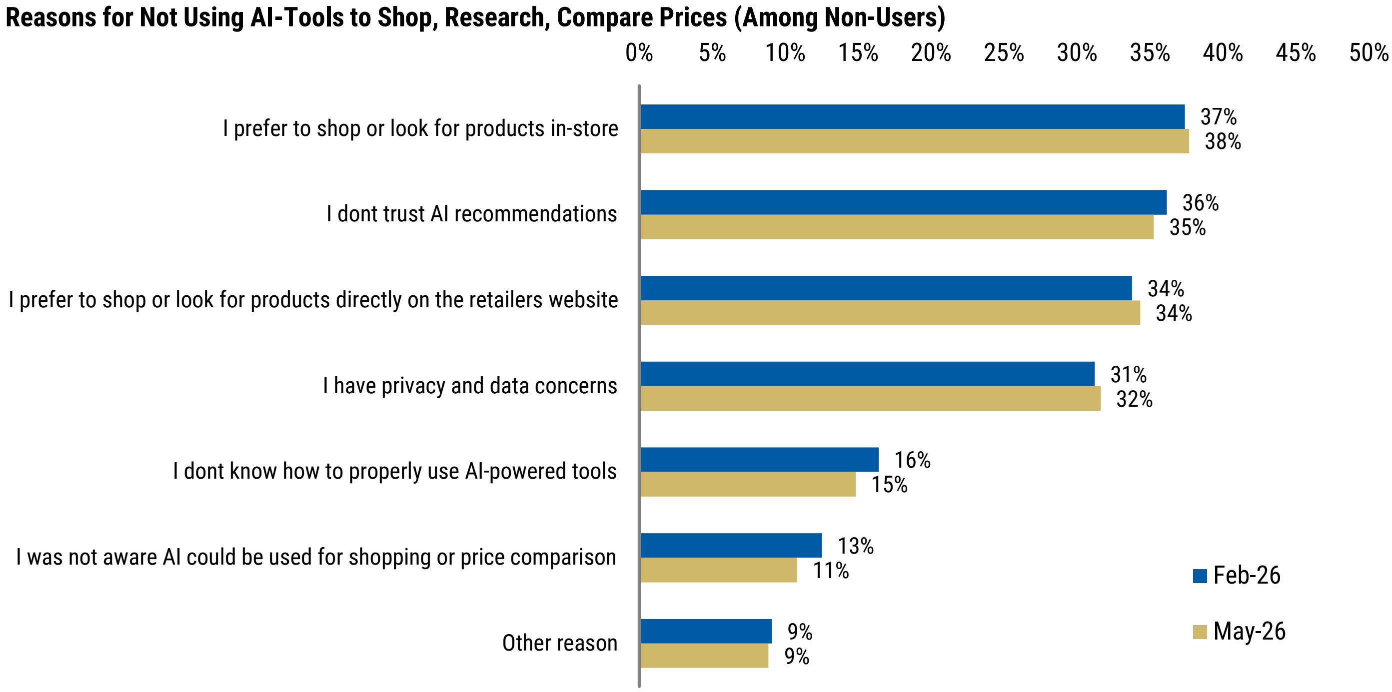
We provide an overview on how we scored companies across each pillar:

- Agentic Capabilities: We see companies embracing agentic commerce by developing their own agents or integrating their commerce catalogues to general LLMs. We gave high scores for companies who have already developed their own AI agents and separately for companies who have integrated with a general LLM; companies who are actively working on any of these initiatives (agent development and catalogue integration) received credit as well.
- **Ecosystem Capabilities:** We believe companies with ecosystem capabilities (loyalty, financial services, logistics, off-platform ads) have additional moats. We gave maximum credit for companies placing 'high importance' in each ecosystem capability, with lower credit for 'moderate importance'. Companies who do not have any particular capability received the lowest score.
- **Scale Scores:** We see companies leading for scale metrics at less risk of agentic disintermediation. We screened companies for app & site usage and market share in their main markets, and ranked companies across the following metrics: 1) monthly actively users (MAUs) as % of internet users; 2) daily active users as % of MAUs (for a measure of frequency); 3) market share; and 4) share of direct site traffic. Companies ranking higher for each metric individually received a higher score.

Barriers to Uptake

Trust, privacy, and legacy shopping preferences are AI commerce barriers, but we believe these can decrease as (1) trust is already higher for retailers' tools, and (2) AI product research can be a gateway to agentic purchases. In our US consumer pulse surveys, we ask non-users their reasons for not using AI shopping / research / price comparison tools. For behavioral preferences, 38% of consumers prefer to shop in-store, and 34% prefer shopping directly on retailers' websites, as shown in Exhibit 32 . For AI-specific barriers, 35% cite not trusting AI recommendations, and 32% call out privacy and data concerns. These reasons were largely similar between the Feb '26 and May '26 survey waves, indicating more time may be needed to improve on the "trust factor". A September '25 GenAI consumer survey from Bain (here) showed 25% of US shoppers would trust most a retailer's AI to execute the entire shopping experience, above 16% for a "tech company" and 7% for an "AI platform". A survey from Visa (here) showed 58% of Americans are comfortable with AI comparing prices and 55% with applying discounts. However, a lower proportion (38%) are comfortable with AI completing a purchase, and 60% would not allow AI to spend any amount without approval.

Exhibit 32: Trust, privacy, and legacy shopping preferences are the top barriers to AI commerce uptake as cited by US consumers



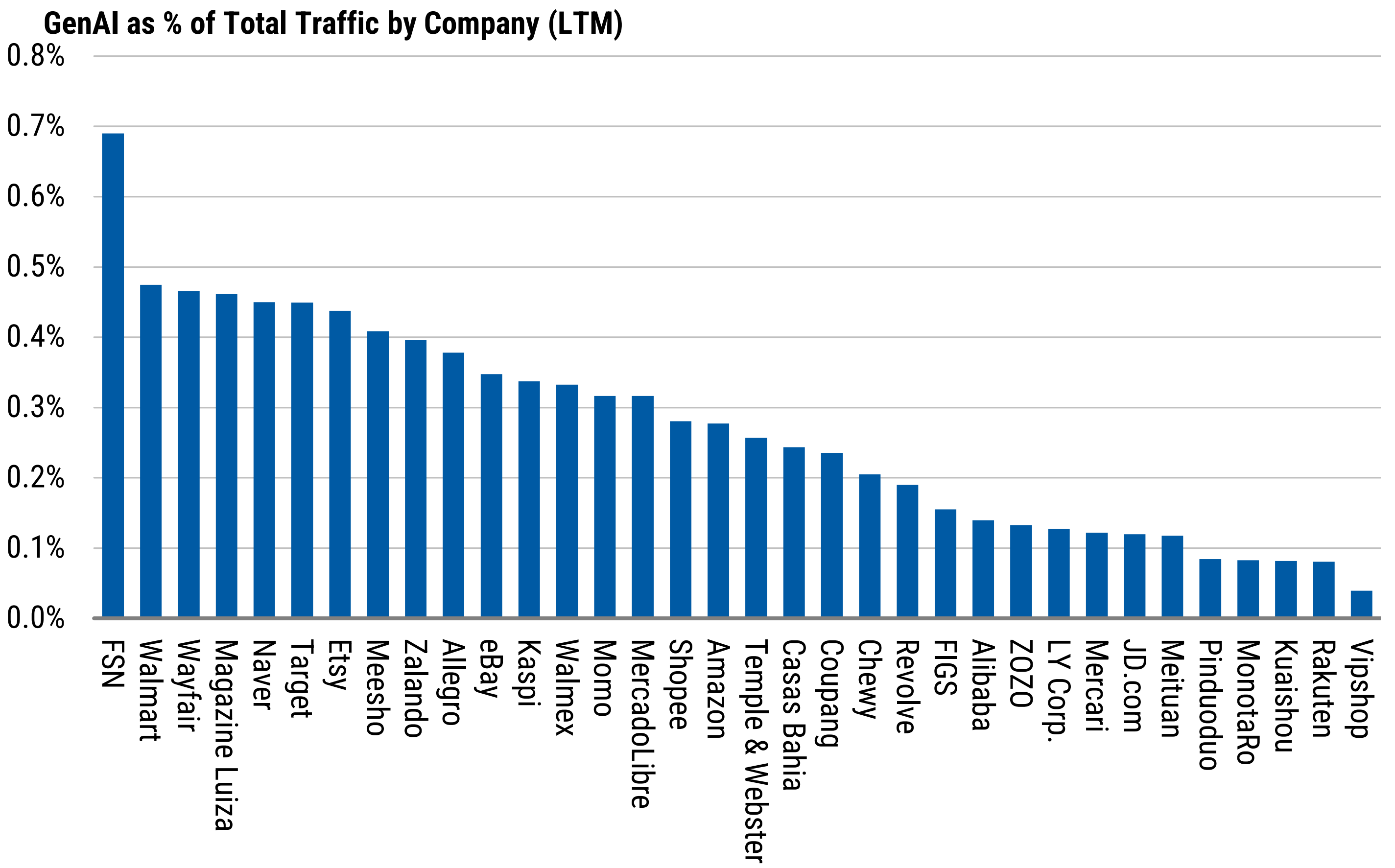
Source: AlphaWise, Morgan Stanley Research

Agentic Commerce Risks and Mitigants

Shifts away from direct traffic (towards paid LLM-driven traffic) and an associated loss of retail media dollars are risks for eCommerce operators' profitability. While agentic is likely to further the online retail shift, market concerns center around whether online platforms themselves will see the benefits. Risks center around (1) paid traffic costs, and (2) advertising revenues. As consumers use external AI agents/assistants more at the start of their purchase journeys, this could increase the proportion of traffic that is paid (versus direct). Further if consumers use general LLMs to search and compare products, brands may increasingly pay for placement within those systems rather than on retailer websites. If agentic evolves the retail funnel, control around customers and data could evolve as well.

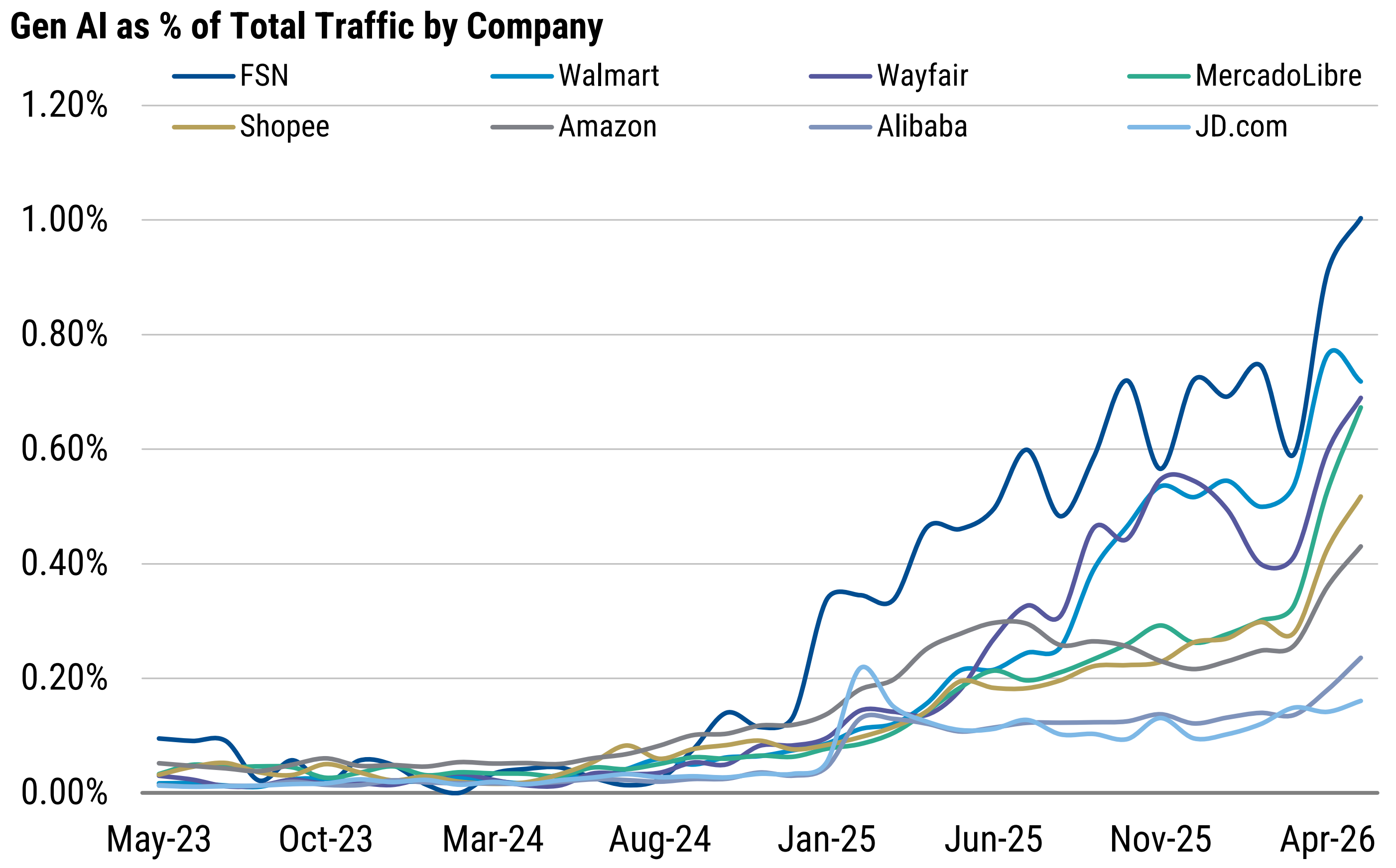
While quickly ramping, LLMs are only driving a small (<0.5%) share of eCommerce platforms' web traffic today. The near-term risk appears limited, with SimilarWeb data showing just 0.3% of eCommerce platforms' average web traffic coming from GenAI platforms (Exhibit 33); however, this is fast-growing including a ramp-up period in recent months (Exhibit 34). We note this data includes web traffic only and does not account for GenAI traffic generated for eCommerce apps. Over time, GenAI platforms will likely become a bigger share of the inbound traffic mix. However, we see this as similar to other traffic acquisition engines (i.e., search, social), forming a part of platforms' marketing spend but more as an evolution of existing customer acquisition approaches.

Exhibit 33: LLMs are only driving a small (<0.5%) share of eCommerce platforms' web traffic today...



Source: SimilarWeb, Morgan Stanley Research

Exhibit 34: ... while from this low base the channel stepped up in 2025 and further into 2026



Source: SimilarWeb, Morgan Stanley Research

The backdrop is fast evolving, but retail media risks could be more muted than originally feared as conversational search improves the efficacy of on-platform advertising... In its 1Q26 earnings release (here) ***Amazon*** cited the introduction of sponsored products and brand prompts in its AI shopping assistant, noting that nearly 20% of shoppers who interact with a prompt in Rufus continue the conversation about that brand. On its 1Q26 earnings call, ***Mercadolibre*** management noted that they deployed LLMs in eCommerce search for the first time in the quarter, seeing higher advertising returns as LLM search improves the quality of results that their advertising tech stack is generating. These brand-building and search improvement benefits add to the eCommerce retail media tailwind from agentic bringing more demand online.

... and as retailers learn to work (and advertise) within LLM environments. For example, as detailed in Agentic Commerce Intermediation, ***Walmart*** Inc is embedding its agent Sparky into LLMs. When a user queries an LLM for a product and selects Walmart from the results, Walmart assumes end-to-end control of transactions (including product recommendation, ads, and checkout). Many Sparky interactions involve shoppers seeking solutions, creating a natural and effective on-ramp for continued growth in retail media, which further supports Walmart's position capturing retail media revenue in an agentic environment. ***Target*** and its retail media partner, Roundel, will serve ads based on keywords in a prompt, ensuring they are relevant to the conversation (here). For example, a user asking, "What are some countertop cooking appliances that make everyday meals more convenient?" may see an ad for an air fryer from Target or one of their Roundel retail media business partners embedded in the personalized response.

While economic models can evolve, the physical aspects of eCommerce give us comfort against displacement risk. Areas such as merchandise sourcing, warehousing, distribution, processing/financing, returns, and dispute resolution are part of the commerce stack that are unlikely to be displaced. Despite digital-first engagement, eCommerce ultimately surrounds the movement of physical goods. While logistics services are more commoditized than high-margin digital advertising, we expect retail fundamentals to hold even in an agentic world: namely, the power and importance of having competitively priced inventory, unique products, and the physical infrastructure to efficiently deliver items.

Stock Beneficiaries for The Agentic Era

We highlight 6 key OW calls, each with leading positioning in our scorecard, ecosystem assets, customer relationship scale, and evidence of AI execution. The top-six companies in our scorecard, ranked by descending market cap and each OW-rated, are Amazon (**AMZN**), Walmart (**WMT**), Alibaba (**BABA**), MercadoLibre (**MELI**), Sea Limited (**SE**), and Allegro (**ALEP.WA**). Analyst summary views supporting this positioning are included as Exhibit 35 . Across these stocks, we forecast an average +15% GMV CAGR (compared with +12% overall bottom-up GMV growth), +16% revenue CAGR, and +18% EBITDA CAGR from 2025-2028E. The group trades at ~17x 2026E EBITDA and ~13x 2027E EBITDA, with +26% average price target upside. Morgan Stanley analysts highlight five additional OW-rated agentic beneficiaries in the US: Wayfair (**W**), Shopify (**SHOP**), Chewy (**CHWY**), Target (**TGT**), eBay (**EBAY**); and six internationally: Meituan (**3690.HK**), Coupang (**CPNG**), LY Corp (**4689.T**), Mercari (**4385.T**), FSN E-Commerce (**FSNE.NS**), and Temple & Webster (**TPW.AX**).

Exhibit 35: We highlight agentic initiatives and attributes across the top 6 companies in our scorecard, all OW-rated

Company (Ticker)	MS Analyst	Agentic Attributes
Amazon.com Inc (AMZN)	Brian Nowak	• Fulfillment (infrastructure), Prime, and broad selection (inventory) create a durable agentic moat. • Alexa for Shopping shows early traction: 300mn+ users, associated with ~2% of global 4Q25 GMV. • Tough-to-replicate data and logistics assets, regardless whether proprietary or horizontal agents win.
Walmart Inc (WMT)	Simeon Gutman	• Sparky is scaling, with +150% Sparky-attributed GMV growth (1QFY27), ~35% higher AOV from users. • OpenAI and Google partnerships position WMT at the center of an emerging agentic ecosystem. • Omnichannel data supports whole-basket personalization and replenishment.
Alibaba Group (BABA)	Gary Yu	• Qwen AI assistant helps users complete shopping and everyday tasks within Alibaba's ecosystem. • Integrated apps across shopping, payments, etc. enable a seamless path from intent to delivery. • Top tier in-house AI model capabilities support user experience and long-term monetization.
Mercadolibre Inc (MELI)	Andrew Ruben	• Buyer base, data, and direct traffic support MELI as the starting point for search and discovery. • Marketplace, logistics, fintech, and loyalty "ecosystem" support customer relationship control. • Proprietary approach favored, with a Pago fintech agent launched; commerce tools in development.
Sea Ltd (SE)	Divya Kothiyal	• Capital-efficient AI strategy focused on partnerships, applied use cases, and ROI. • Early benefits include purchase conversion uplifts and customer service cost reductions. • Multi-segment collaboration approach drives personalization across Shopee/Monee/Garena/Migoo.
Allegro.eu SA (ALEP.WA)	Luke Holbrook	• Top-five scorecard rank, supported by scale, LLM integration, loyalty, and financial services. • Broad inventory and direct engagement position Allegro well for AI-led discovery. • Diversification of logistics as benefits margins and mitigates potential external AI pressures.

Source: Company data, Morgan Stanley Research

Regional Trends

While we see agentic commerce as a theme taking hold globally, Morgan Stanley analysts highlight differentiating factors across markets/regions, detailed in the respective note sections:

North America : Testing ground for partnerships and adoption, with early evidence that retailer-owned agents improve conversion. Adoption should be strongest first in higher-friction categories such as grocery and apparel.

Latin America : WhatsApp-led conversational commerce is emerging as an agentic gateway in a region where AI adoption is high, but AI shopping remains nascent and major horizontal-LLM integrations are limited.

China : China leads in mass consumer adoption and closed-loop execution. Broad distribution and integrated ecosystems should allow agents to move from answering questions to completing transactions; commissions are a more plausible monetization model than subscriptions.

EMEA : Logistics provide a moat, while in a fragmented market external agents could raise customer acquisition costs and redirect advertising spend away from marketplaces, potentially offsetting the benefits of higher conversion and penetration.

Southeast Asia : Agentic commerce development should be closely tied to the region's content-led commerce model, spanning video discovery, automated advertising, seller tools and customer-service automation.

South Korea : With eCommerce penetration already leading among global markets, agentic is more likely to redistribute share within online retail than create a major new shift to eCommerce.

Japan : Development should remain concentrated in AI-assisted search, comparison and recommendations rather than autonomous checkout. Potential is higher in fashion and C2C markets with high search friction.

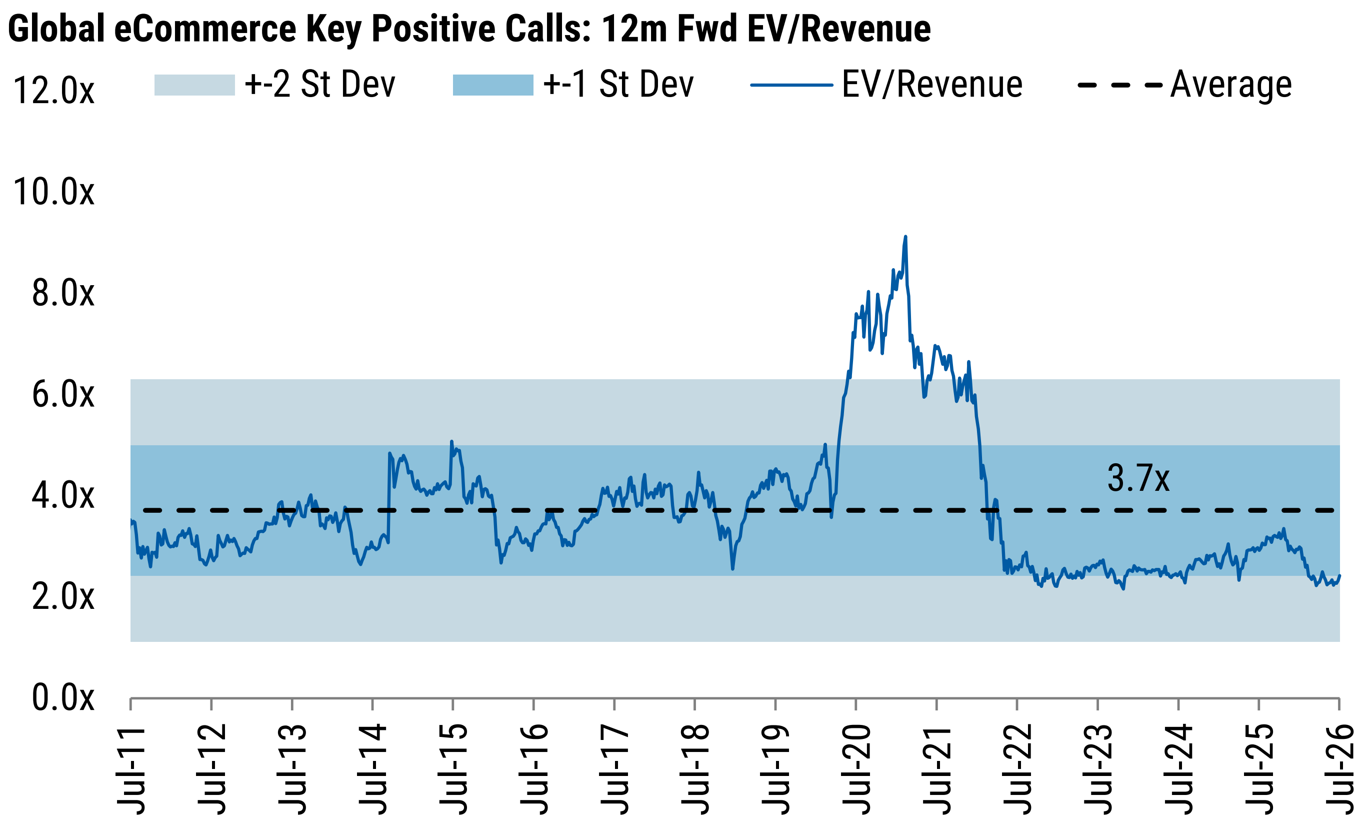
India : Agents can translate vague needs into baskets, especially in beauty, fashion and wellness, but fragmented supply, counterfeit risk, and cash-on-delivery/UPI behavior will keep consumer approval central.

Australia : The market remains at an early, approval-based stage, with payment authentication and shopping assistant pilots still developing. Near-term value should come from broader top-of-funnel discovery.

Taiwan : Dense physical retail networks, convenient pickup and high consumer mobility limit the channel-shift opportunity, making better search precision from proprietary platform data the primary benefit.

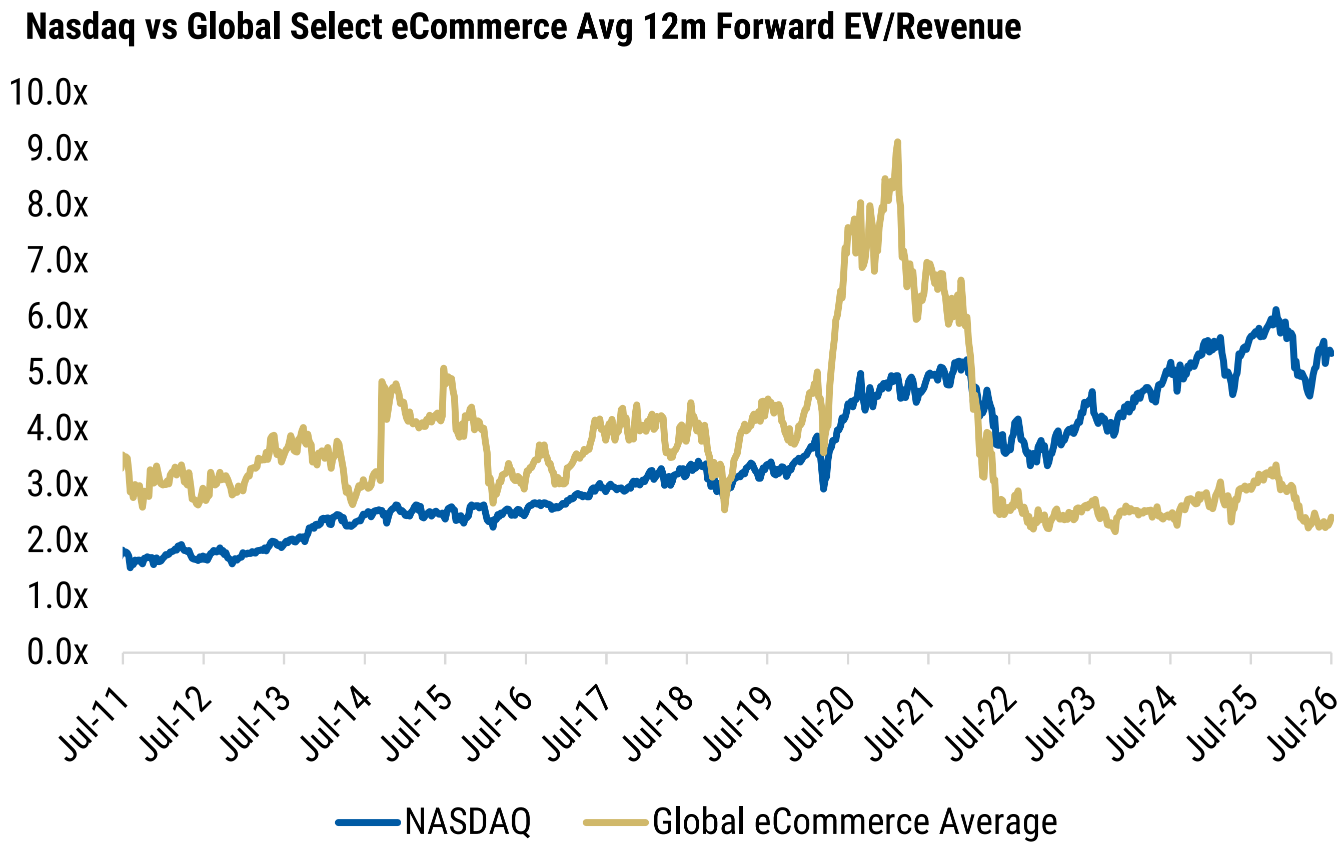
The global eCommerce multiple gap versus other technology sectors has remained wide, with the market pricing more agentic risk than opportunity — contrary to our view. As shown in Exhibit 36 , the average EV/revenue multiple for our favored global eCommerce stocks is 2.4x, a full standard deviation below the historical average of 3.7x, with reversion back towards post-pandemic lows. As shown in Exhibit 37 , the eCommerce multiple gap to Nasdaq sits at -2.9x, near historical wide levels as eCommerce multiples compressed -0.5x in the past year, in-part on AI disruption fears. We believe this divergence creates a favorable setup for our key agentic commerce OW picks, with more upside leverage to this theme than the market appreciates. Valuation comps are included as Exhibit 38 , and **we believe further disclosure showing agentic AI-driven uplifts could act as a re-rating catalyst.**

Exhibit 36: For our top call-outs, average EV/revenue multiples are back near post-pandemic lows, in-part on concerns around AI disruption risk



Source: Bloomberg, Morgan Stanley Research

Exhibit 37: Versus the Nasdaq, the multiple gap remains wide, implying in our view that the market is underpricing platforms' agentic upside opportunity



Source: Bloomberg, Morgan Stanley Research

Exhibit 38: Global eCommerce: Agentic Era Key Calls Valuation Comparables

Company	Ticker	Country	MS Rating	Last Price	Price Target	Upside/ Downs.	Market Cap ($mn)	EV ($mn)	ADTV ($mn)	EV/GMV 2026	EV/GMV 2027	CAGR 25-28e	EV/Revenue 2026	EV/Revenue 2027	CAGR 25-28e	EV/EBITDA 2026	EV/EBITDA 2027	CAGR 25-28e
Agentic Scorecard Leaders																		
Amazon.com Inc	AMZN.O	United States	OW	247	330	33%	2,724,023	2,666,642	7,246	3.0x	2.8x	10%	3.2x	2.8x	16%	11.9x	8.8x	30%
Walmart Inc	WMT.O	United States	OW	114	140	23%	908,687	966,172	1,383	NM	NM	20%	1.4x	1.3x	5%	21.4x	19.8x	8%
Alibaba Group Holding	BABA.N	China	OW	112	180	60%	278,007	228,656	1,256	0.2x	0.2x	4%	1.5x	1.4x	8%	16.6x	10.8x	7%
Mercadolibre Inc.	MELI.O	Argentina	OW	1,874	2,450	31%	95,001	92,541	704	1.0x	0.9x	23%	2.2x	1.8x	30%	22.3x	15.5x	24%
Sea Ltd	SE.N	Singapore	OW	109	130	19%	69,752	60,095	388	0.4x	0.3x	20%	1.9x	1.6x	25%	14.8x	11.8x	21%
Allegro.eu SA	ALEP.WA	Poland	OW	44	39	-12%	12,248	12,796	167	0.6x	0.6x	11%	3.7x	3.2x	14%	12.6x	10.0x	19%
Agentic Scorecard Leaders Average						**26%**				**1.0x**	**0.9x**	**15%**	**2.3x**	**2.0x**	**16%**	**16.6x**	**12.8x**	**18%**
Agentic Scorecard Leaders Median						**27%**				**0.6x**	**0.6x**	**15%**	**2.1x**	**1.7x**	**15%**	**15.7x**	**11.3x**	**20%**
US Key Calls																		
Shopify Inc	SHOP.O	United States	OW	126	192	53%	162,325	156,547	610	0.3x	0.3x	24%	10.5x	8.6x	25%	73.3x	56.5x	34%
Target Corp	TGT.N	United States	OW	134	150	12%	61,128	72,096	394	NM	NM	6%	0.7x	0.6x	3%	8.8x	8.4x	6%
eBay Inc	EBAY.O	United States	OW	113	121	8%	51,201	55,028	335	0.6x	0.6x	6%	4.5x	4.1x	8%	18.6x	15.7x	13%
Wayfair Inc	W.N	United States	OW	89	110	24%	12,214	14,740	160	1.1x	1.1x	6%	1.1x	1.1x	6%	29.4x	23.9x	23%
Chewy Inc	CHWY.N	United States	OW	20	42	106%	8,447	7,587	159	0.6x	0.5x	8%	0.6x	0.5x	8%	8.1x	6.6x	25%
US Key Calls Average						**41%**				**0.7x**	**0.6x**	**10%**	**3.5x**	**3.0x**	**10%**	**27.7x**	**22.2x**	**20%**
US Key Calls Median						**24%**				**0.6x**	**0.6x**	**6%**	**1.1x**	**1.1x**	**8%**	**18.6x**	**15.7x**	**23%**
International Key Calls																		
Meituan	3690.HK	China	OW	83	120	44%	64,650	48,748	651	0.5x	0.4x	20%	0.8x	0.7x	14%	NM	6.8x	NM
Coupang Inc	CPNG.N	S. Korea	OW	18	28	58%	31,950	27,240	378	0.6x	0.5x	8%	0.7x	0.6x	12%	NM	15.1x	44%
LY Corporation	4689.T	Japan	OW	446	500	12%	20,773	18,595	NA	0.9x	0.8x	6%	1.3x	1.2x	10%	6.8x	6.2x	7%
FSN E-Commerce Ventures Ltd	FSNE.NS	India	OW	329	321	-2%	9,741	9,822	NA	3.7x	2.9x	27%	9.4x	7.4x	27%	NM	NM	53%
Mercari	4385.T	Japan	OW	4,693	5,000	7%	4,774	4,597	NA	0.5x	0.5x	11%	3.3x	2.9x	14%	15.9x	12.8x	29%
Temple & Webster Group Ltd	TPW.AX	Australia	OW	5	8	52%	457	376	2	0.8x	0.7x	11%	0.8x	0.7x	11%	25.7x	13.4x	38%
International Key Calls Average						**24%**				**1.2x**	**1.0x**	**14%**	**3.1x**	**2.5x**	**15%**	**11.4x**	**10.2x**	**33%**
International Key Calls Median						**12%**				**0.6x**	**0.5x**	**11%**	**1.3x**	**1.2x**	**14%**	**11.4x**	**9.8x**	**36%**

Source: Factset, Company data, Morgan Stanley Research estimates.
Note: Pricing as of 7/14/2026

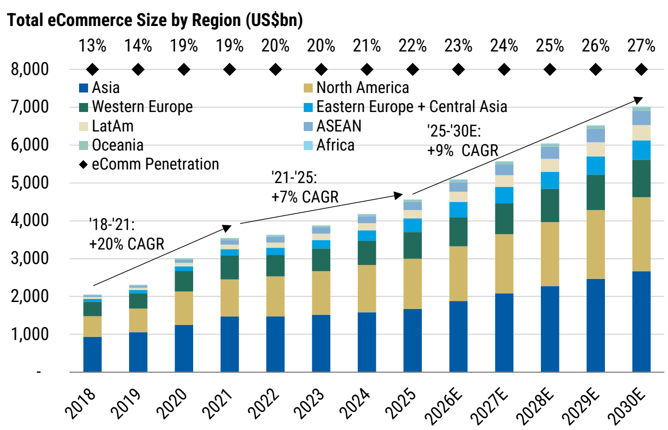
Industry Outlook and Takeaways

eCommerce Outlook: Secular and Top-Down Growth Drivers

We forecast global eCommerce as a US$7 trillion market in 2030, increasing at a +9% base case CAGR from 2025 levels, with agentic commerce helping drive continued penetration gains across categories. In the Morgan Stanley Global eCommerce Model, we forecast the evolution of the industry, leveraging the regional and company-specific insights from our internet, eCommerce, and retail analyst teams around the world. For 2025, eCommerce volumes represented 22% of overall retail sales globally (excluding autos, restaurants, and services). This penetration figure was up +80bps y/y, slightly decelerating from +100bps in '24, but above the +50bps gains in each of '23 and '22. Versus pre-pandemic (2019) levels of 14%, 2025 penetration was +8pp higher, for +130bps of annual gains.

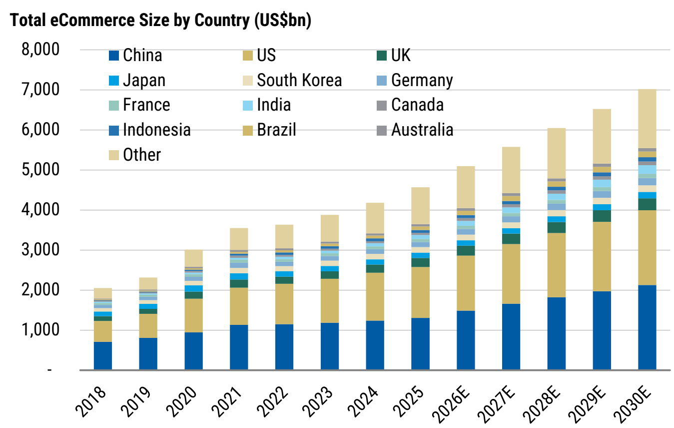
The continued gains in penetration support our conviction in the secular drivers for go-forward eCommerce adoption, further aided by uptake of AI tools — driving retail digitalization and reducing buying friction (logistics, payments, or otherwise). Supported by top-down market- and category-level forecasts, in balance with bottom-up company estimates, we build to a cumulative US$7 trillion market opportunity by 2030. This represents a +9% 5-year USD CAGR and a US$2.5 trillion incremental GMV opportunity. Our GMV forecasts broken down by region are included as Exhibit 39 , with further detail for the top 12 markets included as Exhibit 40 . For eCommerce penetration, curves by region are shown as Exhibit 41 , with merchandise category detail as Exhibit 42 .

Exhibit 39: We see global eCommerce as a ~US$7.0tn market in 2030...



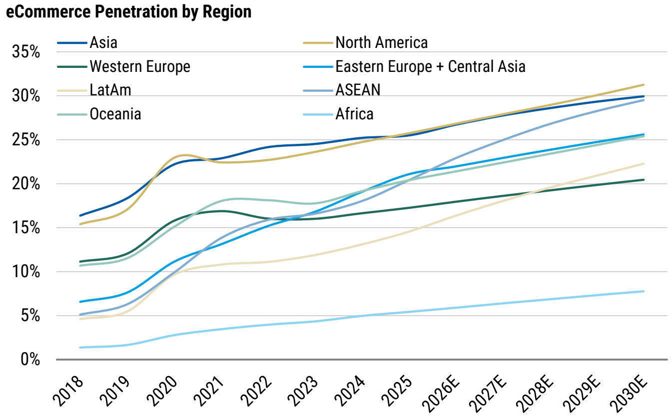
Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Exhibit 40: ... increasing at a +9% CAGR, with a US$2.5tn incremental GMV opportunity from 2025 levels



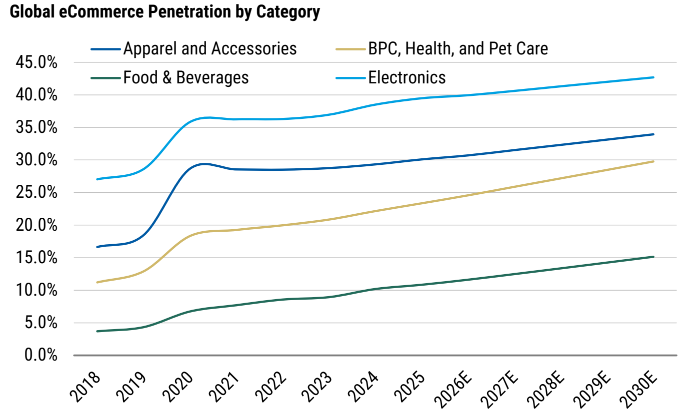
Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Exhibit 41: Moving past pandemic-driven distortions, penetration gains reaccelerated in '24/'25, and Morgan Stanley analysts forecast further uplifts in 2026+...



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

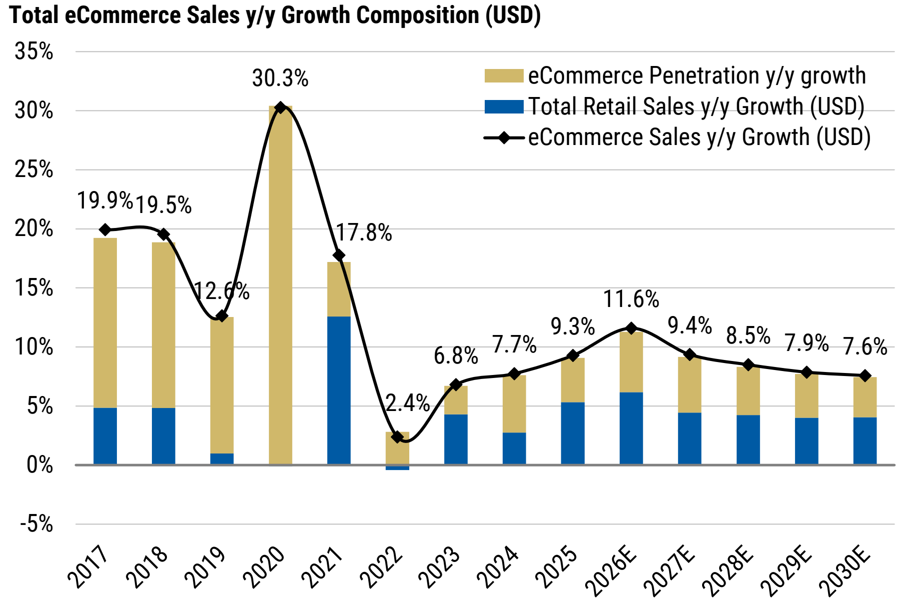
Exhibit 42: ... with a similar trend on a category-basis, with less-penetrated verticals incrementally contributing to growth



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

We forecast global eCommerce growth in USD picking up to +12% y/y in '26E (+9% in '25), in part aided by favorable FX; for '27E, we see +9% y/y USD growth, with balanced top-line drivers. For 2026E, we look for +12% growth in USD, continuing an acceleration trend versus +9% in '25, +7% in 2023/2024 and +2% in 2022; in local currency terms, our +10% 2026E forecast marks a more modest acceleration versus +9% average growth in '22-'25. For 2027E, we look for +9% local currency and USD growth. For this year and next, our eCommerce growth forecasts consist of a ~50/50 split between retail sales gains (averaging +5% y/y) and the impact of higher eCommerce penetration (averaging +110bps y/y). In 2017-22, we see that retail sales growth accounted for just ~20% of eCommerce growth, with penetration gains as the primary driving force (Exhibit 43). Growth contributors were more balanced in 2023-2025, and through 2030E we expect a similar trend — with ~45% of eCommerce industry growth driven by retail sales changes, and ~55% from penetration changes.

Exhibit 43: eCommerce penetration has been the main industry growth driver historically, while we look for a greater go-forward balance between penetration gains and retail sales changes



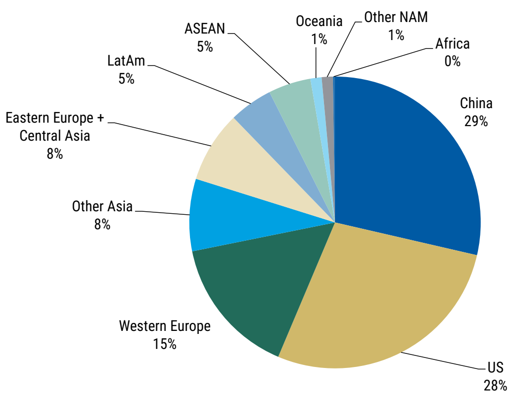
Source: Euromonitor, Countries Sources, Morgan Stanley Research estimates

Fundamental Factors: Identifying Drivers and Dispersion

Our model illuminates market-level dispersion; we highlight 8 emerging markets countries/sub-regions averaging ~17% forecast eCommerce CAGRs through 2030E, +8pp above the global growth rate; while even the most penetrated markets have yet to hit a growth ceiling. China and the US combine for a sizable ~55% of global eCommerce volumes (Exhibit 44), and as such forecasts in those markets have an outsized weight on our consolidated estimates. However, we see breadth at the market level. The list of top forecast growth markets features heavily with emerging markets countries/sub-regions. We highlight (in descending market size) India, Thailand, other LatAm, Vietnam, Malaysia, Chile, Egypt, and Nigeria, each with double-digit CAGRs and combining for +17% compound growth in USD through 2030E (Exhibit 45).

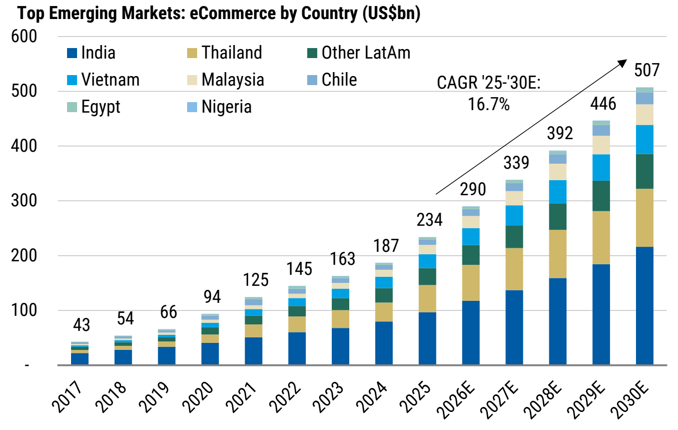
Supportive fundamental factors across these markets include population demographics (younger average age), a shift to mobile internet (eCommerce as an app-based medium), and companies' investments to improve speeds / service levels. Conversely, developed markets such as the US and UK, along with the high-penetration China and South Korea markets, each have <11% forecast 2025-30E compound growth. However, despite these higher growth rates, we have not yet seen a ceiling, with penetration increasing in each of these four markets in 2025.

Exhibit 44: While China and the US, at ~55% of industry volumes, have a heavy weight within our consolidated global eCommerce forecasts…



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Exhibit 45: … our industry model shows country-level dispersion, including 8 emerging markets countries/sub-regions with an aggregate +17% USD GMV CAGR through 2030E, ~8pp above the global growth rate

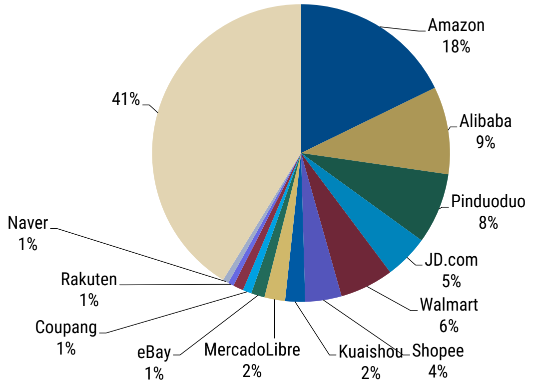


Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

From a bottom-up perspective, our company-level modeling further shows a spread in growth rates across companies, including a +450bps higher 2025-30E GMV CAGR when excluding Amazon and the top three China-based platforms. As a differentiating factor behind our model, in addition to top-down market sizing we have bottom-up forecasts for ~40 companies accounting for over ~60% of industry GMV. In aggregate, our +10.8% bottom-up CAGR compares to our +9.0% CAGR based on top-down forecasts — implying directional consistency in our views at the industry and company levels, with larger companies gaining versus the long-tail. With eCommerce reinforcing benefits of scale largely accruing on a market- or vertical-level basis, global online retail is not a winner-take-all market. However, we look for the largest global players to largely maintain their share positions over the coming years. We see the combination of Amazon and the top three China-based platforms (BABA, JD, PDD) combining for 39% market share in 2025, and our collective estimates imply a similar 39% combined share in 2030E (Exhibit 46). Our bottom-up estimates excluding these four top operators points to a +13.5% aggregate CAGR in USD through 2030E (Exhibit 47), a +450bps above our overall market growth forecasts.

Exhibit 46: Supported by bottom-up forecasts accounting for ~60% of industry GMV, our analysis shows that global eCommerce is not a winner-take-all market…

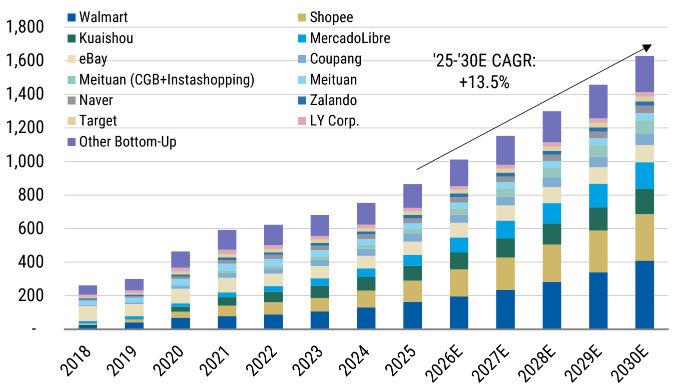
Global eCommerce Share by Company (2030E)



Source: Euromonitor, National Data Sources, Company data, Morgan Stanley Research estimates

Exhibit 47: … with top platforms retaining scale leads, but operators excluding the top 3 China-based platforms and Amazon growing +450bps above the global average in aggregate

eCommerce Sales by Company (ex-AMZN / BABA / JD / PDD) - US$bn



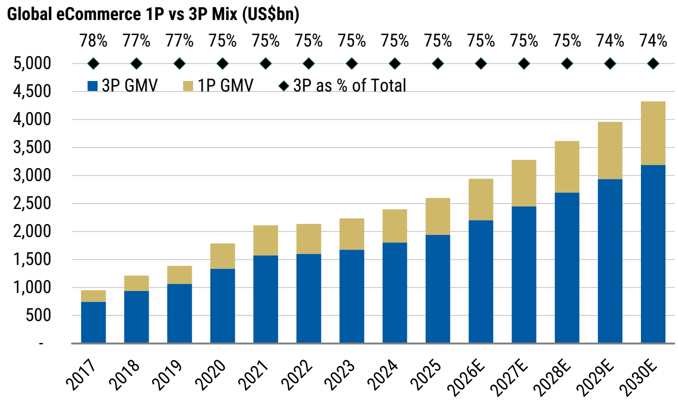
Source: Company data, Morgan Stanley Research estimates

Mix + Monetization: The Power of Marketplaces

For leading eCommerce marketplace operators, we see reinforcing benefits of scale amid a network effects business model… In first-party (1P) eCommerce, online retailers sell their own inventory, managing decisions such as product pricing and selection. In third-party marketplace (3P), platforms connect eCommerce buyers and sellers, centralizing demand and supply — creating what we see as a scalable, network effects business. Based on the 1P versus 3P GMV granularity in our industry model, we see marketplace at ~75% of eCommerce volumes in aggregate for covered companies globally, and our forecasts imply this mix remaining largely steady (Exhibit 48).

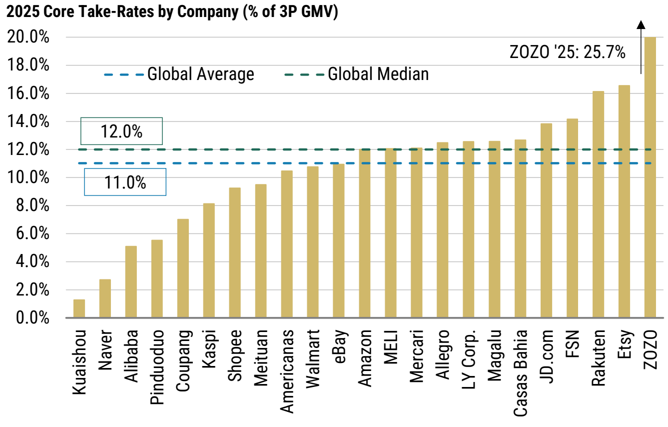
Looking to marketplace economics, our model contains detail on take rates including core fees, logistics, advertising, and other ancillary businesses. For core take rates (excluding advertising/logistics impacts), we see a large proportion of global eCommerce marketplaces centering around the ~12% median take rate level, but with a wide spread between the highest and lowest operators (Exhibit 49). Fashion-platforms (namely Zozo) feature at the high end, providing services such as curation and authentication. We see a high prevalence of Asia-based marketplaces at the lower end of the core fee range, while we note platforms such as Naver and Alibaba drive relevant monetization from advertising services in addition to core fees.

Exhibit 48: Our 1P vs. 3P GMV splits show that marketplace represents ~75% of eCommerce volumes across our global covered companies



Source: Euromonitor, Company data, Morgan Stanley Research estimates

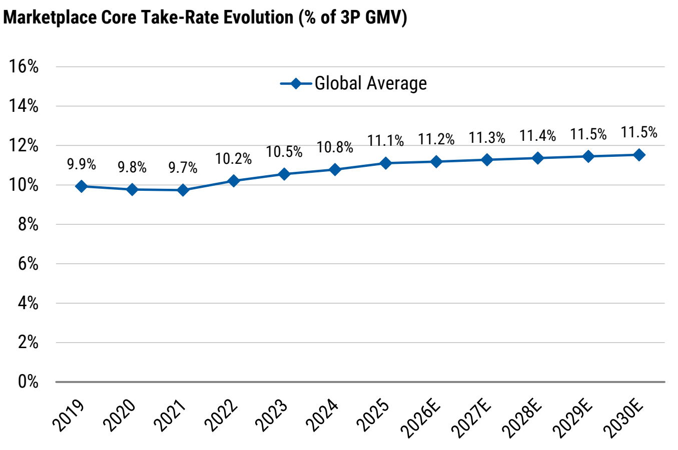
Exhibit 49: We see marketplace operators globally centering around a +LDD core take rate, but with a wide high-to-low range



Source: Company data, Morgan Stanley Research

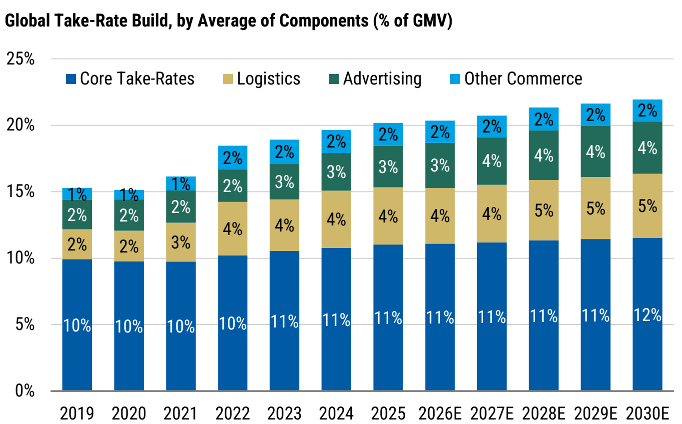
... and we see stability for core take rates, plus a trend toward increasing monetization of advertising services. With core take rate variation at the company-level largely driven by market and business model differences, we do not expect convergence across platforms. As shown in Exhibit 50 , we see core marketplace pricing having remained intact over historical periods, a trend we expect to hold over our forecast horizon. In 2025, the trend was for slight expansion, with average take rates +30bps y/y to 11.1%. When including adjacent services such as advertising and logistics fees, we forecast an upward trend in overall average take rates. Honing in on advertising, for companies where data and/or analyst estimates are available, we see average monetization at 3.1% of GMV, and Morgan Stanley teams forecast this reaching 3.9% of GMV on average by 2030E (Exhibit 51). Amazon leads at 8.6% of GMV and continues to raise the ceiling of where eCommerce platforms can reach for advertising penetration (***our industry file contains company-level take rate detail***).

Exhibit 50: For take rate trends, we see intact core pricing power both in historical and forecast periods...



Source: Company data, Morgan Stanley Research estimates

Exhibit 51: ... while for value-add services such as advertising we see opportunity for further monetization



Note: Core take rate calculated as % of 3P GMV; logistics and ads revenue as % of total GMV.

Source: Company data, Morgan Stanley Research estimates

We believe the trends that drive eCommerce leadership are broadly similar across global markets, including marketplace scale benefits, AI adoption, and localized network effects. As detailed in our 2023 report The Power of Marketplaces, we see eCommerce as a scalable, network effects model: Larger platforms naturally attract more buyers & sellers, and reinvestment around newer categories and capabilities helps fuel the demand shift online. As detailed in our 2024 report The Next Wave of Growth and Efficiency: AI Delivers, the rise of Artificial Intelligence tools can further reduce friction in the online buying and selling process. Platforms are adopting generative AI use cases such as product description creation, listing image enhancement, and review summarization — and the list of use cases only continues growing. While as we detailed in 2025 in Think Global, Buy Local, we see eCommerce as a consumer/tech safe haven amid geopolitical volatility. While there are differences at the company- and market-level, these eCommerce sector themes are relevant globally. **Agentic is the next era, and we see technology-based eCommerce platforms better-positioned for early AI adoption than physical-first peers, further powering the growth of online retail.**

Methodology Detail & Key Definitions

- **eCommerce Scope:** eCommerce includes the online sale of goods, including mobile commerce, marketplace sales, own site sales, and digital sales for store-based retailers. Our eCommerce scope excludes consumer-to-consumer sales, business-to-business sales, motor vehicles / parts / fuel, digital services, travel / tickets / entertainment and restaurants / foodservice.
- **Global Scope:** We define the global market as the sum of the ~30 markets/sub-regions in our model. These markets account for >80% of worldwide GDP (World Bank data), and for ~90% of worldwide eCommerce GMV (Euromonitor data).
- **Categories:** We break down eCommerce GMV into main categories of electronics (including consumer appliances, media products, video game hardware); apparel and footwear (including personal accessories and eyewear); beauty, personal care, pet, and health care; food and drink; and other (including home improvement, gardening, homewares, home furnishing, and other uncategorized goods).
- **Data Sources:** Euromonitor is the primary source of historical data, while this is cross-checked, complemented with, or supplemented by country-specific data sources. Our "National Data Sources" include: IBGE (Brazil), Neotrust (Brazil), ANTAD (Mexico), AMVO (Mexico), CACE (Argentina), INE (Chile), BEA (US), Retail Economics (UK), ONS (UK), CEIC (France), Textilwirtenschaft (Germany); Eurostat (Europe), iResearch (China), NBS (China), METI (Japan), NSO (South Korea), Google-Temasek (ASEAN). In all cases, forecasts reflect Morgan Stanley estimates.
- **FX Treatment:** Our country-level forecasts are conducted in local currencies; for regional and global summaries in USD, we translate based on FX forward curves as of June 23rd (Bloomberg data) and/or by holding constant the current FX rates, depending by country.

- **Company GMV:** For market share / bottom-up analyses, we use definitions of gross merchandise value (GMV) consistent with company reporting, while acknowledging differences including the treatment of canceled/ returned orders. For China-based operators, we apply adjustment factors to better align our top-down models (paid GMV basis) with bottom-up definitions (order GMV basis).
- **First-Party (1P) / Third-Party (3P):** We characterize GMV as either first party or third party on the basis of who controls product pricing decisions: first party when the platform controls product pricing, third party when sellers set prices. Typically, first-party also entails the platform holding inventory; however, included in our first-party definition are operators that purchase inventory from suppliers only once a consumer has placed an order (more common in the furniture sector).
- **Take Rates:** Revenues / commissions a marketplace earns based on volumes transacted on the platform. In our take rate build-ups, we consider core fees on a percentage of third-party GMV basis, with advertising and logistics revenue on a percentage of total online GMV basis (as these value-add services can be spread across first-party and third-party operations).

Regional Analysis & Stock Implications

North America

Brian Nowak, Nathan Feather, Simeon Gutman, Josh Baer

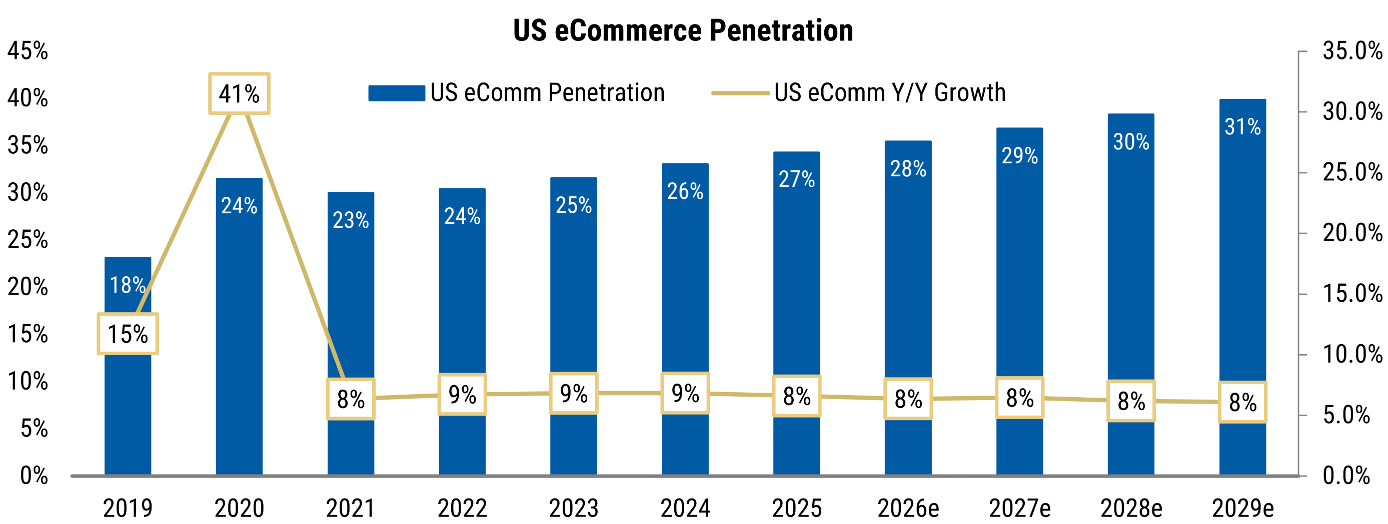
Market Outlook

GMV Forecasts & Drivers

Entering the agentic era, US eCommerce performance has been remarkably resilient: US eCommerce trends have been impressively consistent, growing ~8-9% y/y over the past 3 years. We estimate US eComm grew 8.5% y/y in 2025, capturing an incremental ~96 bps of adj. retail spend. We expect this strength to persist and model an 8% 3-year eCommerce CAGR, which implies penetration grows from 26.7% today to 29.8% in 2028. That growth has come even with tariffs & the removal of the de minimis exemption. Both led to minimal aggregate impact on industry growth, demonstrating the resilience of eCommerce's structural growth drivers.

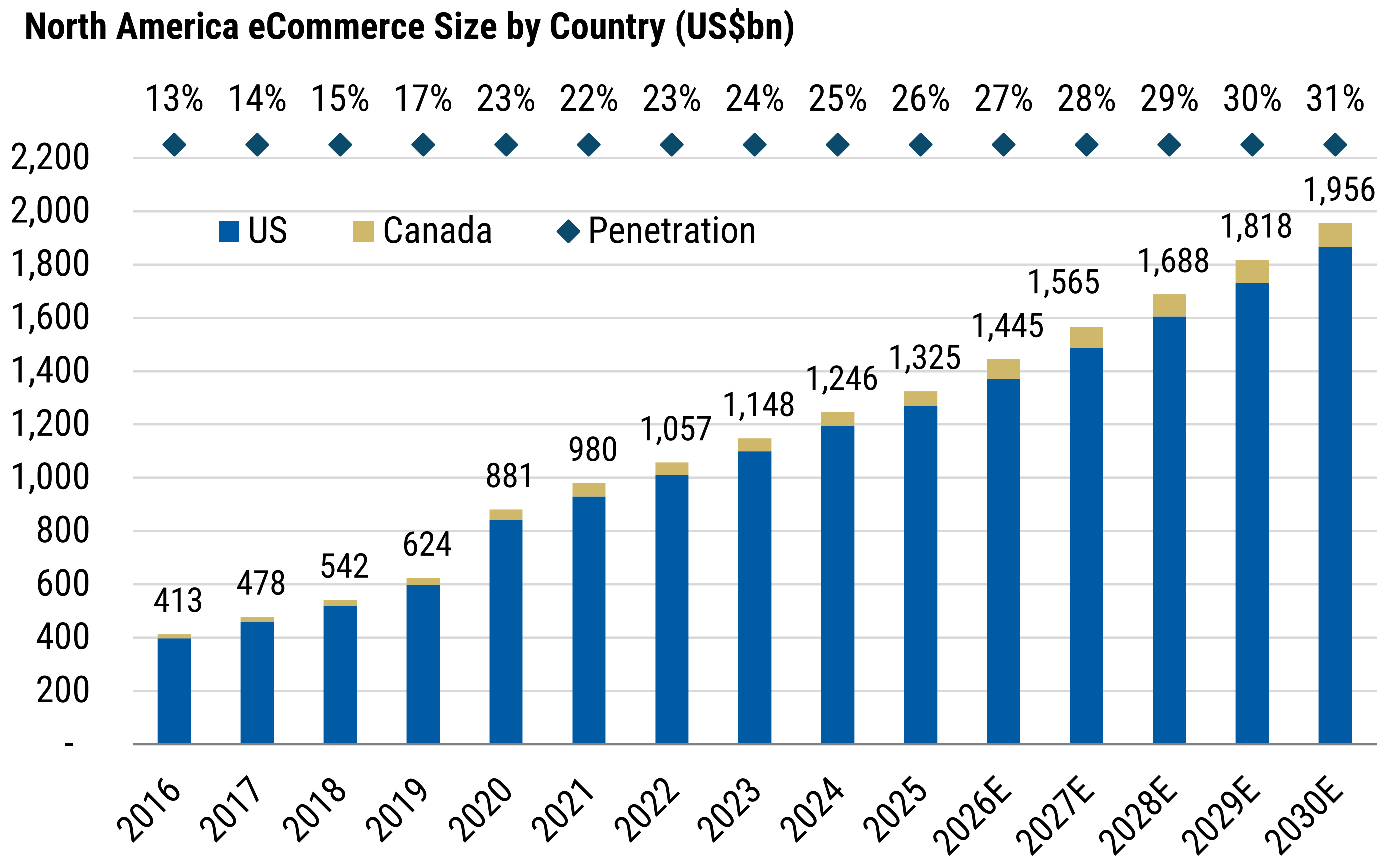
With broader AI & ML-enabled gains, we see far more risk to the upside: Despite consumer sentiment at a five-year low, eCommerce growth has accelerated over the past few quarters. According to the Census Bureau, 1Q26 eCommerce growth & penetration gains were the highest since 2023. Although agentic commerce is in early innings, we believe much of this performance is driven by Gen AI & ML-enabled enhancements which likely proves a durable tailwind. **4 specific areas we're watching: 1) AI-led employee productivity gains** are increasing experimentation velocity, driving improved conversion & margins. Additionally, minimal competitive pressures likely come from this as the primary moats in eCommerce are the marketplace/network (for 3P) or physical fulfillment infrastructure (for 1P). **2) Improved ad matching** from performance marketing engines are helping drive improved top of funnel, especially for more niche or long-tail products. **3) Early benefits from onsite agents** which we believe can improve both the buying and selling experience. For buyers, agents can help find specific items in long-tail inventories and allow contextual searches (i.e. "trendy summer outfits" vs. "t-shirts"). Alexa for Shopping (prev. Rufus) reached 300M customers in FY25 & added ~2% incremental run-rate GMV for AMZN is evidence of this utility. On the seller side, agents can remove significant friction in the listing process, increasing both inventory quantity and quality. **4) Lowered fulfillment cost** as AI can drive efficiencies in the physical supply chain (inventory routing, pick/pack efficiencies, last mile optimization, etc.), helping lower cost to serve. **Given the rapid pace of development, and the relatively early adoption from smaller players, we believe upside to our eCommerce growth estimates are far more likely than reduction (outside of macro impacts).**

Exhibit 52: US eCommerce penetration has increased consistently while eCommerce growth has remained ~8-9% over the past 3 years



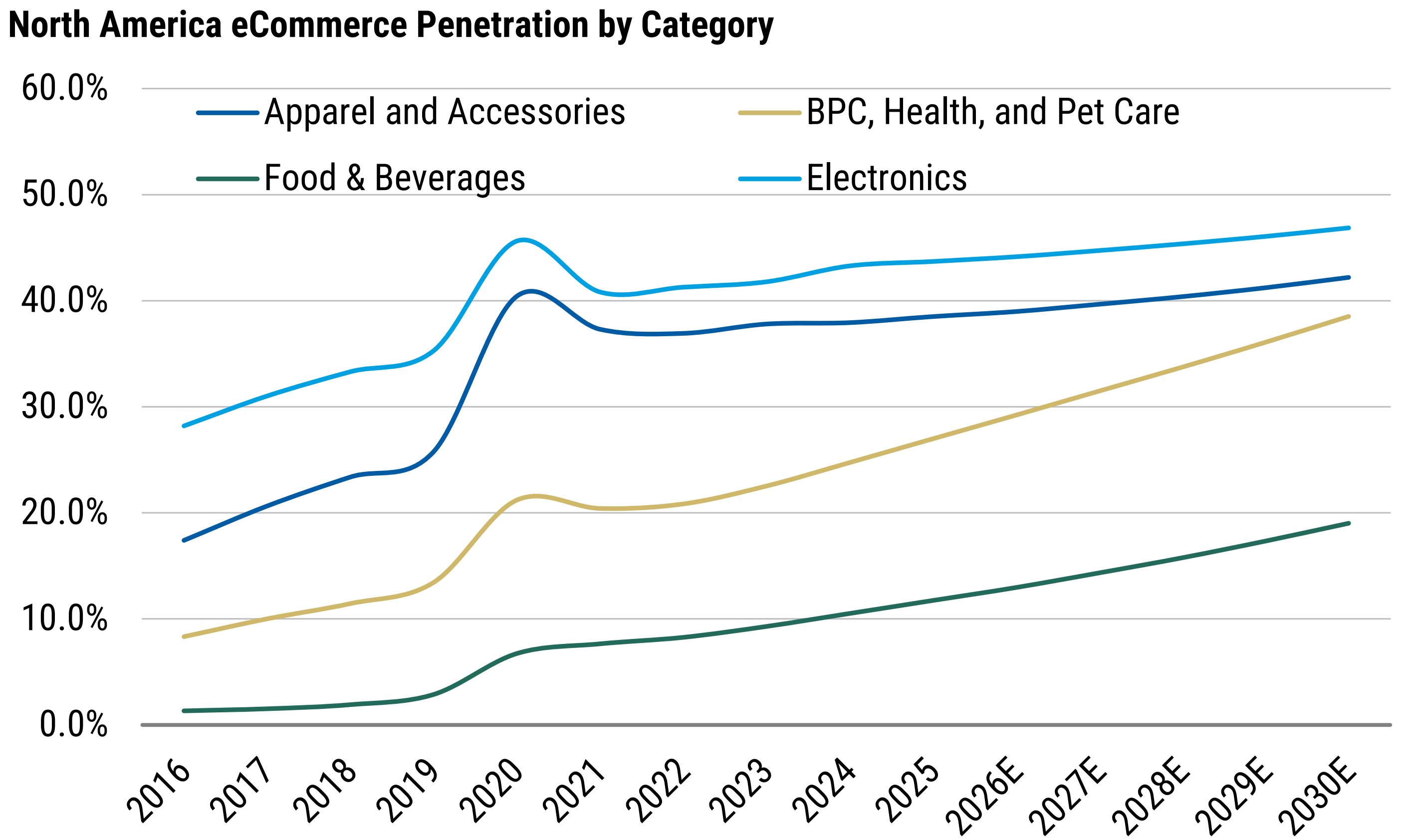
Source: Census Bureau, Company Data, Morgan Stanley Research estimates

Exhibit 53: North America Growth & Penetration



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Exhibit 54: North America Penetration by Category



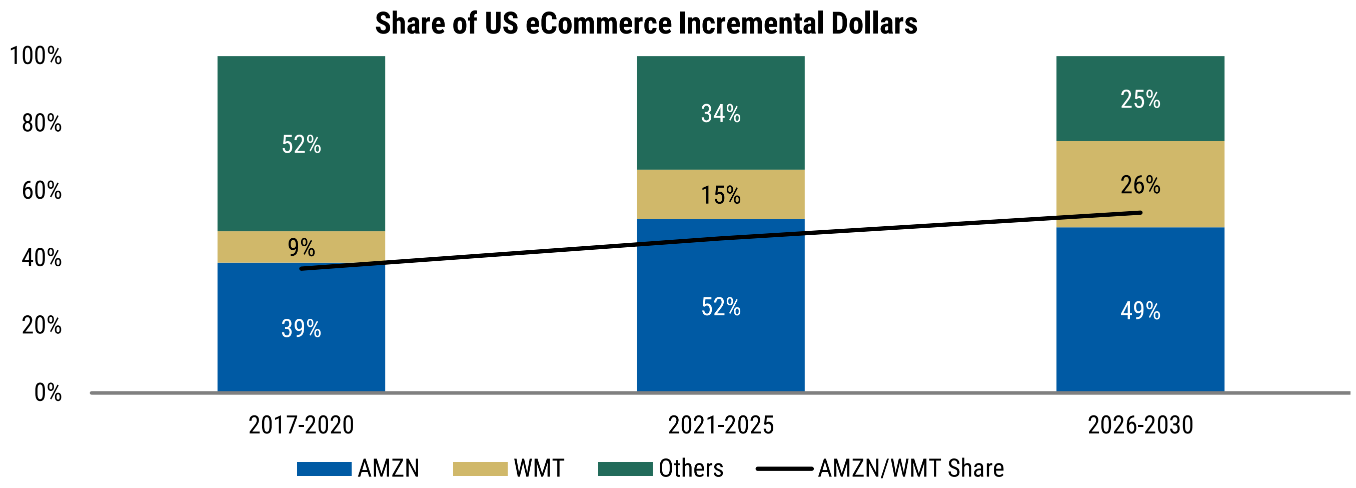
Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Market Share Trends

AMZN and WMT continue to create & capture the majority of incremental dollars...: AMZN has continued to take meaningful share in US eCommerce, growing share ~60 bps y/y to 41% in FY25. AMZN has taken ~50% of incremental eCommerce spend over the past 4 years, a trend we expect to continue, if not accelerate, through 2030. Increasingly this growth is being fueled by non-discretionary items (~15% eComm penetration vs. ~40% for discretionary) which are growing mid-teens & supporting AMZN's continued LDD% GMV run-rate. WMT has been expanding its incremental share gains given its new flywheel supports investing in the value proposition, densifying and scaling delivery, and growing memberships. We estimate WMT has been taking mid-teens share of incremental US eCommerce spend over the last several years, growing share by ~80bps to ~8% in FY25. **We believe the logistics and consumer moats that have powered AMZN & WMT's share gains will grow in importance as we enter an increasingly agentic world… especially if agentic uniquely benefits grocery adoption as we anticipate.** As a result, we model AMZN/WMT will capture 49%/26% of incremental eCommerce dollars over the next 5 years.

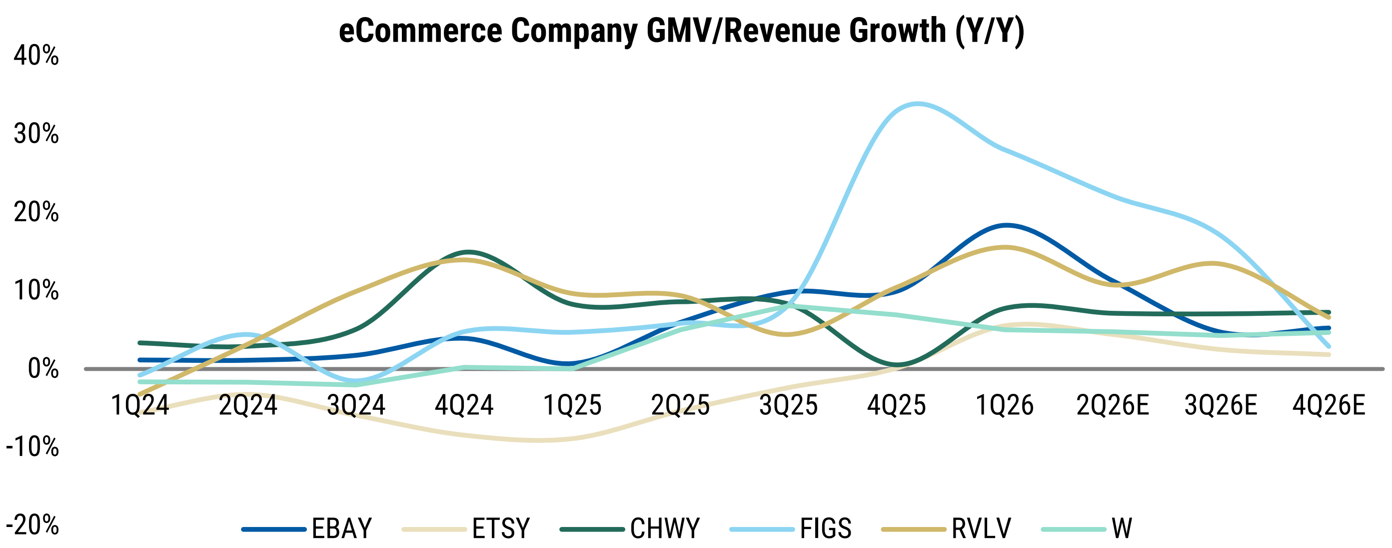
...although SMID Internet have seen outsized near-term results, shifting focus to sustainability: Across SMID internet names in our coverage, which lean far more discretionary, performance struggled post-COVID with average FY24 growth of 1.8%. However, that's started to meaningfully change as growth accelerated to 6.4% in FY25 and has further stepped up to 13.9% in 1H26. We would attribute a few drivers of this trend: reversal back towards discretionary spend from services/non-discretionary, AI-led efficiencies, benefits from performance marketing enhancements, and stronger execution after many companies over-extended in COVID. Some of those drivers may be durable, but we'd expect a greater variance in growth from here, making it more important to isolate winners & losers.

Exhibit 55: AMZN and WMT have taken outsized share over the past 6 years, capturing ~190 bps of share annually on average, a trend we expect to persist as consumers continue to consolidate share of wallet



Source: Company Data, Morgan Stanley Research

Exhibit 56: Topline growth has accelerated meaningfully across SMID eCommerce names over the past ~18 months



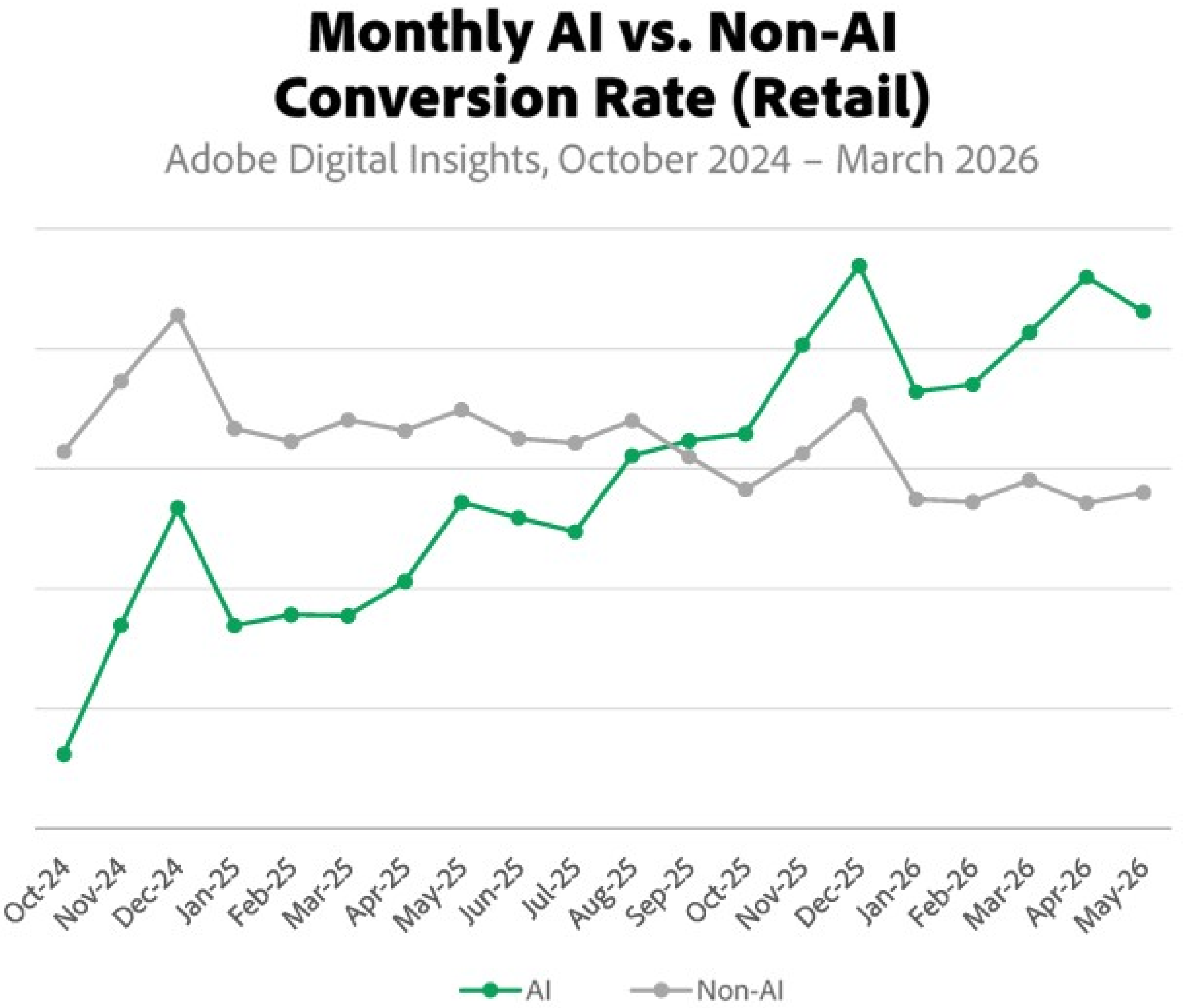
Source: Company Data, Morgan Stanley Research

Agentic Playbook and Implications

We see agentic as the next era of eCommerce…: Agentic commerce effectively lets every consumer have their own personal shopping agent. This will enable eCommerce to be more convenient, relevant, and personalized… leading to faster digitization of consumer's wallets. We've seen rapid development in this space with vertical agents getting launched & integrated into experiences while the pipes are being built for horizontal agents (such as GOOGL's UCP). Early signs are positive as agentic drives improved conversion, as Adobe has shown AI-referred traffic is converting ~54% better than non-AI traffic… and improving materially.

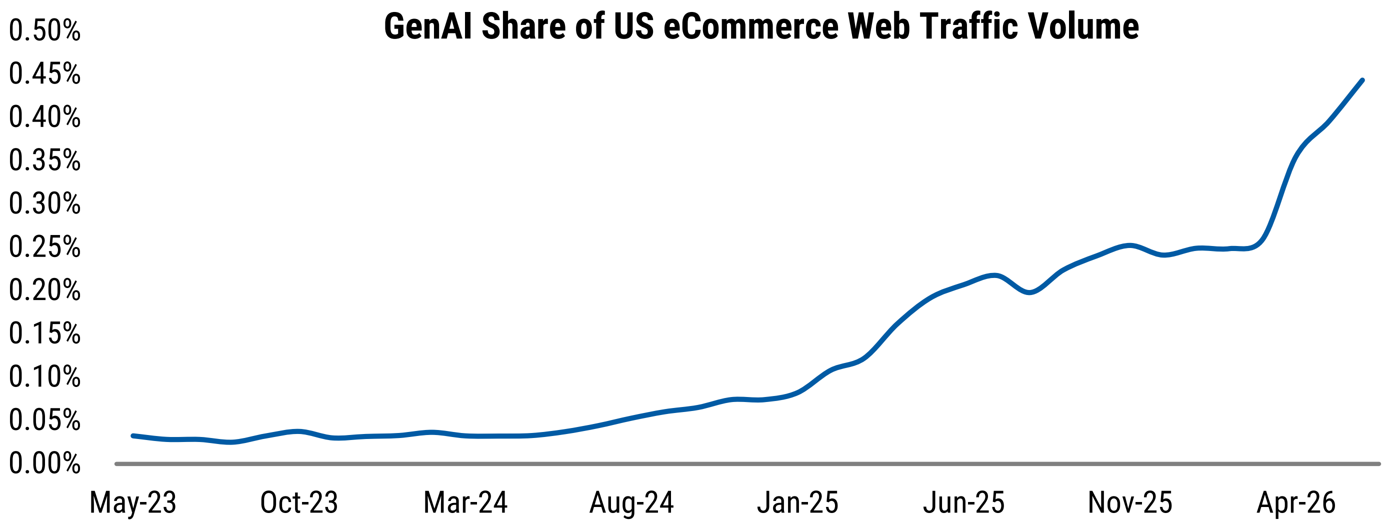
… but it's in early stages today: Despite our enthusiasm about the potential for agentic, it's important to note where it sits today. Similarweb shows horizontal agents now make up 44bps of web traffic, up 23bps y/y but still very small in absolute terms. Vertical agents like AMZN's Alexa+ are showing faster adoption, but still remain small at ~2% of AMZN's GMV. Agentic will take time to scale: not only do companies need to launch and iterate to find effective products, consumers then need to test them and integrate them into their normal routine (which takes far longer than enterprise adoption). For context, in the 2000s about 42% of people shopped online, but that represented just 1% of adj. retail spend. From here, the major items we're watching are horizontal and vertical agentic feature development along with consumer adoption of those tools.

Exhibit 57: Adobe has reported that AI traffic is converting ~54% better than non-AI traffic... and AI traffic is improving rapidly



Source: Adobe

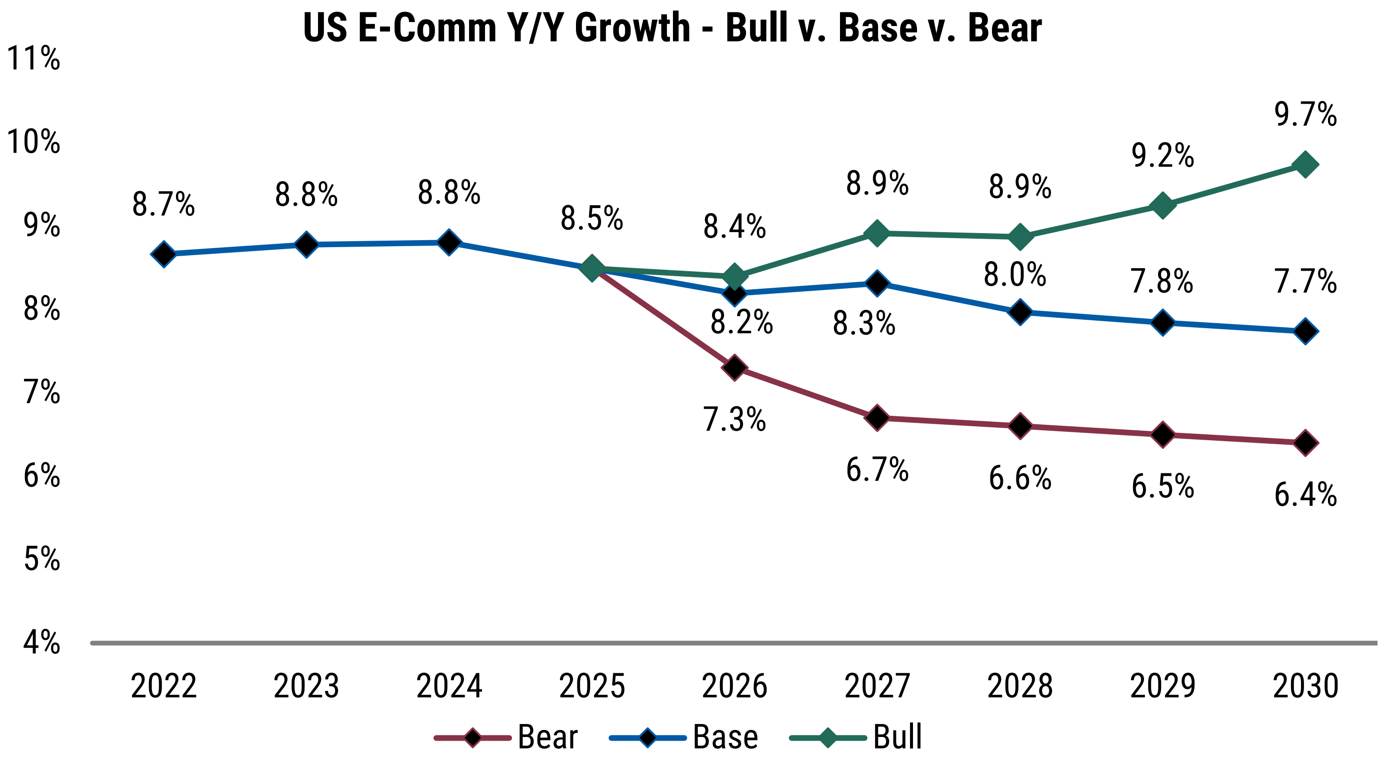
Exhibit 58: GenAI traffic to eCommerce sites has grown meaningfully, but remains small at <50bps of total traffic



Source: SimilarWeb, Morgan Stanley Research

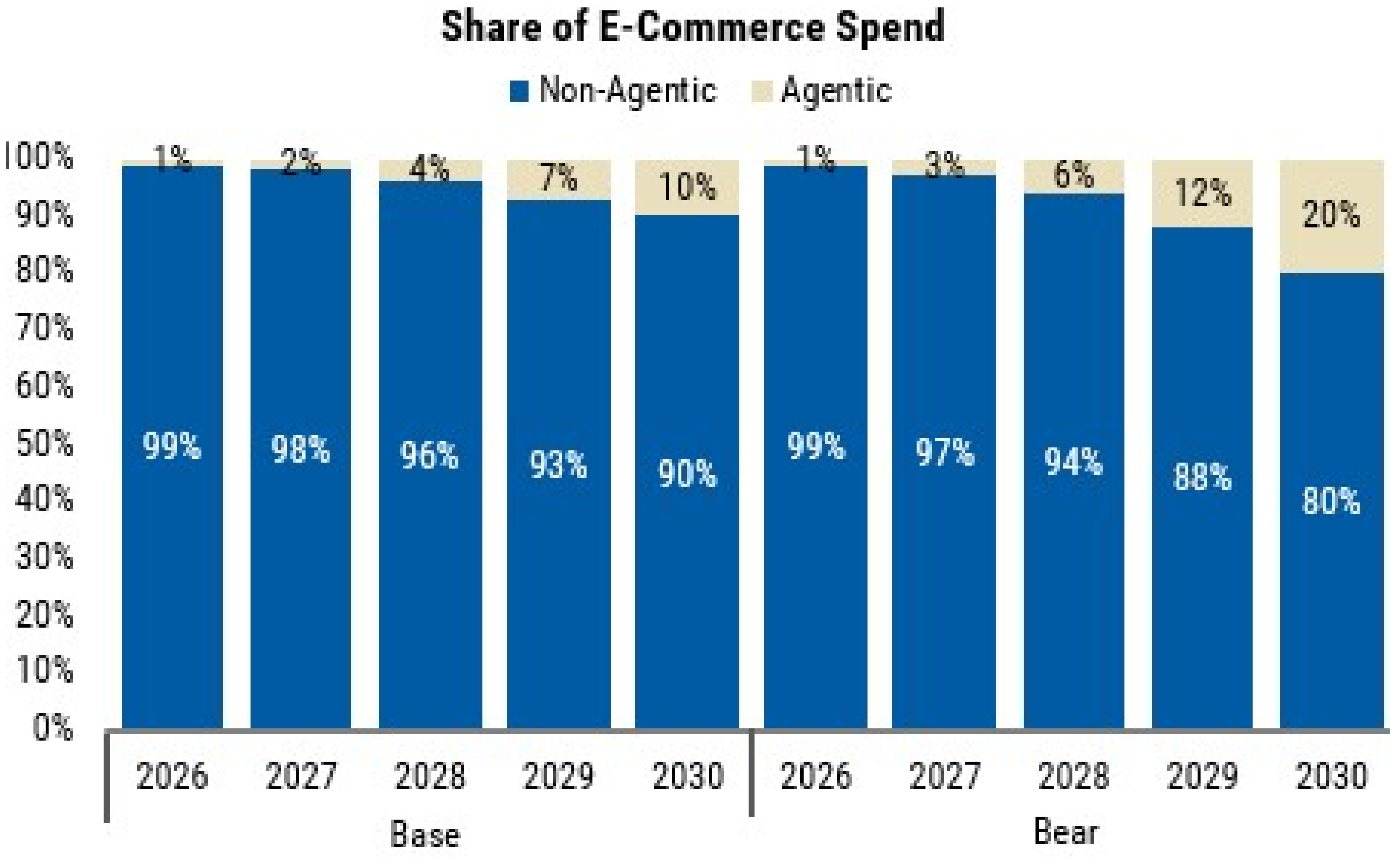
In our early sizing work, we model agentic-enabled purchases to expand to ~10% of eComm spend by 2030: Our bottom-up user adoption and retail category-level agentic commerce model shows how agentic could reach ~$194B to ~$388B of US eCommerce spend by 2030. We benchmark our adoption curves vs. eCommerce in the 1990s and mobile eCommerce in the 2010s, with agentic reaching 10% eCommerce share in our base case and 20% in our bull case by 2030. However, it's a relatively small portion of eCommerce today as we estimate just ~1% share in 2026. Please reach out for our agentic eCommerce model.

Exhibit 59: We see Agentic eCommerce Adding More than 100bps/300bps to Annual Growth by '30 in our Base/Bull respectively...



Source: Census Bureau, Company Data, Morgan Stanley Research

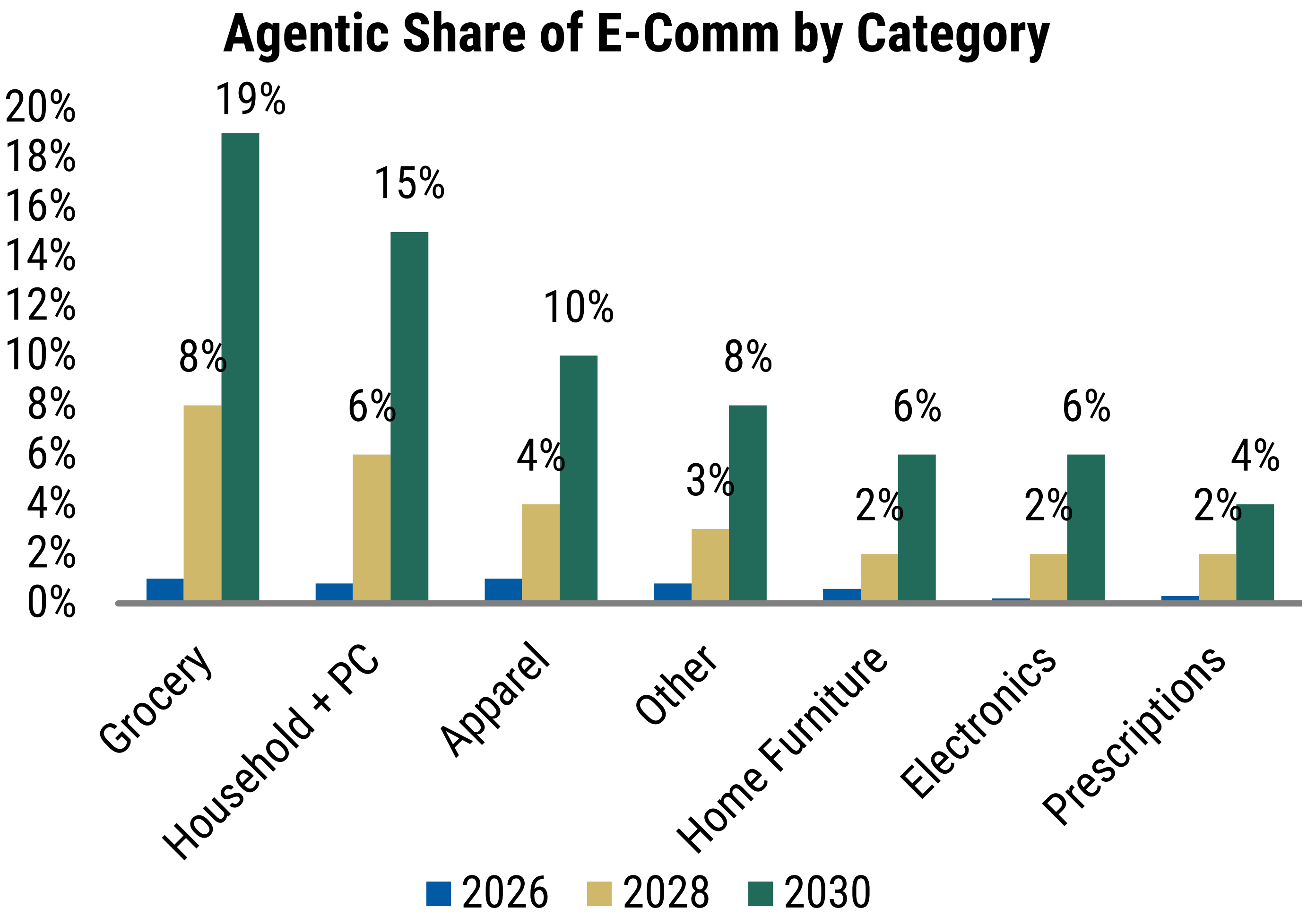
Exhibit 60: ...as Agentic Spend Reaches ~10%/20% of total eCommerce spend by 2030 in our Base/Bull Case



Source: Morgan Stanley Research

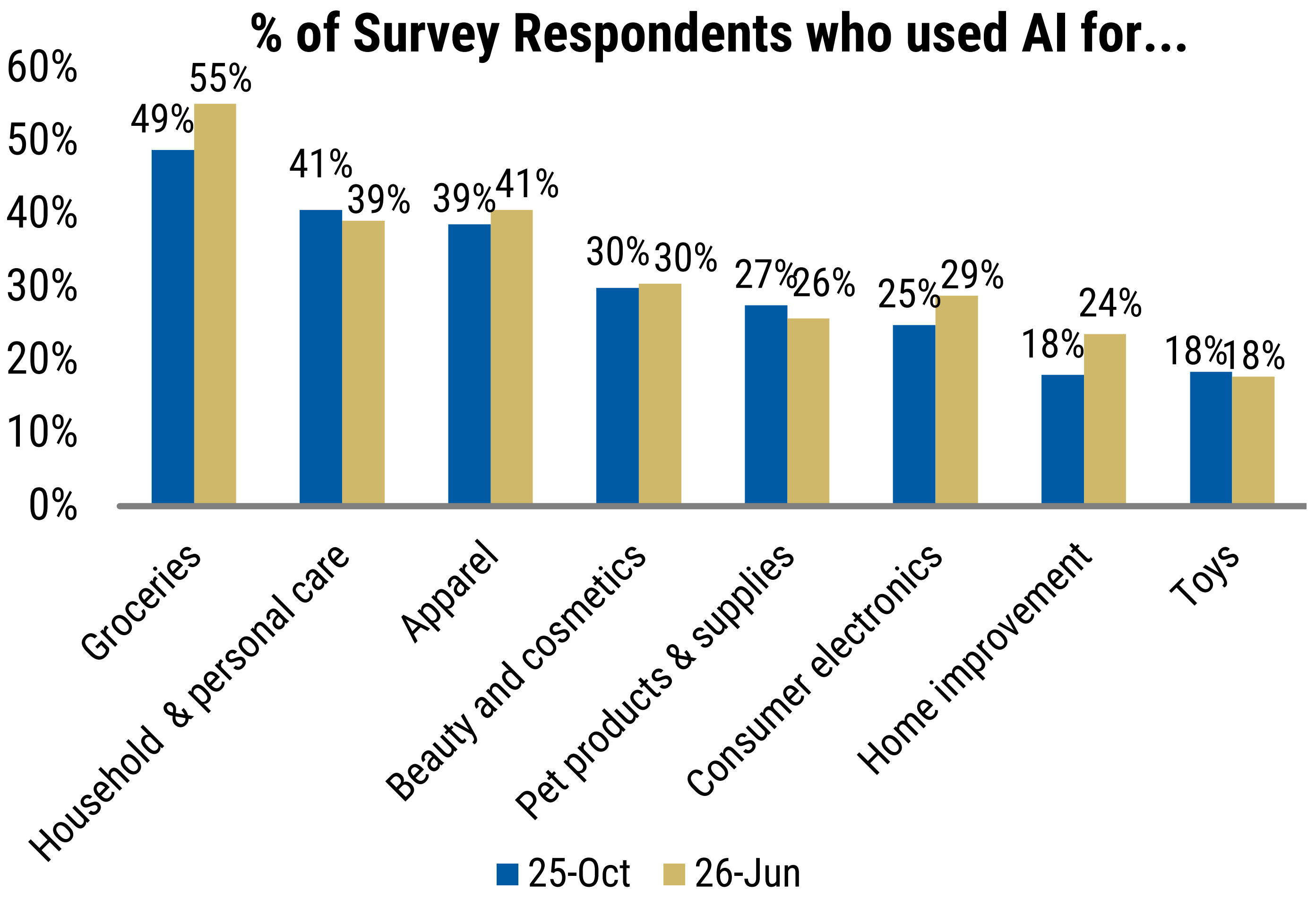
On a category basis, watch grocery & apparel: We think agentic can have the largest impact where the current eCommerce experience has high friction. Two areas stand out: grocery (& associated household products) and apparel. For grocery, we think agentic could enable a significantly better consumer experience. Instead of searching for individual items, shoppers can shop categorically (i.e. "buy ingredients for steak tacos"), which should significantly reduce time needed to complete an order. Agents could also quickly price compare across vendors, potentially making online grocery structurally more attractive than shopping in-person. Our consumer survey shows grocery has the highest agentic usage already, a contrast to its low eCommerce share. We forecast ~20% of online grocery dollars moving to agentic by 2030. On apparel, one of the largest friction points in the category is trying to find specific items in a sea of long-tail inventories. We think agents are well-tailored to solve this problem in both directions by allowing contextual searches ("trendy summer shirts"), as well as more narrow searches than possible in the status quo ("Made in the USA, 100% cotton white t-shirts with a boxy fit"). Our consumer survey shows AI use in apparel purchases grew ~200bps from October 2025 to June 2026 and is the 2nd most common category purchase through agentic.

Exhibit 61: We expect grocery & household items to see particularly strong agentic adoption...



Source: Morgan Stanley Research

Exhibit 62: ...with grocery and apparel both showing increased AI usage over the past year



Source: AlphaWise Survey, Morgan Stanley Research

Agentic Commerce Stock Call-Outs

Amazon (AMZN, Overweight, Covered by Brian Nowak)

AMZN remains a key pick across our large cap coverage as an underappreciated GenAI leader across retail: AMZN remains a key pick in Large Cap US internet as we estimate the company will continue to take ~$0.50 of every incremental US eCommerce dollar through 2030 (see Exhibit 55). AMZN continues to be a leader in selection and delivery speed, and we see further improvement in shopping assistants, inventory and logistics routing, robotics, advertising tools, an acceleration in fresh/perishables, and more resulting in durable HSD% GMV growth long-term. While the market tends to focus on AWS and its strong GenAI position, we think AMZN's long-term grocery/CPG opportunity is underappreciated, as AMZN continues to innovate in the area, sees early signals of acceleration ($150bn+ grocery/essentials GMV, 150+ annual grocery customers, and ~40x growth in same-day perishables since its 2025 launch), and captures incremental share of the ~$1.7tn offline grocery TAM. Our '27/'28 EBIT estimates are ~12%/15% above Street and we remain OW-rated with a $330 PT (~33% upside), which implies paying ~29x $10+ of '27 EPS, still a ~30% discount to peers on a growth adjusted basis.

Agentic view: We see AMZN's inventory, infrastructure, and innovation as durable advantages in the transition to agentic commerce: Given AMZN's deep fulfillment moat (infrastructure), broad selection at various price points (inventory), customer data, and innovation, we believe AMZN is best positioned to take share in the upcoming transition to agentic commerce. While AMZN has not yet integrated with horizontal agents, AMZN's on-platform shopping agent, Alexa for Shopping, continues showing early signal with 300mn+ active customers and $12bn incremental GMV in 4Q25, implying the tool was associated with ~2% of AMZN's GMV. Additionally, AMZN's fulfillment network and Prime lock-in are structural advantages that other players will struggle to replicate, regardless of whether platform-specific agents or horizontal agents emerge as winners. *For more detail please see our deep-dive on agentic commerce here.*

eBay (EBAY, Overweight, Covered by Nathan Feather)

EBAY is our favorite name in SMID eCommerce, as we think the market is under-appreciating the durability of GMV growth. Despite being widely perceived as a melting ice cube 1-2 years ago, EBAY has now delivered 8 consecutive quarters of positive FXN GMV growth & DD EPS growth. With the focus categories strategy stabilizing the enthusiast base, EBAY has been able to increase investments in innovation (i.e., geographic initiatives and Gen AI seller tools), which we believe can help lead to select share gains — not just stabilizing losses. We're particularly out of consensus on our view that collectibles growth is more structural than realized, helped by the complementary nature of live selling. We now believe EBAY is back to sustainable, positive ~MSD% GMV growth with various bets that could sustain HSD% GMV growth such as EBAY Live, GenAI seller tools, agentic, and the FB Marketplace partnership. With opportunities for take rate & margin expansion in the medium-term, ~$4B of cash/investments, and >$3.5B in annualized FCF, we model a 11% adj. EPS CAGR with potential for mid-teens growth. EBAY's FY2 P/E multiple has re-rated from 13x to 16x over the past year as GMV growth improved, but we see room for further outperformance given mature marketplaces often trade at >20x if the market can underwrite the durability of growth.

Agentic view: As underappreciated agentic winner with three key ways EBAY stands to benefit: First, EBAY's primary point of differentiation is its large and unique inventory base (~2.5B items, 90% of which are used or not in-season). This should give EBAY strong visibility within horizontal agents as well as an opportunity to significantly benefit from onsite agents that can better connect buyers with its long-tail items. Second, we think the larger base of used and C2C inventory gives it a pricing advantage which could further boost its horizontal agent visibility & conversion. Finally, agentic listing tools could reduce seller friction, creating more/higher quality listings. EBAY has already demonstrated value here, with its "Magic Listings" tool driving a 50% increase in listings per seller. Net-net, we view EBAY as one of the best-positioned eCommerce names for the agentic shift. *For more detail see our EBAY agentic deep dive.*

Chewy (CHWY, Overweight, Covered by Nathan Feather)

A compelling entry point for long-term investors, albeit an unclear catalyst path: With shares down ~45% YTD, CHWY now trades at ~17x FY2 P/E despite a ~20% EBITDA CAGR. That is well below intrinsic value, in our view, with the de-rating attributable to a weak pet macro and concerns about share loss to AMZN/WMT. Despite concerns, we don't see compelling evidence that CHWY has lost significant share in the online pet market and would note that CHWY has defended its moat in this space for years with a weak macro often mistaken for share loss (such as in '22/'23). Zooming out, we continue to see ~HSD% long-term revenue growth for CHWY led by: continued ~LSD% customer growth, ~MSD% normalized NSPAC growth, and unmodeled upside for CHWY from its vet clinic expansion (in our bull case, CHWY clinics contributes ~17% of growth from '25-'30). However, we acknowledge the murky near-term path. On EBITDA margin, we expect ~100 bps of margin expansion annually led by fulfillment efficiencies, health, and advertising. This should enable CHWY to grow EBITDA margin from ~6% in 2025 to ~10% in 2030… powering a 20% EBITDA dollar CAGR. While we acknowledge uncertainty in the pet macro and a lack of clean catalysts in the near-term, we continue to be bullish on CHWY's long-term fundamentals and see a compelling entry point for long-term investors.

Agentic view: Pet category is likely a late agentic adopter which diminishes the debate, although CHWY's positioning is mixed: We see agentic adoption moving slower in pet relative to other categories as it's a vertical where most purchases are low-friction and repeat (the fact that ~85% of CHWY's customers are on an Autoship is quite telling). With pet a laggard, we see CHWY as relatively insulated over the medium-term. However, CHWY's share within agentic channels is a question as they sell commoditized products at prices in-line with peers without ultra-fast (<1 day) shipping… which could place their #1 position within pet eCommerce at risk. With that being said, agentic could help CHWY if it accelerates pet eComm adoption or their differentiators support strong rankings among horizontal agents (health, customer service).

Walmart (WMT, Overweight, Covered by Simeon Gutman)

WMT's evolving flywheel continues to fuel market share gains, improve eCommerce profitability, and support ongoing reinvestment. After years of investing behind digital capabilities and competing with online disruption, the company has entered a phase where both eCommerce revenue and profits are accelerating. Growth in online sales across first- and third-party channels, coupled with rising advertising revenue, membership income, and increased automation, is fundamentally reshaping Walmart's earnings profile. We believe these drivers can support low-double-digit EBIT growth and incremental margins over the next several years.

Within our U.S. eCommerce framework, we project EBIT to reach approximately $10.3 billion by 2028, driven primarily by continued strength in advertising and improving profitability in first-party eCommerce as scale increases and automation lowers costs. This progress should further reinforce Walmart's competitive position, enabling sustained market share gains and allowing the company to capture a low-double-digit share of incremental retail spending. Our $140 price target is based on roughly 44x our FY28 EPS estimate of $3.16, equivalent to approximately 22x our FY28 EBITDA forecast of $52.8 billion under our sum-of-the-parts valuation. While this multiple exceeds Walmart's historical valuation range, we believe it is justified by the company's transformation from a traditional brick-and-mortar retailer facing eCommerce disruption into a leading omnichannel platform and supply-chain innovator.

Regarding agentic commerce, WMT has rapidly evolved from an early AI experimenter into an "AI native" retailer. The centerpiece of this transformation is Sparky, Walmart's AI shopping agent, which has scaled dramatically — Sparky-attributed GMV surged over 150% in Q1 FY2027 alone, and customers who engage with Sparky show ~35% higher average order values versus non-users — a meaningful signal of the commercial lift AI is generating. WMT has also secured high-profile LLM partnerships, including integrating WMT's catalog into Google's Gemini via the Universal Commerce Protocol, positioning the company at the center of the emerging agentic commerce ecosystem. In addition, the scale of WMT's in-store and online data connected to its agentic platform is a key competitive advantage. Sparky's intelligence is built on decades of omnichannel purchase history, enabling it to understand household composition, anticipate replenishment needs, and deliver personalized, mission-based "whole-basket" recommendations rather than simple single-item searches.

Target (TGT, Overweight, Covered by Simeon Gutman)

TGT operates a ~$20 billion digital business built on same-day fulfillment (Drive Up, Order Pickup, same-day delivery). Digital comps grew +LSD% in FY'25, Target Plus 3P Marketplace GMV rose over 30% to ~$1 billion, and digital guests spend 20–30% more at TGT overall. TGT's slower progress in digital, as compared to WMT's or AMZN's is attributable to its smaller scale, reduced inventory availability, more limited fulfillment capabilities, and less competitive price points. That said, we believe TGT has potential to leverage its Target Circle loyalty data to generate incremental sales, with Circle 360 members spending 7x more than non-members. **On agentic commerce,** TGT is the first mass retailer live across LLMs including Google Gemini and Microsoft Copilot, enabling conversational shopping and loyalty integration, with scale and curation as its core advantages. The key watch item, in our view, is converting platform partnerships into a measurable GMV lift — something WMT has already demonstrated with Sparky.

Wayfair (W, Overweight, Covered by Simeon Gutman)

W is using AI to reinvent discovery in a category defined by style and visual complexity. The company has deployed AI across catalog enrichment, on-site personalization, and visual discovery — including Muse (AI-powered home inspiration) and the Discover tab, which is already driving measurable conversion lifts. Its next unlock, Wayfair Stylist, aims to allow customers to upload a photo of their room and instantly populate it with shoppable products. **On agentic commerce,** Wayfair has partnered early with Google (UCP founding partner), Perplexity, and Microsoft Copilot among others to ensure Wayfair surfaces across the various platforms. Traffic from these channels is at present relatively small, but growing quickly, and converts well given the high purchase intent of users arriving from LLM platforms. Critically, home goods is unlikely to be fully automated by agents — the category has relatively low purchase frequency and a high visual/fashion component — meaning Wayfair's role as retailer and its proprietary data moat (purchase history, style preferences, supplier relationships) remain durable competitive advantages.

Shopify (SHOP, Overweight, Covered by Josh Baer)

Structural Share Gainer Building the Agentic Commerce Infrastructure. In our view, Shopify stands out in the new software paradigm as one of the rare assets pairing a durable moat today with a short journey to AI contributing to growth in the near-term. Its position across storefront, checkout, payments, merchant operations and offline commerce — reinforced by a scaled merchant base, broad product inventory, proprietary transaction data and rapid innovation — makes Shopify increasingly difficult to replicate and well positioned to gain share as commerce becomes more agentic. Importantly, Shopify's core growth engine is strengthening pre real materialization of AI tailwinds, delivering ~30% GMV growth in FY25, benefitting from large merchant expansion, international strength, and offline POS gaining scale. We see these three vectors, Enterprise, International, and Offline, continuing to support upside to our ~25% CY25-CY27 modeled GMV CAGR as larger migrations, localized payments and go-to-market investments, and POS continue to scale.

AI and agentic commerce further strengthen the Shopify flywheel as Sidekick lowers the cost and complexity of starting and operating a business, while the Product Catalog, Agentic Plan, and UCP position Shopify as the infrastructure layer for agent-led discovery and transactions. While early, Shopify is seeing momentum, with AI search driving twice as many new buyers to merchant sites as traditional search, and weekly Sidekick usage is up 4x YoY, accelerating a powerful flywheel where more merchants add more inventory and data, better discovery and conversion drive more GMV, and greater scale funds faster innovation and further merchant acquisition across the platform. Against this backdrop, we view the recent selloff following Sidekick-related token cost concerns as a compelling entry point, believing these costs are pointed investments in future growth and monetization. A 25% topline growth CAGR through CY27 plus FCF margins expanding ~120 bps from FY25 to FY27 supports a ~30% FCF CAGR, making valuation at ~1.5x growth adjusted EV/FCF look attractive relative to Large Cap Software peers at ~1.6x. **Remain OW.** *See Shopify Inc: Laying the Rails for Agentic Commerce: How Does Shopify Win in Agentic? for detailed thoughts on Shopify's agentic positioning.*

Latin America

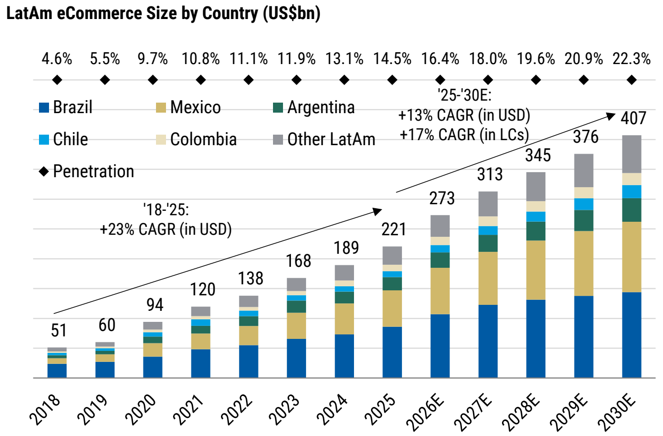
Andrew Ruben, Alexandre Namioka, Joao Marcelo Nogueira

Market Outlook

For further LatAm eCommerce industry detail, see Global Competition Playbook: The Battle for Buyers & Sellers (19 Apr 2026).

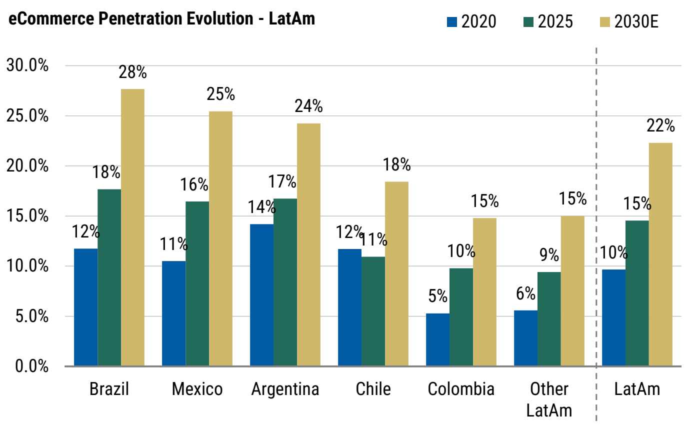
LatAm eCommerce remains competitive, particularly in Brazil, while the investment backdrop serves to accelerate the shift online; we forecast a +13% USD GMV CAGR (+17% ex-FX) through 2030E. LatAm eCommerce volumes reached ~US$220bn in 2025, representing 14.5% of retail sales. Penetration rose +140bps y/y, for a fourth consecutive year of accelerating gains as top online platforms improve convenience, selection, and speeds faster than offline retail innovates. Namely, companies are racing to bring new buyers, sellers, and purchase occasions online, backed by capital investments (including logistics build-outs) and operating investments (including customer acquisition and buyer/seller subsidies). We see this continuing and forecast a +17% ex-FX / +13% USD CAGR for LatAm eCommerce volumes through 2030, reaching ~22% penetration, slightly below today's global average (Exhibit 63 and Exhibit 64). Our industry estimates are unchanged versus our April LatAm eCommerce analysis.

Exhibit 63: We forecast LatAm eCommerce penetration reaching 22% in 2030E...



Source: Euromonitor, National Data, Sources, Company data, Morgan Stanley Research estimates

Exhibit 64: ... led by Brazil, Mexico, and Argentina, while the rest of the region has a greater catch-up opportunity

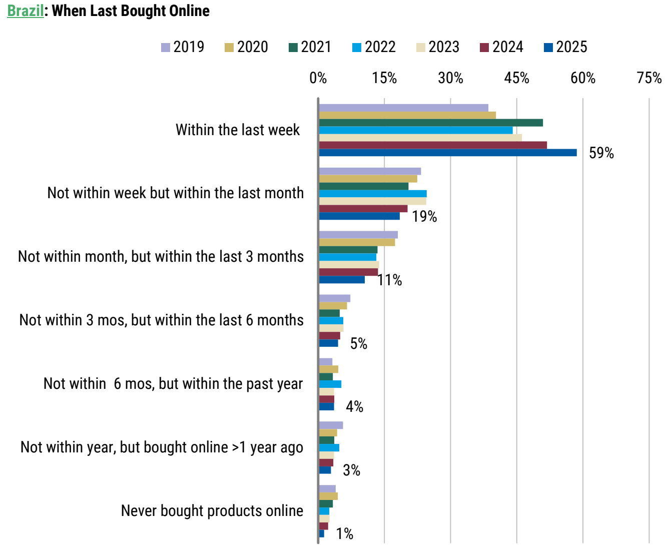


Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

AlphaWise data show frequency gains which support our growth outlook, while demonstrating a big-getting-bigger trend at the platform level. Purchase frequency gains stood out in our 8th AlphaWise Brazil & Mexico eCommerce survey (conducted November 2025). A sizable 59% of Brazil consumers reported a past-week online purchase, up +7pp y/y and marking survey highs (Exhibit 65); Mexico past-week penetration was 52%, in-line with prior highs. Uptake of agentic commerce tools that can further reduce online buying friction remains nascent, used by just 12% of Brazil consumers in the past 3 months (flat y/y). In our view, this indicates further runway for the online shift as AI-enabled roll-outs broaden. We see use of other AI tools as a leading indicator for eCommerce uptake: only 17% of Brazil consumers did not report using any

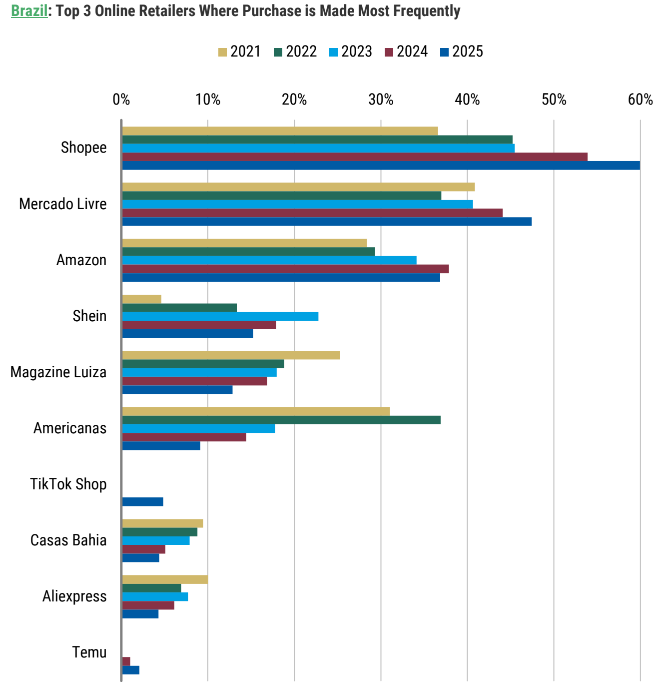
GenAI tools over the past 3 months (-10pp y/y) and only 18% in Mexico (-9pp) reported no usage. For platform trends, survey data show a big-getting-bigger trend, with gains for Shopee and MELI in Brazil (Exhibit 66) while local operators cede ground, and gains for Amazon and MELI in Mexico.

Exhibit 65: AlphaWise data show frequency gains, with 59% in Brazil reporting online purchases within the past week, up +7pp y/y and reaching survey highs



Source: AlphaWise, Morgan Stanley Research

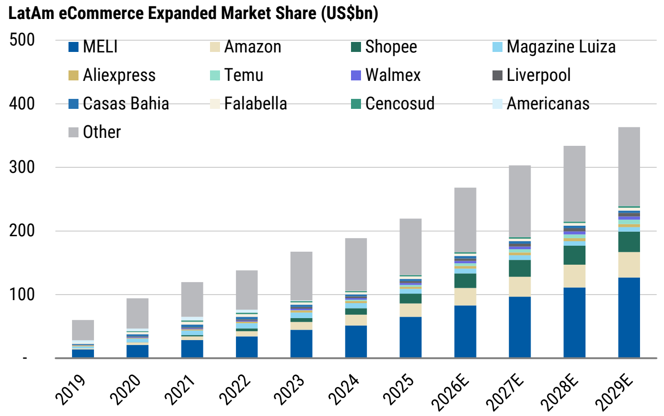
Exhibit 66: At the platform level we see a big-getting-bigger trend as both Shopee and MELI showed purchase frequency gains, while other major platforms declined



Source: AlphaWise, Morgan Stanley Research
Note: Americanas includes Americanas, Submarino, Shoptime, Soubarato; Casas Bahia includes Casas Bahia, Ponto; Magazine Luiza does not include Netshoes, Zattini

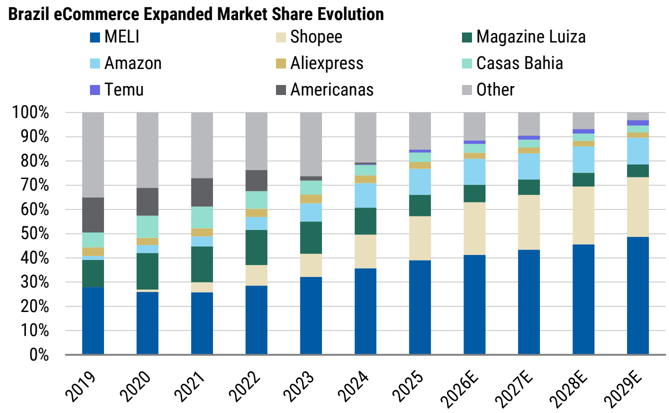
We continue to see MELI with a wide and expanding regional share lead, and while competition drives a range of profit outcomes our base case is that rationality holds. Our industry forecasts imply room for multiple online operators (Exhibit 67), particularly as agentic commerce helps enable the multi-year growth outlook. Speaking to MELI's scale lead we see ~30% LatAm eCommerce share, similar to the next 10-largest operators combined. We look for share gain across markets, including in Brazil (Exhibit 68) with MELI and Shopee expanding share while local operators and the long-tail cede ground. Margins and cost of growth are key to the competitive debate, with investments including shipping and marketing for MELI, seller acquisition for Amazon, and fulfillment infrastructure for Shopee. We laid out bull-bear scenarios in our April competition note, while developments since then support our base case of rational competition: companies invest behind buyer and seller acquisition, including promotional periods and new category/capability build-outs, with efficiency gains re-invested selectively into faster speeds or lower prices.

Exhibit 67: We see a rising industry tide with room for multiple LatAm eCommerce platforms to grow volumes...



Source: Company data, Euromonitor, SensorTower, Morgan Stanley Research estimates

Exhibit 68: ... while we see MELI as a share gainer regionwide and in the competitive Brazil market



Source: Company data, Euromonitor, SensorTower, Morgan Stanley Research estimates

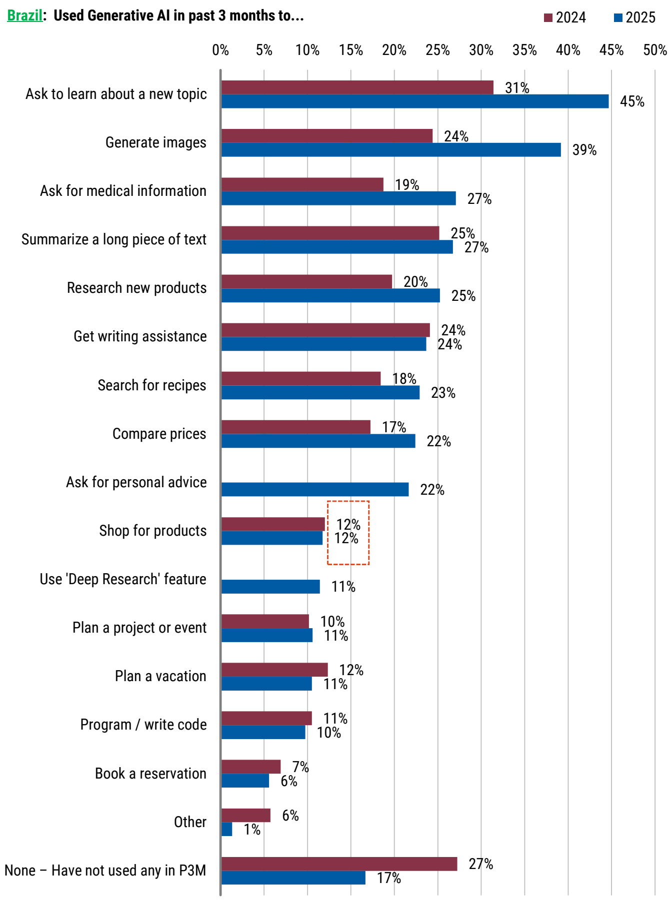
Agentic Playbook and Implications

AI uptake continues to ramp in LatAm, but the agentic opportunity remains open with select offerings launched and no major LLM partnerships yet announced within our coverage; WhatsApp acts as an early gateway. For broader AI uptake, we see major LLMs with ramping monthly app usage, while remaining below the top eCommerce marketplaces in both countries. However, unlike more developed agentic commerce markets such as the US and parts of Asia, we have not seen our covered LatAm platforms announce partnerships or integrations with generalized LLM providers. While remaining early, LatAm-based businesses did not feature as initial signatories for Google's UCP (here). SE's Shopee is an exception, both as a UCP signatory and with a ChatGPT partnership announced in June (here). The Shopee app is available in ChatGPT across Shopee's ASEAN markets and Brazil, enabling discovery via conversational prompts, while the shopping journey then continues on the Shopee platform.

For LatAm agentic innovation, the broad use of WhatsApp particularly in Brazil can act as a gateway. Magazine Luiza's "WhatsApp da Lu" and Nuvemshop's (private) WhatsApp native sales agent (here) are examples of early agentic innovation layers onto the WhatsApp platform. Our checks show Amazon's Alexa for Shopping (formerly Rufus) having launched in other developed markets across Europe (here) and in India (here), but this offering is not yet available in LatAm. **With eCommerce penetration below global averages and agentic commerce remaining nascent, we believe development and uptake of these tools can help power the next leg of the LatAm online shift.**

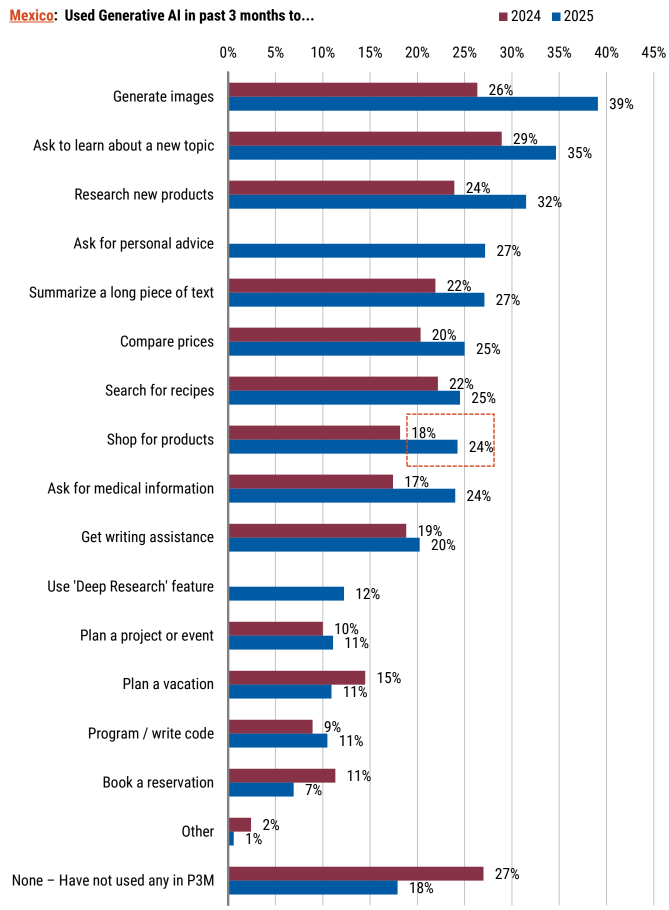
AlphaWise survey data corroborate increasing AI adoption but earlier-stage agentic commerce traction; AI shopping ticked up in Mexico in the mid-range of use cases, but was flat near the lower-end in Brazil. To gauge uptake in LatAm, in our November 2025 AlphaWise survey we asked Brazil and Mexico consumers around their use of generative AI tools over the past three months; time series detail is included as Exhibit 69 for Brazil and Exhibit 70 for Mexico, with age breakdowns as Exhibit 71 and Exhibit 72 . A sizable 83% of Brazil respondents and 82% in Mexico reported using a generative AI tool within the past 3 months, up from 73% in both countries last year. Learning, image generation, and research were among top areas, and usage over-indexes for younger cohorts. Related to eCommerce, product research was among the top 5 use cases in both countries, increasing y/y, and using AI to compare prices increased as well. Using GenAI to shop for products increased from 18% of Mexico consumers in 2024 to 24% in 2025, remaining toward the middle of use cases. However, shopping behavior was flat at just 12% of consumers in Brazil; we see a fast-developing space, but results demonstrate that AI agents are not yet an embedded part of the LatAm eCommerce purchase path.

Exhibit 69: Brazil consumers increased their usage of GenAI over the past year, while shopping was flat at 12%



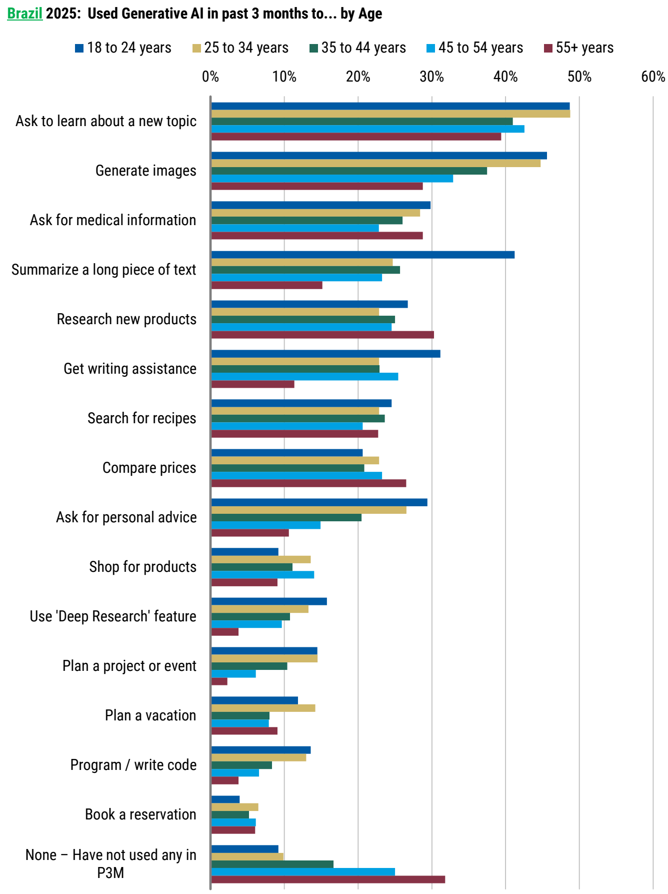
Source: AlphaWise, Morgan Stanley Research

Exhibit 70: In Mexico, product research was a top three use case, and GenAI shopping increased y/y with levels above Brazil



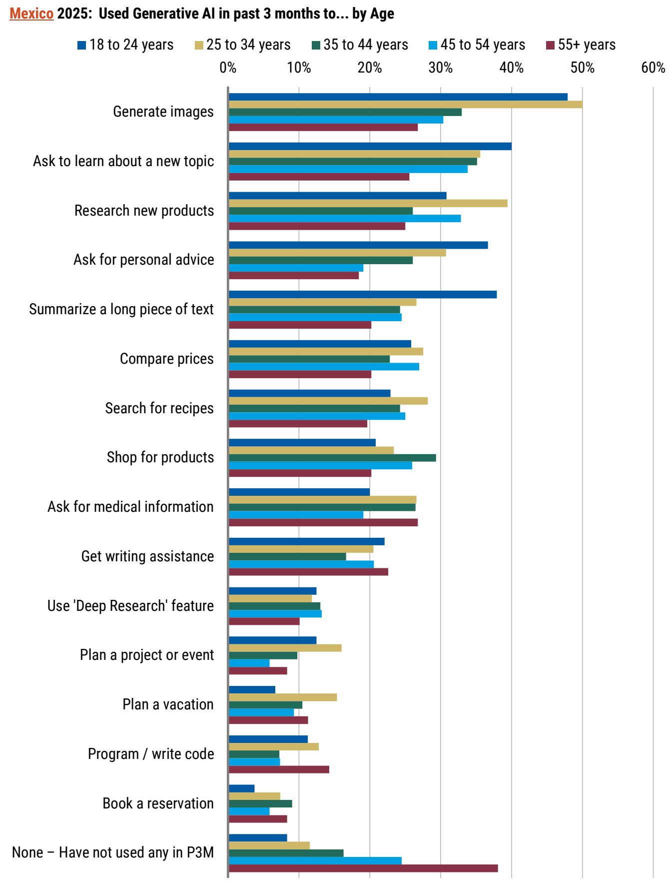
Source: AlphaWise, Morgan Stanley Research

Exhibit 71: We see younger consumers over-indexing for GenAI usage in both countries...



Source: AlphaWise, Morgan Stanley Research

Exhibit 72: ... while in Mexico the age 35-44 cohort had the greatest uptake of agentic shopping



Source: AlphaWise, Morgan Stanley Research

Agentic Commerce Stock Call-Outs

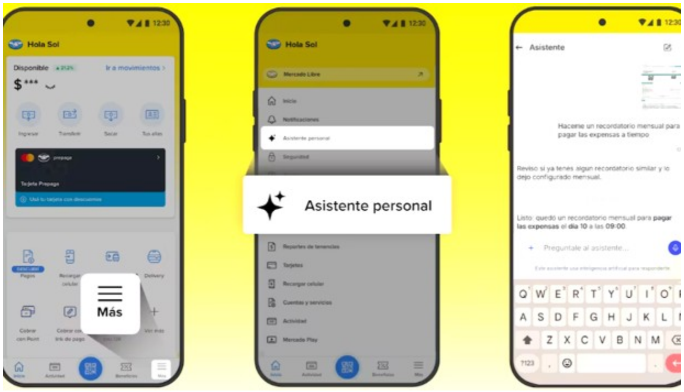
MercadoLibre (MELI.O, OW, Covered by Andrew Ruben)

MELI's external-facing agentic commerce efforts remain early, but we see the company well-positioned based on our scorecard analysis and tech adoption track record (including a Fintech agent). MELI has not yet launched a dedicated AI shopping agent akin to Alexa for Shopping or Walmart's Sparky. However, management has cited a buyer-facing eCommerce agent in the works; we see room to remain patient as these offerings to-date are less-developed in LatAm than other regions. In the build-versus-partner debate, MELI has indicated openness to discussions with LLM operators, but no immediate urgency to implement integrations. As detailed in our London and New York conference takeaways, MELI is focused on developing their own agents and further reducing friction (such as in search) for buying on-platform. Their emphasis on consumer principality and not handing catalog access to third-party LLMs fits the retailer-control theme as we previously detailed.

MELI sees its buyer base (121mn unique buyers in 2025), data, and direct traffic supporting their own platform as the starting point for search and discovery. To-date, we see broad signs of AI activity across the organization, including the launch of an AI assistant in

Mercado Pago (see company site and Exhibit 73) and embedding LLMs into search, ads, and seller tools. With the agentic fintech launch, we expect a similar commerce solution to follow (and potentially, an eventual integrated offering). Our scorecard analysis shows MELI with favorable positioning; this includes its market share, app base, platform tie-ins (loyalty, fintech, logistics), and inventory breadth (Exhibit 74).

Exhibit 73: MELI has rolled out an agentic Fintech offering, and we expect a buyer-facing commerce solution to follow...



Source: La Nacion (here)

Exhibit 74: ... with our scorecard analysis indicating MELI has favorable positioning for the agentic era

Own Agent Developed	Catalogue Integrated to LLMs	Loyalty Program	Fintech Offering
Actively Planned	No	Yes, high importance	Yes, high importance
Logistics Operation	**Off-Platform Ads**	**Direct trafic Share as % of Total**	**Total 5 I´s Score***
Yes, high importance	Yes, high importance	36%	21

Source: Morgan Stanley Research
*The 5 I´s Score is measured from 0 to 25

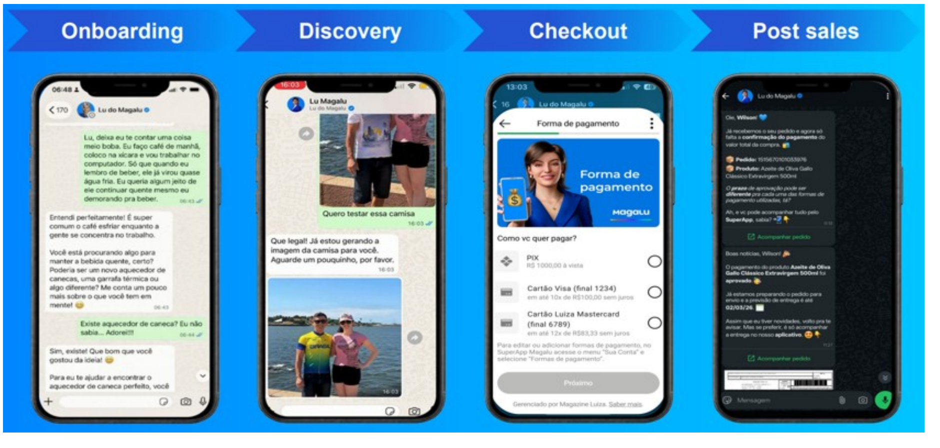
AI expenses have come into focus for MELI in recent months, but a track record of share gain gives us comfort in the 'incrementality' driving AI ROI. AI-related expenses came into focus for MELI alongside 1Q26 earnings, with product & technology expense up +27% y/y in USD despite decelerating headcount growth (+8% y/y) and management's plans to keep engineer headcount broadly stable in 2026. MELI discussed a broad roll-out of AI tools across its corporate workforce, with a goal of driving uptake before shifting more towards a resource management approach. We expect corporate AI usage to ultimately correlate with cost savings or product speed-to-market, while usage powering agents represents an ongoing operating cost. We see MELI with a track record of market share gain and growth uplift from investments (such as the June '25 Brazil free shipping reduction). This gives us comfort, albeit early, that the platform can generate incremental GMV from agentic AI adoption, key to ROI as discussed previously in this note. **With shares at 30x '27E P/E for a +28% '25-'28E NI CAGR and with AI uptake further powering the LatAm digital shift, we are OW-rated MELI.**

Magazine Luiza (MGLU3.SA, UW, Covered by Andrew Ruben)

Magazine Luiza's "WhatsApp da Lu" is one of the first and more concrete agentic commerce offerings in Brazil; we favor the initiative, including end to end purchase capabilities and reported KPI momentum... As shown in Exhibit 75 , in late-2025 Magalu launched an agentic commerce offering via WhatsApp, with an end-to-end purchase experience including discovery, cart and payment execution, and post-sale; there is real-time connection to the company's product catalogue. Early signs appear constructive, with management noting 9mn chats in the first 6 months and a 3x conversion uplift versus other channels. Management has commented on low CAC of the channel, and the agentic platform uses Google Cloud plus some open-source models running on Magalu Cloud. Per our discussion Analyzing Agentic Commerce Economics earlier in this note, we see sales incrementality as a key PNL offset versus LLM and cloud costs within the channel. In our scorecard analysis Magalu ranks favorably for agent development and logistics + financial services tie-ins, while lagging on metrics around inventory breadth, app frequency, and direct traffic share.

… while our illustrative sizing estimates point to a still-small impact, with a run-rate of ~0.3% of Magalu's eCommerce GMV. In their 1Q26 call, management noted "thousands and thousands" of orders in the quarter, while the top 5 selling products per the company's 1Q26 presentation (here) have combined for ~10k items sold. If we assume illustratively that 30% of the 9mn chats had shopping intent, and estimate 9% of those chats converted to orders (considering a 3x uplift versus a traditional ~3% conversion metric), this would imply ~250k P6M orders or ~500k annualized. At an estimated R$300 AOV, below Magalu's average as top-5 items did not contain high-ticket electronics SKUs, this would imply ~R$150mn of annualized GMV, or ~0.3% versus Magalu's total. Of note, a recent management interview corroborates our estimated order-of-magnitude, with Magalu citing R$100mn of GMV in the first 8 months post-launch (here). **We are UW-rated on MGLU3** amid eCommerce competition and top-down Brazil headwinds related to the durable goods cycle and benchmark interest rates**; an uplift from agentic solutions driving a tangible inflection in Magalu's online growth could drive us to revisit our view.**

Exhibit 75: Magazine Luiza highlights its "Lu's WhatsApp" AI Commerce experience, including multimodal conversation (text, pictures), embedded payments in the platform, and purchase tracking still within WhatsApp



Source: Company presentation

China

Gary Yu, Eddy Wang, Kathy Zhu, Joanne Lau

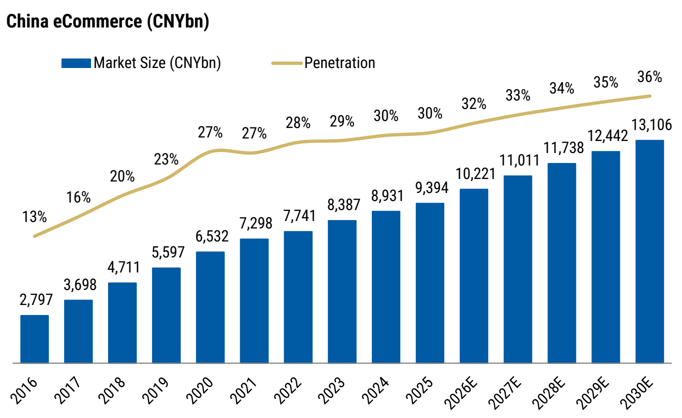
Market Outlook

GMV Forecasts & Drivers

In 1H26 China eCommerce faced a more challenging environment: besides weak consumption sentiment, platforms also faced a tougher comparison base from last year's national home appliance and smartphone trade-in subsidies (incremental boost is moderating after last year's demand pull-forward), as well as the one-year anniversary of the food delivery subsidy war that started in April/May 2025 (platforms pulling back subsidy amounts, which may also impact user/order growth).

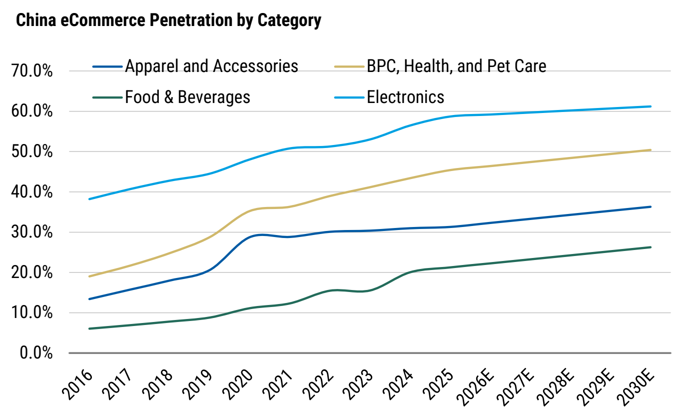
NBS data through May show overall consumption remains weak: total retail sales of goods rose only 1.4% yoy in 5M26. Online continued to outperform but also moderated, with online retail sales of goods and services up 5.9% and online goods up 5.0%. In May, total retail sales of goods declined -0.6% yoy.

Exhibit 76: China Growth & Penetration



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Exhibit 77: China Penetration by Category

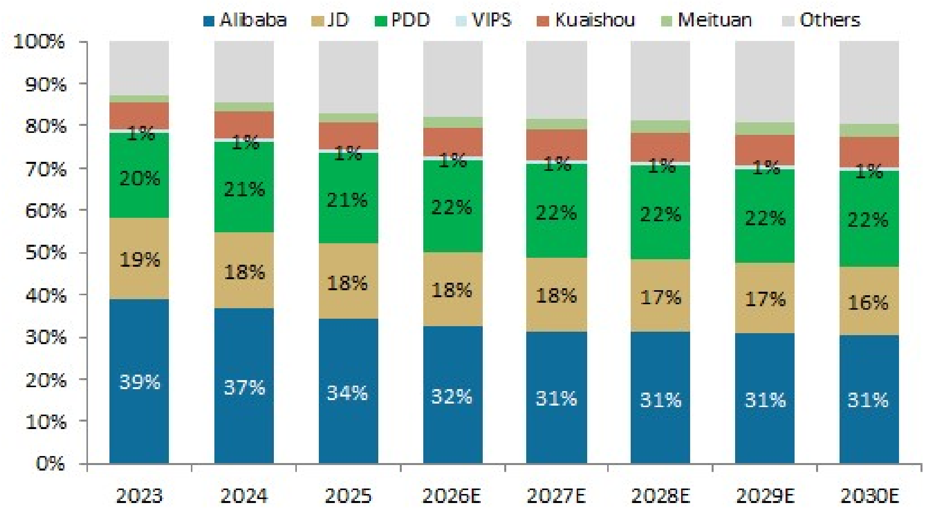


Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Market Share Trends

We estimate Alibaba, PDD, and JD's respective eCommerce market shares were 34%, 21%, and 18% in 2025. We expect Alibaba/JD's market shares to decline moderately given larger bases, and PDD to gain market share with its high-quality development strategy.

Exhibit 78: China eCommerce GMV Market Share Trends



Source: Company data, Morgan Stanley Research estimates

Agentic Playbook and Implications

China is ahead at the consumer-adoption layer, and has moved from user education to mass adoption. Our AlphaWise survey shows 75% weekly personal AI usage in China versus 50% in the US, and 74% weekly work-related AI usage versus 54% in the US. QuestMobile reported ~446mn AI-native app MAUs by Mar-26, while CNNIC reported 602mn generative-AI users by Dec-25. We think China's adoption lead is driven by distribution, free access, low-cost everyday use cases and closed-loop commerce, rather than by pure model superiority.

Chinese AI apps have used free models, ecosystem traffic, and red packets during CNY campaigns to accelerate adoption (see more in China Internet: China Consumer AI – 2026 CNY Campaign Review (2 Mar 2026)). For example, Alibaba launched its "Rmb3bn CNY Treat Plan" focusing on Rmb25 no-threshold free vouchers covering food delivery, instashopping, movie tickets, air tickets, hotel bookings, etc., leveraging its ecosystem (Taobao Instashopping, Freshippo, Tmall supermarket, Fliggy, Damai, Alipay, etc.). During the CNY period, Doubao, Yuanbao and Qwen together acquired around 130mn new users, while Qwen downloads reached 170mn in February 2026. This helped convert AI from a novelty product into a broader consumer habit.

The core monetization challenge for consumer AI is that scale creates cost before it creates revenue. Traditional internet platforms benefit from strong operating leverage as user growth spreads fixed costs over a larger base, but AI products face a structurally different cost curve: every additional interaction consumes inference compute. This weakens the traditional internet playbook of subsidizing user growth first and monetizing later. In China, subscription is unlikely to become a mass-market revenue engine and may function more as a cost-sharing mechanism for heavy users; advertising has potential given users' higher tolerance for ads, but LLM's ad load are structurally limited by trust and user experience. **Transaction commissions may offer the largest long-term upside if AI agents can move from answering questions to completing purchases.**

Agentic Commerce Stock Call-Outs

Alibaba Group (BABA.N / 9988.HK, OW, Covered by Gary Yu)

Alibaba's 2C AI has the most irreplaceable advantage, its ecosystem: AI native app Qwen's market entry is distinct given it is not just a chatbot but an AI Agent designed to execute real-world tasks by plugging directly into Alibaba's ecosystem — Taobao, Taobao Instashopping, Fliggy, Amap, Alipay, Freshippo, Damai, etc. — so that users can order food, shop, book flights and hotels, plan a trip, take a taxi, buy movie tickets, completing a closed-loop from expressing intent to fulfillment and delivery. Being close to transactions is probably the most valuable commercial unit (an actual order), also providing Qwen with stronger monetization potential.

Alibaba also has top-tier model capabilities: the Qwen model family is a global leader, especially in open-source. This provides the Qwen app with technical credibility and can ensure a better user experience.

Meituan (3690.HK, OW, Covered by Gary Yu)

Meituan’s agentic opportunity is less about traditional shelf-based eCommerce and more about high-frequency local-services intent. Its merchant density, delivery network, local data and high-frequency user traffic make it well-positioned as AI agents evolve from recommendations to execution across food delivery, instant retail, local services and travel. Meituan could be a key beneficiary of agentic demand discovery, converting natural-language local intent into higher order frequency, stronger merchant monetization and better advertising efficiency.

EMEA

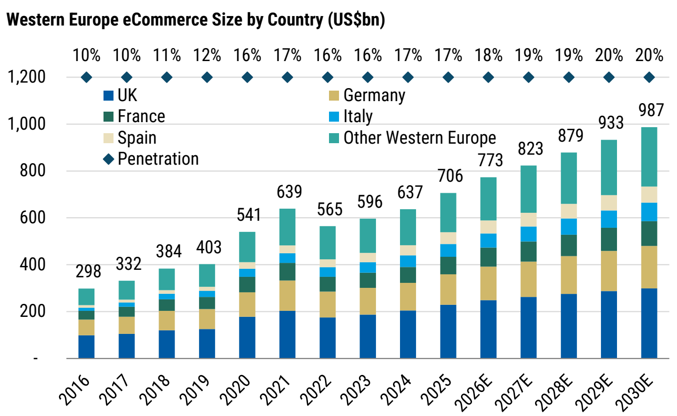
Luke Holbrook, David Nolan

Market Outlook

GMV Forecasts & Drivers

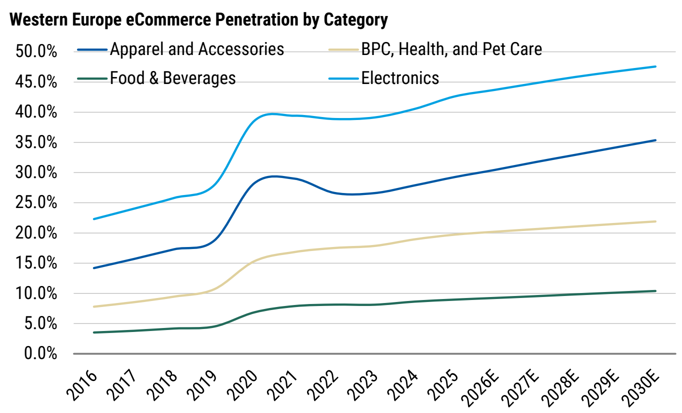
The eCommerce market in Western Europe could grow 8% in 2026 (vs. 8% in 2025), with penetration rising from 17.3% to 18.0%, driving the majority of the growth, and leaving European eCommerce penetration c.1.1% above peak Covid levels in 2021. The European eCommerce market remains fragmented with multiple different sub-sectors which range from (1) marketplaces (Allegro and Kaspi), (2) meal kit delivery (HelloFresh), (3) online apparel (Zalando), and (4) online grocery and warehouse automation providers (Ocado/AutoStore).

Exhibit 79: Western Europe Growth & Penetration



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

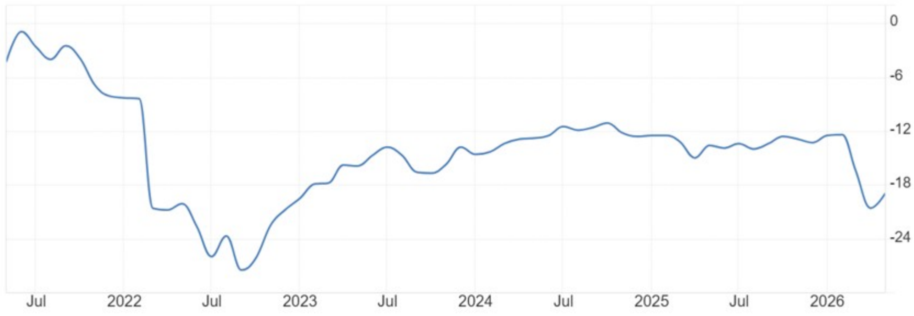
Exhibit 80: Western Europe Penetration by Category



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Macro data has softened. The European Commission publishes findings from a survey of 23k households in the Euro Area with questions on households' current economic and financial situation, savings intention, as well as on expected developments regarding: consumer price indexes, general economic situations, and major purchases of durable goods. The Consumer ESI measures consumer confidence on a scale of -100 to 100, where -100 indicates extreme lack of confidence, 0 neutrality and 100 extreme confidence. The latest data has fallen to c.-19, reversing the gradual improvement seen through 2023-25 and moving below the c.-12 level seen through much of 2024 and early 2026. While some of the latest weakness may reflect renewed geopolitical uncertainty and energy/inflation concerns, the broader message is unchanged: consumer confidence remains below the c.-5 pre-pandemic levels seen through 2016-19, leaving the macro backdrop soft for discretionary spend.

Exhibit 81: Consumer confidence has weakened YTD driven by geopolitical uncertainty and energy/ inflation concerns



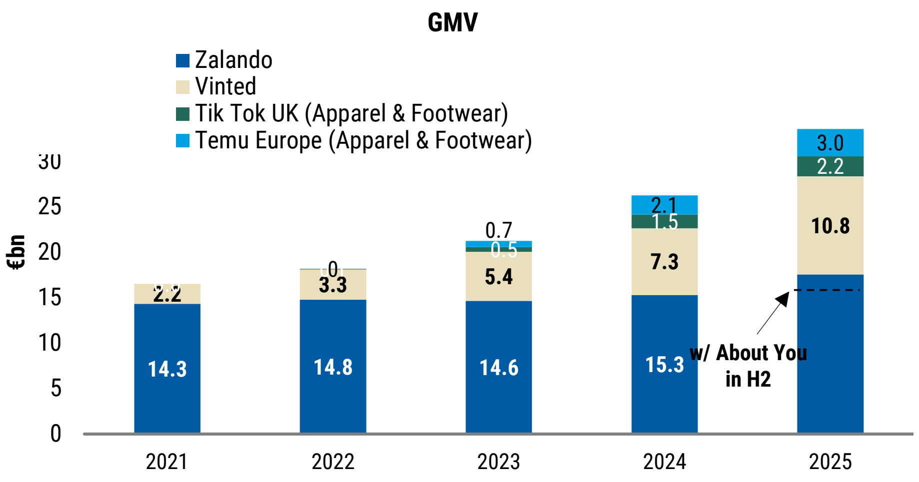
Source: European Commission, Morgan Stanley Research

Western Europe Trends

Competition remains a key area of debate. The European eCommerce market remains competitive, with "recommerce" and social commerce both becoming more relevant threats to incumbents. Vinted is the clearest example in recommerce, with GMV up 47% YoY to €10.8bn and revenue of €1.1bn in 2025. TikTok Shop is still earlier in Continental Europe, but its expansion into France and Germany increases the risk that more discovery and discretionary spend moves away from traditional eCommerce platforms. We do not see this as an immediate reset of the sector, but we do see it as a growing competitive threat, particularly in apparel where discovery, price and impulse purchasing are important.

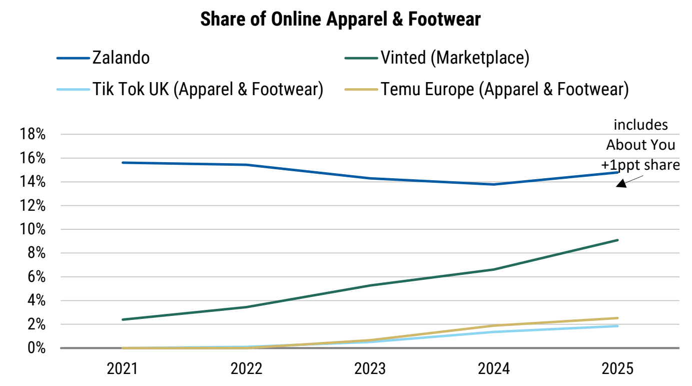
We see companies such as Zalando, Europe's largest online apparel marketplace, as potentially at risk of seeing some demand shift off its platform to social commerce and recommerce. Zalando has ~51m active customers, which implies high penetration across its core 25-40 year old audience. Its share of online apparel in Europe has fallen from c.16% in 2022 to c.13% in 2025, excluding the About You acquisition, while Vinted's share has trebled from c.3% to c.9%. Temu and TikTok have also reached c.2% share each, despite being newer entrants. Zalando's TikTok logistics partnership cuts both ways. It should generate fulfilment revenue and highlights the value of Zalando's logistics network, with two-thirds of marketplace orders now using its infrastructure versus 11% in 2019. At the same time, it may help improve trust in a competing discovery channel.

Exhibit 82: Europe eCommerce: GMV by Company Trends for Select Operators



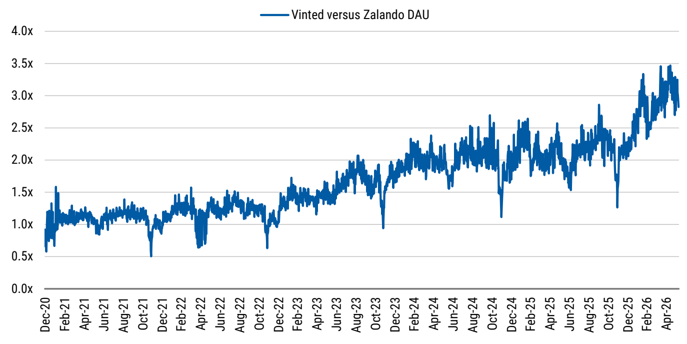
Source: Company data for Zalando and Vinted 2024/25, Euromonitor for TikTok UK and Temu Europe, Morgan Stanley estimates for Vinted 2021-23 based on disclosed revenues grossed up for an 11% take rate in line with 2024

Exhibit 83: Zalando is losing share in the Online market...



Source: Company data for Zalando and Vinted 2024/25, Euromonitor for TikTok UK and Temu Europe, Morgan Stanley estimates for Vinted 2021-23 based on disclosed revenues grossed up for an 11% take rate, in line with 2024

Exhibit 84: ... with Vinted now having ~3x more daily active app users than Zalando in Germany (up from ~1x in 2023 and 2.5x in Dec-25)

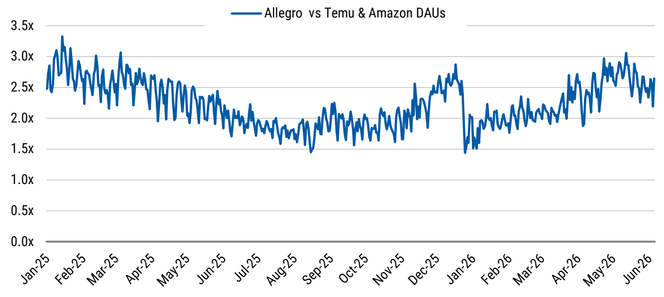


Source: SensorTower, Morgan Stanley Research

Eastern Europe Trends

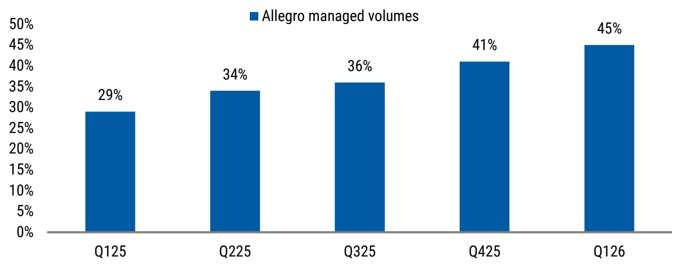
In Eastern Europe, Allegro in Poland should see GMV grow around 10% this year, driven by volumes, rather than basket sizes, as consumers remain value-focused despite inflation having normalized from the 18% peak in Feb-23 to c.2% today. The key stock debate remains whether Allegro can improve margins in Poland, which still accounts for c.90% of group profit, while sustaining GMV growth. In our view, the logistics strategy is central to that debate. Allegro is building out its own One Box locker network and adding delivery partners to reduce reliance on InPost. Competition remains relevant, but Temu's/ Amazon's monthly active users have flatlined. Overall, we see Allegro as a volume-led growth story in 2026, with logistics diversification the main lever for margin upside from 2027.

Exhibit 85: Allegro's market share is resilient with ~2.5x the no. of DAUs versus Temu and Amazon combined in Poland



Source: Company data, Euromonitor, Morgan Stanley estimates

Exhibit 86: Allegro-managed volume share increased to 45% in 1Q26



Source: Company data, Morgan Stanley estimates

Agentic Playbook and Implications

AI should support eCommerce penetration, but the economics remain less clear. We expect AI to make online shopping easier and more personalized, which should support higher eCommerce penetration over time. In the near term, Zalando, Allegro and Kaspi should benefit from using AI to improve search, recommendations, conversion and retail media monetization. The harder question is who captures the economics as shopping becomes more agent-led. If more discovery moves to external AI agents, platforms may need to spend more to secure traffic, while some advertising budgets that could have gone to marketplace retail media may shift closer to the agent layer. We therefore focus on three questions below: 1) whether AI increases customer acquisition costs and changes the growth/profitability trade-off; 2) how advertising revenues evolve as product discovery becomes more automated; and 3) how are companies currently adopting AI.

1) Will Zalando/Allegro/Kaspi need to pay more for customer traffic? Around 30% of traffic from European eCommerce platforms is paid for today, with the majority of traffic is 'direct' to app . If AI agents become the starting point of the customer journey, it could result in a higher percentage of traffic paid for, especially if AI agents are autonomous and make purchases on behalf of them. If the AI agents favor the larger incumbents, Zalando, Allegro and Kaspi could benefit. It will be key to see where agentic AI take rates evolve to and also relative to other forms of paid traffic today. To put this into numbers, if the AI assistant charges a fee relative to the transaction, we run through the impact of AI under three different scenarios where the traffic generated by AI leads to no change in cost, or a 1%/2% increase relative to GMV. While it is difficult to predict how AI will alter consumer behavior, we assume AI leads to higher eCommerce penetration, but with the potential for an unchanged or negative impact on margins for Zalando/Allegro/Kaspi.

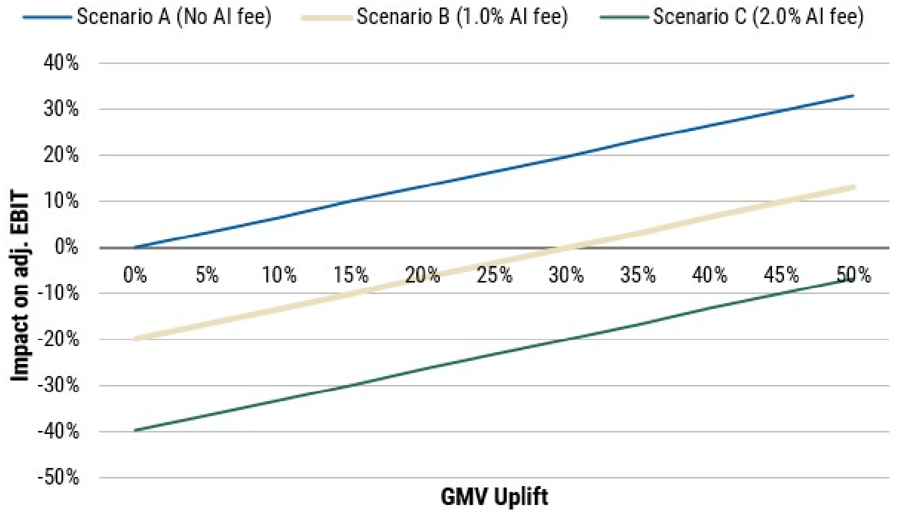
Scenario A – No incremental fee from AI traffic on average. Paid traffic remains unchanged around 30% of the traffic mix, and costs for that paid traffic (cost per click, cost per acquisition, etc.) are unchanged. In this scenario, we presume any incremental GMV generated from AI leads to additional profits. For all our scenarios, we assume Zalando generates a c.4% EBIT margin relative to GMV, Allegro c.5% and Kaspi c.6%.

Scenario B – Use of AI agents/assistants sees our companies pay an additional 1.0% of order value in traffic cost. This includes a possibility that LLMs charge for their traffic, and that begins to cannibalize the low-cost or free traffic that exists today (the organic/

direct traffic segment). In this scenario, given the additional transaction cost of AI, we estimate Zalando would need a c.20% uplift in GMV from AI to break even on adj. EBIT, Allegro a c.21% uplift, and Kaspi c.16%.

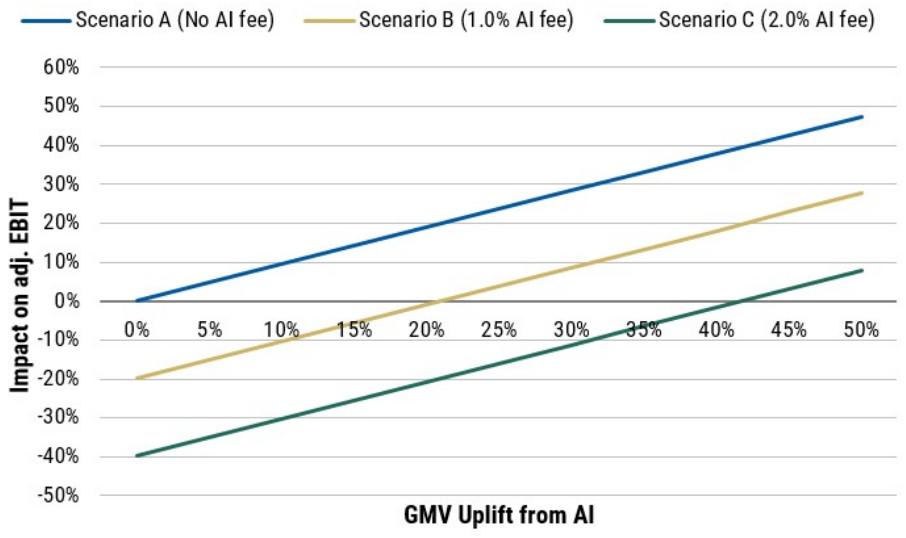
Scenario C – Use of AI agents/assistants results in a c.2.0% of GMV fee, on average. This assumes a higher impact than that laid out in scenario B. Under this scenario, long-term profitability is likely to be impacted. We estimate that Zalando would need to see GMV rise by c.55% to break even on that additional cost, Allegro by c.42%, and Kaspi by 35%.

Exhibit 87: Zalando: Scenario analysis



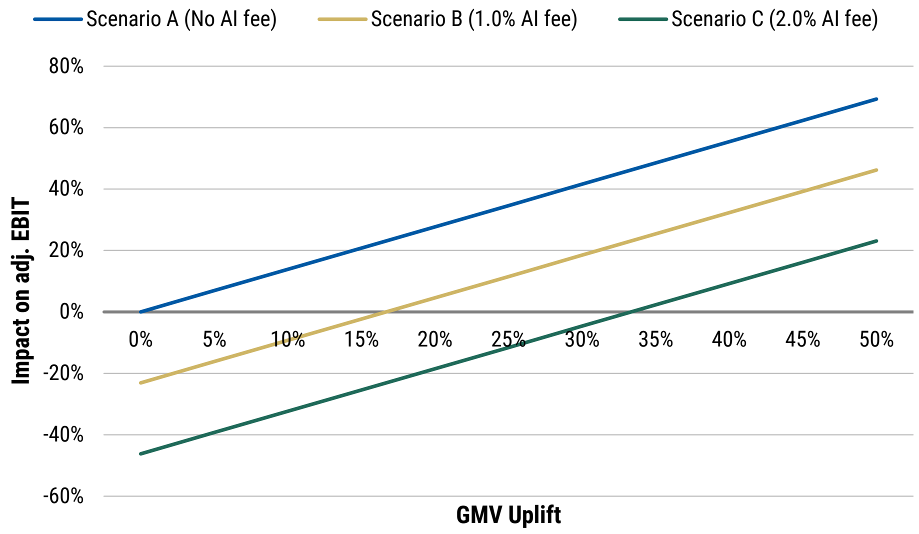
Source: Morgan Stanley Research estimates

Exhibit 88: Allegro: Scenario analysis



Source: Morgan Stanley Research estimates

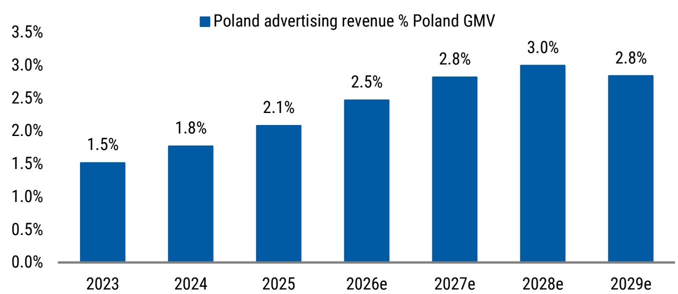
Exhibit 89: Kaspi: Scenario analysis



Source: Morgan Stanley Research estimates

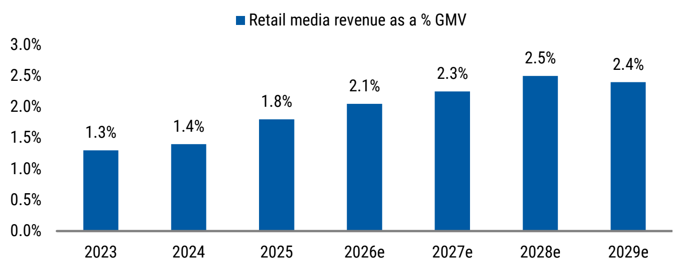
2) How will advertising revenues evolve? Advertising forms ~1-2% of GMV for Zalando/ Allegro/Kaspi respectively, on our estimates. Our companies are using AI to improve platform personalization, which also improves advertising conversion. This will likely lead to a rise in high-margin advertising revenues. It is possible that the use of external AI agents/platforms will see some of the pool of ad spend shift in the long term, where merchants or brands advertise their products on an external agentic platform instead, thereby diluting ad spend on our companies' platforms. Even if penetration rates go lower, advertising could still stabilize or rise in absolute terms, even if penetration falls.

Exhibit 90: Allegro Polish advertising revenue as a % of Polish GMV



Source: Company information, Morgan Stanley Research estimates

Exhibit 91: Zalando advertising revenue as % of group GMV



Source: Company information, Morgan Stanley Research estimates

3) How are companies adopting AI? AI adoption across Zalando, Allegro and Kaspi is still mostly focused on improving the existing shopping journey rather than replacing it. The common use cases are better search, product discovery, fit, recommendations, seller tools, and internal productivity. Zalando is more focused on fashion discovery and sizing, Allegro is using AI across a broader marketplace workflow, while Kaspi is embedding AI directly into the customer and merchant journey with the launch of "Kasper" an AI assistant inside Kaspi shop.

- **Zalando:** Zalando's AI focus is helping customers find the right product and the right size. Its sizing tools use machine learning, AI, computer vision and 3D body data. In 2025, these tools prevented 8% of size-related returns, while Virtual Fitting Room pilots reduced returns by up to 40%. Zalando also has a Zalando Assistant, built using Zalando models and external LLMs, which gives outfit ideas in local languages across its markets. The next step is to move this towards a broader fashion and lifestyle agent.

- **Allegro:** Allegro is using AI in search, shopping support, seller tools, ads and internal workflows. Buyers now have an in-app AI Assistant, while Allegro is also testing a shopping assistant with Google. The company has signed a partnership, bringing Allegro into the ChatGPT App. Sellers also have AI tools for listing creation, logistics and selling. Allegro says it is running almost 100 AI projects and wants c.40% of its tech portfolio to include AI by the end of the year.
- **Kaspi**: Kaspi has launched Kasper, an AI assistant inside Kaspi Shop. Instead of searching by keywords, customers can describe what they need in normal language, by text or voice, in Russian or Kazakh. Kasper asks about budget and preferences, compares products, explains features and can take users to the product or add it to the basket. Kaspi is also using AI for merchants. Kaspi AI helps sellers create product cards faster by selecting the name, category, specifications, description and images from a photo or supporting links.

Agentic Commerce Stock Call-Outs

Positive: Allegro (ALEP.WA, Overweight, Covered by Luke Holbrook)

- **Allegro remains our preferred eCommerce exposure and our Top Pick.** We see Allegro as a more diversified way to play online retail, supported by category breadth, scale and a clear path to improve logistics economics. While FY26 Adj. EBITDA growth guidance of +9-13% was below our prior mid-to-high teens expectation, we view the decision to reinvest as sensible. It should support faster GMV growth, broaden the consumer finance and services offering, and strengthen the platform over the medium term.
- **Well positioned to navigate changing AI landscape**. Allegro ranks in the top five of our Agentic Commerce scorecard, supported by scale, LLM integration, a growing logistics footprint, a strong loyalty offering and financial services. In our view, these assets matter because agentic commerce is likely to favor platforms with broad inventory, direct customer relationships, data depth and the ability to spread technology investment across a large merchandise base.

Southeast Asia

Divya Kothiyal, Eileen Lin

Market Outlook

GMV Forecasts & Drivers

ASEAN eCommerce growth accelerated to 19% in 2025 from 13% in 2024 (FX neutral) as leading platforms stepped up reinvestment to enrich content and enhance services.

Video-led shopping (livestreaming, short-form video, in-feed checkout) jumped to roughly 25% of total eCommerce GMV in 2025 (vs. 20% in 2024), reshaping discovery away from search-and-browse toward content-native buying.

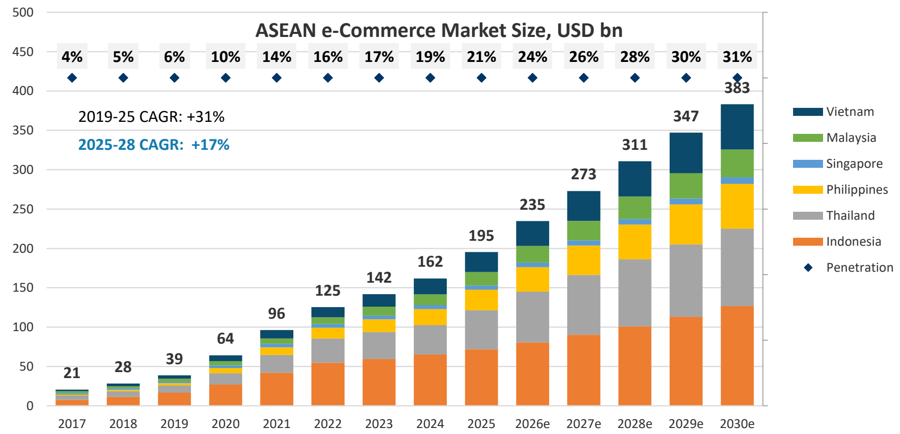
Beyond content, platforms reinvested in logistics, membership programs, AI tools, and consumer subsidies. For example, lower-cost shipping solutions enabled more rural consumers to enjoy free shipping with lower minimum spending, while instant delivery catered to more affluent users' demands. These initiatives made online shopping more affordable and convenient, accelerating the shift of consumer spending from offline to online channels.

AI, too, has played a part in the growth acceleration to some extent. 68% of ASEAN consumers said that their purchasing decisions are now shaped by AI recommendations, per e-Conomy SEA 2025. AI-powered ad formats and retail media targeting are cited as factors behind online advertising's growth which also feeds directly into eCommerce revenue since ads are a core platform monetization lever. ASEAN GMV is large enough that even modest AI-driven conversion and cost gains are financially material at platform scale, and early-adopter economics look attractive — regional survey data cited in the e-Conomy SEA 2025 report finds 60% of early agentic-AI adopters in APAC reporting returns of 3x or more.

In terms of **country**, Thailand was the fastest-growing market, with GMV expanding by more than 30% in 2025. The Philippines, Malaysia and Vietnam also sustained strong momentum, posting growth of 25–27%. Growth in Indonesia and Singapore was comparatively slower at around 10%.

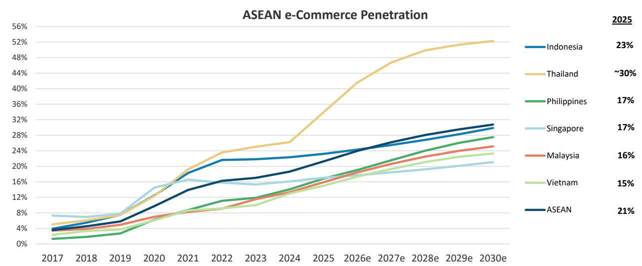
ASEAN EC penetration in retail sales inched up to 21% in 2025, on our estimates, and expect it to steadily rise to ~30% by 2031. By country, Thailand remains the most penetrated market at over 30%, followed by Indonesia at above 20%, while eCommerce penetration across most other ASEAN markets remains in the low teens. We forecast ASEAN eCommerce GMV to grow 20% YoY to US$235bn in 2026 from US$195bn in 2025, and project a 17% CAGR over 2025–28 (higher than our previous forecasts due to platform reinvestments accelerating the shift from offline to online). We see ASEAN growth remaining more attractive than most Asia countries (e.g., 6% in 2025–28 in China).

Exhibit 92: We expect ASEAN eCommerce to grow at a 17% USD CAGR in 2025-28



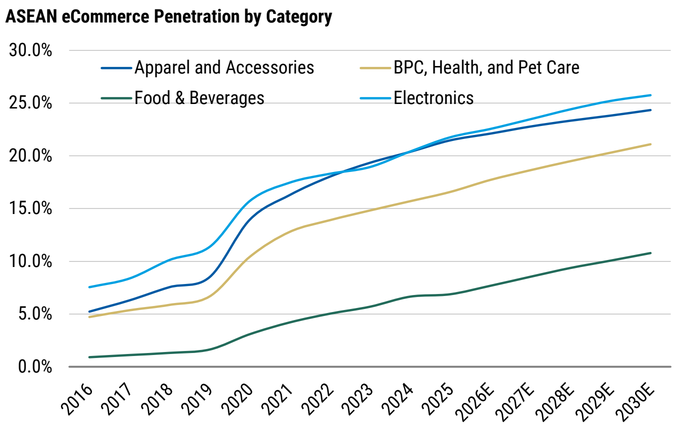
Source: Momentum Works, Euromonitor, Morgan Stanley Research estimates. Note: YoY growth forecasts are on an FX-neutral basis

Exhibit 93: ASEAN eCommerce penetration reached 21% in 2025. We expect it to improve further to 26% in 2027



Source: Momentum Works, Euromonitor, Morgan Stanley Research estimates

Exhibit 94: Penetration increases are broad across categories

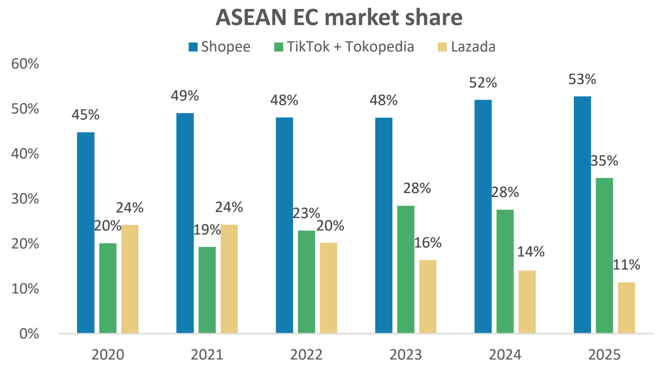


Source: Euromonitor, Morgan Stanley Research estimates

Market Share Trends

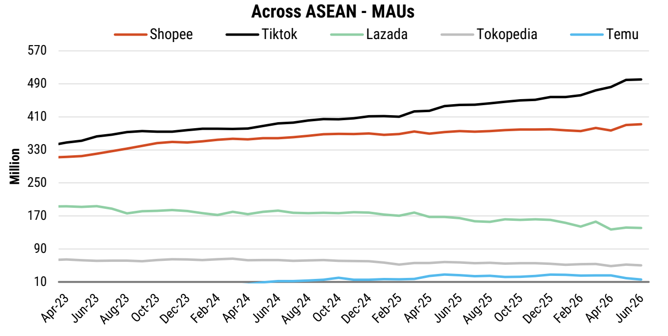
Shopee has maintained leadership in ASEAN eCommerce, with TikTok gaining share, while Lazada continues to cede ground across markets. In 2025, Shopee's market share remained broadly stable at 53% (vs. 52% in 2024). The combined share of TikTok and Tokopedia increased by 700bps to 35%, while Lazada's share declined a further -300bps to 11%. We expect the market to become increasingly concentrated around Shopee and TikTok Shop, with smaller players continuing to cede share.

Exhibit 95: Shopee's market share remained largely stable at 53%, while TikTok+ Tokopedia share increased to 35% in 2025. Lazada's share continued to decrease



Source: Momentum Works, Morgan Stanley Research

Exhibit 96: MAU (ASEAN): Shopee and TikTok's MAU in ASEAN continue to grow



Source: Sensor Tower, Morgan Stanley Research

Rising monetization

Both Shopee and TikTok Shop have continued to raise commissions in ASEAN in 2026 YTD, extending 2025's upward trend. Using the Fashion category as an example, Shopee raised commissions an average of ~135bps, following hikes of ~215bps in 2025; TikTok lifted commissions ~120bps, after a ~200bps increase in 2025, based on our analysis. Of interest, Indonesia has had relatively milder commission hikes, with both platforms taking a measured approach.

Seller fee structures have become more holistic, albeit complex. Platforms now offer more services—fulfillment, instant delivery, and AI tools (Chat AI Assistant, Product AI Optimiser, AI Model Try-On)—and reinvest some higher commissions into rebates. Sellers who meet minimum ad spend or join special programs can also receive discounted commission rates.

Exhibit 97: Shopee and TikTok have been increasing commissions across ASEAN markets in 2026 YTD

Shopee

Commission	2025	1Q26	2Q26	3Q QTD	2026 YTD
ID	0	Reclassification of categories	0	0	0
MY	+350bp	+80bp	+100bp	0	+180bp
SG	+220bp	PXP: unchanged Non-PXP: +325bp	In Apr 2026, it reduced selected F&B and home & living categories by 100bp	0	PXP: unchanged Non-PXP: +325bp
PH	+150bp	0	0	0	0
VN	+300bp	0	+295bp	0	+295bp
TH	+300bp	+150bp	+160bp	0	+310bp

TikTok

Commission	2025	1Q26	2Q26	3Q QTD	2026 YTD
ID	0	Ad seller: largely unchanged Non-ads sellers: +170bps	Ad/xtra program: -55bp on average Non-ad/xtra program: largely unchanged	0	Ad/xtra program: -55bp Non-ad/xtra program: +170bp
MA	+216bp	0	0	0	0
SG	+245bp	0	BXP: +90bp Non-BXP: +90bp	0	+90bp
PH	+110bp	0	0	0	0
VN	+250bp	+130-170bp*	+110bp	0	+240-280bp*
TH	+218bp	+105bp	+100bp	+200bp	+405bp

Source: Seller websites for Shopee and TikTok, Morgan Stanley Research. [1]Shopee removed 6% shipping fee in Apr. [2]TikTok removed 6% shipping fee in Jul.

Agentic Playbook and Implications

Agentic AI has moved from pilot to core operating infrastructure across ASEAN's three dominant eCommerce platforms — Shopee (SE), Lazada (BABA) and TikTok Shop (ByteDance).

The shift is showing up in reported financials, not just product announcements: SE's management directly attributed a 14% year-on-year improvement in Shopee's purchase conversion rate and a roughly 30% reduction in customer-service cost per contact to AI-enabled search, recommendations and chat automation (for 1Q26).

Shopee has been actively pursuing agentic AI integrations through partnerships with leading AI platforms. It is not only a signatory to Google's UCP, but also has established a partnership with OpenAI. The Shopee app is now the first EC platform in ASEAN and Brazil integrated directly into ChatGPT, enabling conversational discovery and new demand capture. Eligible Shopee sellers also receive trials of ChatGPT for Business to help with product listings, marketing, customer service, and operations.

Lazada has staged its AI rollout earliest (LazzieChat in 2023, AI Lazzie in 2024, Lazzie Seller more recently). Lazada is building an in-app agent stack on Alibaba's Qwen. In October 2025, Lazada rolled out a five-agent ecosystem — AI Lazzie (shopping), refund, logistics, product listing and marketing agents. AI Lazzie, powered by Alibaba's Qwen LLM, is a conversational shopping companion that understands intent and recommends products in real time. Lazada disclosed that AI Lazzie contributed ~US$3mn of GMV during its 14th-anniversary sale in early 2026, with ~100k users completing purchases post-interaction.

TikTok Shop has taken the most automation-forward approach on the advertising side: GMV Max, a fully automated, AI-managed campaign system, became the mandatory default for all new TikTok Shop ad campaigns in mid-2025, collapsing paid, organic and affiliate optimization into a single algorithmic system and contributing to TikTok Shop's market share gain in ASEAN. Its Symphony creative suite, Smart+/GMV Max ad optimization and the Seller Assistant embedded in Seller Center support merchants with listings, ad copy, AI avatars for livestreams and performance analytics.

Agentic Commerce Stock Call-Outs

Sea Ltd. (SE.N, OW, Covered by Divya Kothiyal)

Sea has been actively leaning into AI in 2026, anchored on four pillars: best-in-class partnerships, selective equity investments, product innovation, and talent build-out.

- **Partnerships**. Multi-segment collaboration with Google (spanning eCommerce, Garena and Monee) and a strategic partnership with OpenAI, which embeds ChatGPT features for Shopee shoppers and provides business tools for sellers.
- **Equity investments**: Participating in funding rounds of World Labs and AMI Labs (both focus on world models and spatial/physical intelligence).
- **Product innovation**: Recent launch of AI companion app, Migoo. While still early and unproven, it can help Sea build proprietary know-how in personalization, memory, and agent-based interaction — capabilities that can be redeployed across all segments.
- **Talent build-out**: Sea established an AI Centre of Excellence in Singapore to deepen homegrown AI capabilities. It also has a dedicated AI Investment Team.

Sea's AI strategy so far has been capital-efficient. Management has been explicit that Sea will not build foundation models or data centers, and instead focuses on applying AI to specific use cases with ROI measurement.

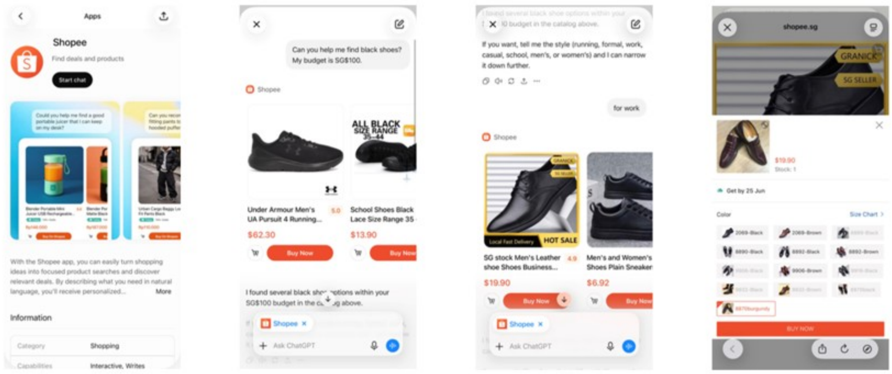
The returns are already showing up in unit economics: in 1Q26, AI tools supported a 14% uplift in purchase conversion and cut cost per customer service contact by ~30% YoY, with ~80% of queries now handled by chatbots.

See our recent reports:

Sea Ltd: Agentic AI pivot: Partnership with Google (20 Feb 2026)

Sea Ltd: Sea's Partnership + Investment Playbook for AI (23 Jun 2026)

Exhibit 98: Snapshots of Shopping on Shopee via ChatGPT

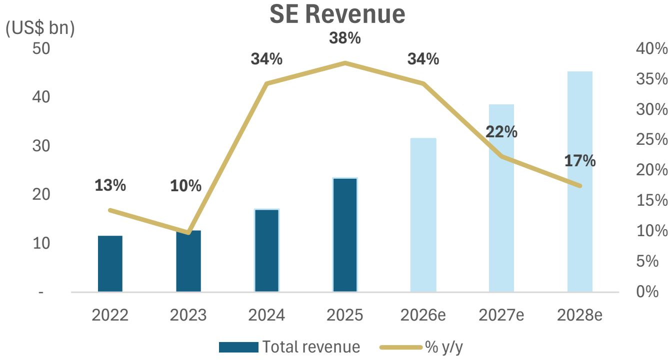


Source: ChatGPT App, Morgan Stanley Research

Reiterate our OW rating on SE: We view SE's pivot toward growth investments (while maintaining financial discipline) as a tactical reinvestment phase rather than a change in underlying earnings power, with medium-term margin expansion anchored on operating leverage and improving unit economics for EC and tapping a larger TAM for Fintech. SE trades at 2027e EV/EBITDA of 12.0x, vs. MELI at 15.5x and Coupang at 14.8x.

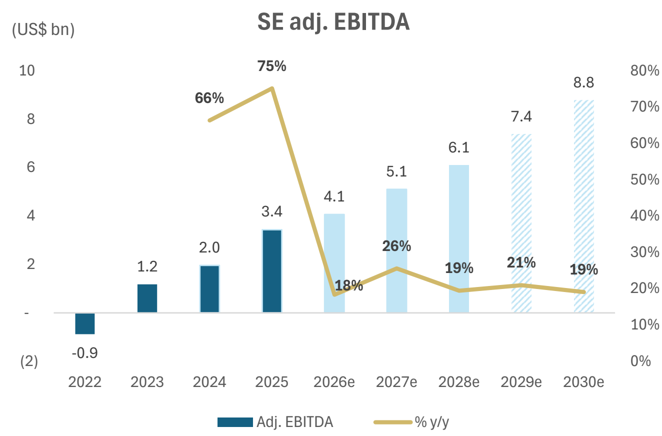
Sea's EC GMV growth has remained resilient despite macro volatility, with Shopee benefiting from intent-driven demand, price competitiveness and assortment. We expect GMV to grow 26% y/y in 2026. We think EC margins can modestly improve in 2H26 as EC take rates continue to inch up and unit economics for growth initiatives improve. We expect 2026 EC adjusted EBITDA margins at 65bps of GMV and expect this to improve to 80bps in 2027. Given management's reiteration of the long-term target of 2-3%, we still think there is upside risk to the pace of margin expansion beyond 2026, especially in a scenario of tapering competitive intensity.

Exhibit 99: Sea's revenue grew at a 24% CAGR in 2025-28



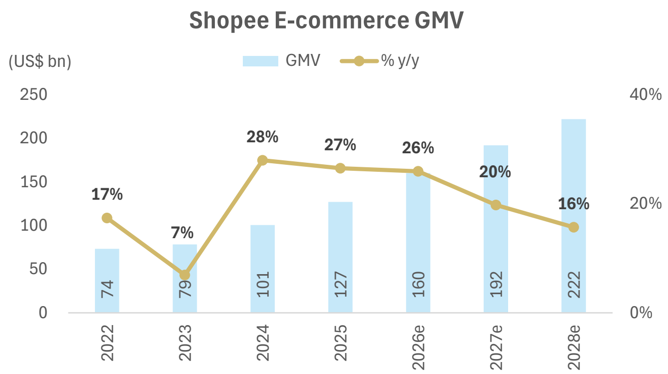
Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 100: Sea offers compelling long-term EBITDA growth: 21% CAGR in 2025-28e and five-year CAGR of 21% in 2025-30e



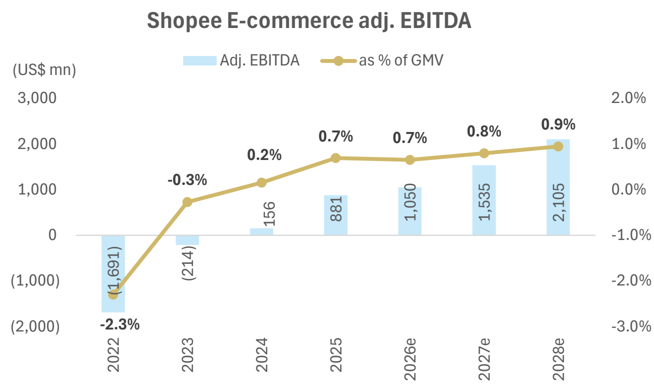
Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 101: We think Shopee's GMV growth can be 26% in 2026 with fast growth in Brazil and steady share in ASEAN



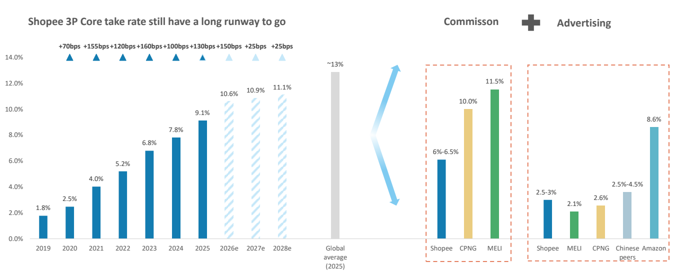
Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 102: We expect Shopee's adjusted EBITDA margin at 65bp in 2026, improving to 80bp in 2027



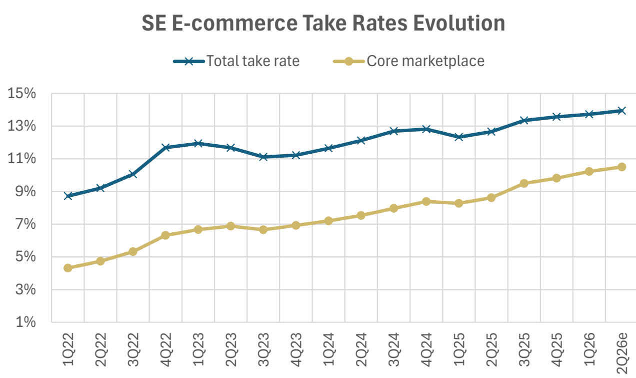
Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 103: Shopee's 3P core take rate has room for upside



Source: Company data, Morgan Stanley Research (e) estimates. Core take rate is calculated based on commission and ad revenue.

Exhibit 104: Core marketplace take rates should continue to trend up



Source: Company data, e = Morgan Stanley Research estimates

South Korea

Kelly Kim, Seyon Park, Jenna Lee, Sohyun Park

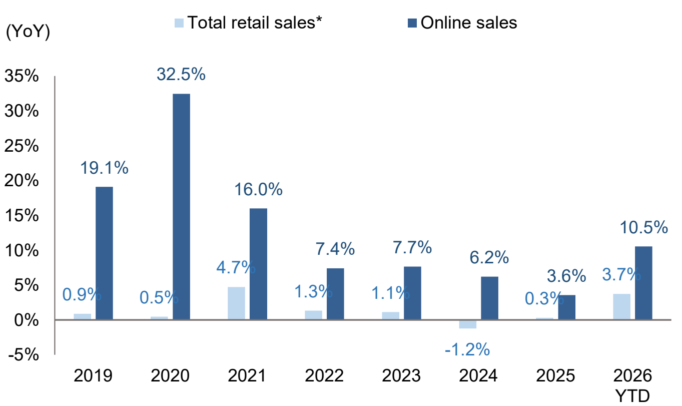
Market Outlook

GMV Forecasts & Drivers

Improving consumption cycle: From late 2025, overall private consumption has bottomed out and retail sales growth has turned positive. YTD, online sales have been up 10.5% YoY, boosted by improving consumer demand and rising promotion activities. Thanks to the strong equity market rally, the wealth effect has been a key theme in S. Korea's retail sector. K-shaped consumption has been accelerating with very strong luxury sales growth at department stores, while consumer demand for value products remains robust. In this context, we expect the online channel to take further share from other offline channels, as its price advantages could continuously appeal to mid-to-low-end categories and general grocery shopping. Considering rising inflation pressure from higher energy cost in 2H26, healthy online sales could continue with ~10% YoY growth.

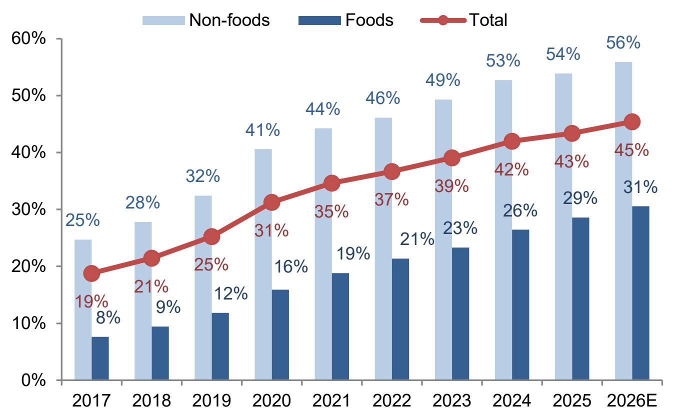
eCommerce penetration reached 43% in 2025 (up vs. 42% in 2023) and we calculate this trend has slightly increased YTD. Still the bright spot is the food category, which has recorded 10% YoY growth in 2025, increasing its contribution to total food sales by 2.1ppt from 2024.

Exhibit 105: S. Korea retail sales growth vs. eCommerce sales growth



Note: Total retail sales excluding auto, fuel and service sales
Source: Korea National Statistics Office, Morgan Stanley Research

Exhibit 106: S. Korea Online penetration breakdown- Foods vs. non-foods



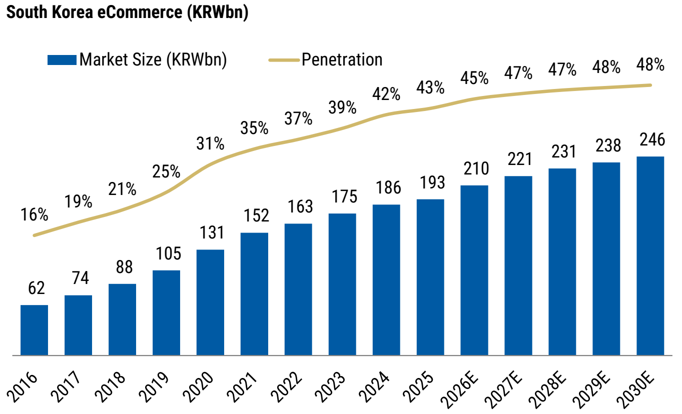
Note: Retail sales excluding auto, fuel and service sales
Source: Korea National Statistics Office, Morgan Stanley Research estimates

We're expecting online sales growth to continue to outperform offline growth, anticipating the current online penetration of 43% to reach 48% by 2030E (eCommerce sales CAGR of 5% in 2025-30E vs. total retail sales CAGR of 3%).

- While the channel shift is moderating, consolidation within the online channel could continue. Thanks to a wide range of offerings, lock-in factors from membership programs, and ample marketing resources, we think the top two players could further outperform the channel growth. We expect offline retailers and smaller players to focus on improving profitability and cashflow.

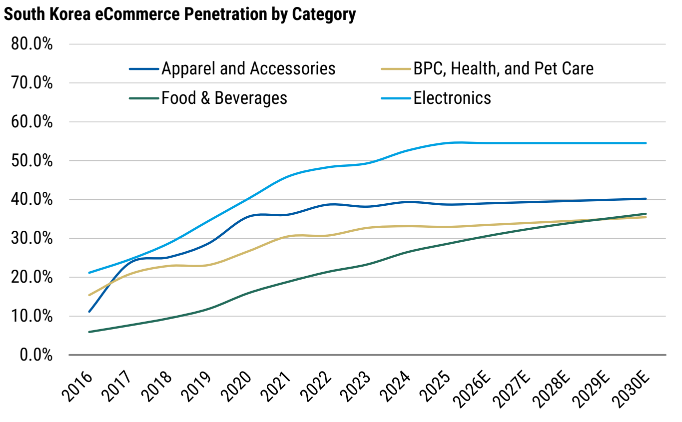
- As the non-food category has already reached online penetration of 54% in 2025, we think non-food online sales could depend on the overall consumption cycle. The food category appears to have room for online penetration upside.

Exhibit 107: S. Korea: eCommerce penetration to reach 48% in 2030



Source: Korea National Statistics Office, Morgan Stanley Research estimates

Exhibit 108: Further room for F&B category penetration

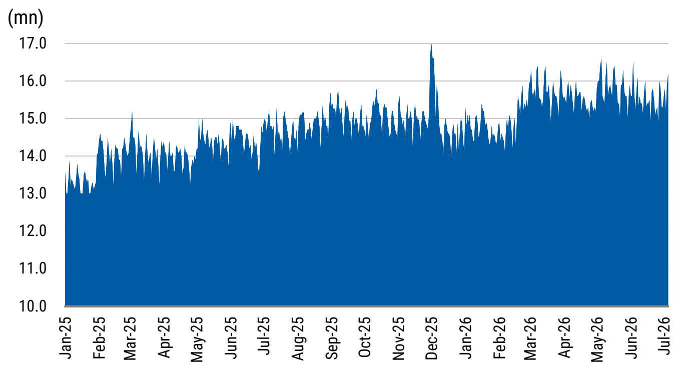


Source: Euromonitor, Korea National Statistics Office, Morgan Stanley Research estimates

Market Share Trends

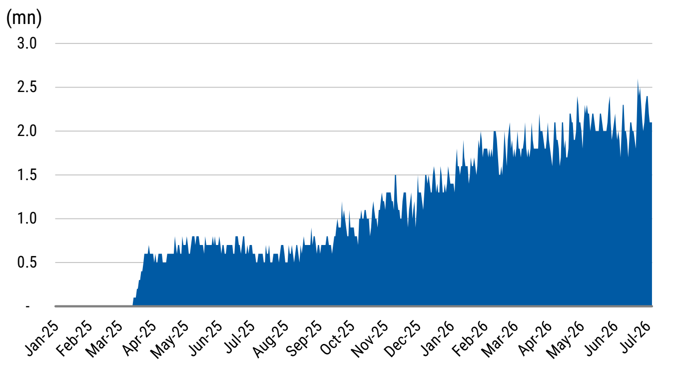
Coupang's market share appears to be recovering: Coupang saw visible declines in both WoW membership and active users post its data breach in 4Q25, which led to some market share gains for Naver. That trend has now normalized, with Coupang claiming that it has been able to regain 80% of lost paid members. Naver, on the other hand, has continued to invest on its commerce offerings and is actively pushing its merchants to onboard its next-day delivery system, having recently offered free shipping for these merchants.

Exhibit 109: Coupang DAU trend



Source: Sensor Tower, Morgan Stanley Research

Exhibit 110: Naver Plus Store DAU trend



Source: Sensor Tower, Morgan Stanley Research

Agentic Playbook and Implications

Naver launched its Shopping AI Agent as a beta service in March on its Naver Plus Store app in February, initially as an assistant search service. This was followed by official launch on June 25, 2026 with the service upgraded to initiate shopping related conversations based on prior cart and click history. The company aims to use its AI agent to capture a larger part of exploratory shopping, enhance transactions leveraging its vast network of merchants, N-pay network, and delivery capability, and increase monetization. **Adoption is still in early stages and we believe it's still too early to make any conclusions as to the whether AI agents will gain traction in Korea.**

We also note that Kakao has said they plan to unveil its agentic partners in the verticals of OTA, commerce, and reservations before 2Q26 results. Kakao is aiming to have these partners be available on its Kanana AI chatbot, which is a proprietary SLM based AI agent which runs on the Kakao Talk messenger.

Agentic Commerce Stock Call-Outs

Coupang (CPNG, OW, Covered by Seyon Park)

While Coupang has not come out with specific plans relating to agentic commerce, we believe the company is best positioned to benefit should this emerge to be mainstream. This is because Coupang is the only eCommerce player in Korea with the inventory, customer access, and fully integrated fulfillment and logistics infrastructure. The company has also been increasing its spend on AI, and hence we expect the company to roll out agentic-like features over the medium term. The stock has seen a meaningful correction post 1Q26 results, where management guided for 2Q margins which fell below expectations. That said, we believe a margin recovery to pre-breach levels should play out in the second half as revenue recovers, and hence have an Overweight rating on the shares.

Naver (035420.KS, EW, Covered by Seyon Park)

In Korea, Naver is the company which is most proactive on AI adoption, whether it's on search or eCommerce. The company is expected to continue to upgrade functionalities for its AI Shopping Agent, and if agentic commerce emerges to be a disruptive factor, we believe Naver does have the assets in place (merchant network, payment network, membership program, AI powered advertisement network) to benefit over the longer term. Risk of disruption to its search business from AI, and near term margin headwinds from aggressive spend on GPUs and commerce initiatives are the key reasons we have an Equal-weight rating.

Japan

Tetsuro Tsusaka, Luyuan Yang, Keiji Nishimura

Market Outlook

GMV Forecasts & Drivers

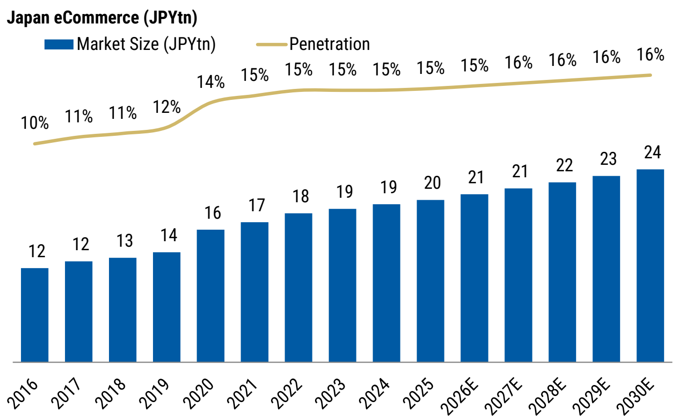
Structural growth continues in Japan.

- Japan EC market growth forecast at +4% (3-year CAGR based on METI data), with penetration on track to rise from 15% in 2025 to 16% in 2030.

Goods and travel EC are brisk amid economic normalization.

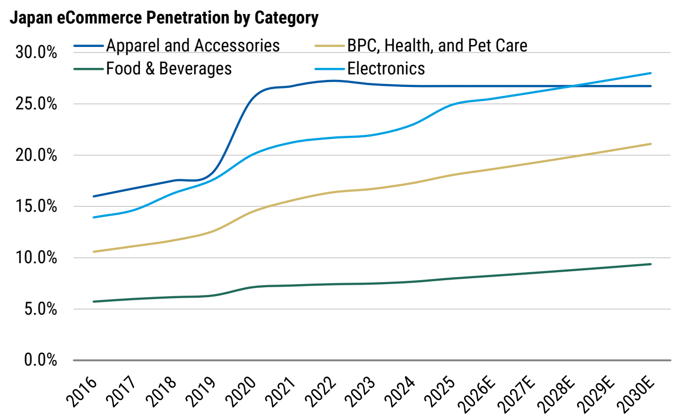
- **Goods EC:** EC Penetration: F12/24 10%, F12/28 11%. Structural growth continues.
- EC penetration is highest for (1) books/video/music software, (2) household appliances/AV equipment/PCs and peripherals, and (3) household goods/furniture/interior items. The respective rates were 56%, 43%, and 33% in F12/24, and forecast to reach 57%, 46%, and 35% in F12/28.
- Fastest growing areas are (1) food/beverages/liquor, (2) cosmetics/medicine, and (3) clothing/fashion accessories, with 3-year CAGRs in F12/25-28 forecast at 6%, 5%, and 5%, respectively.
- **Travel EC:** Sustained double-digit growth even after economic reopening. Travel EC market growth forecast at 10% (3-year CAGR in F12/25-28 based on METI data). Recruit and Rakuten Travel are the top 2 in the market.

Exhibit 111: Japan Growth & Penetration



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Exhibit 112: Japan Penetration by Category



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

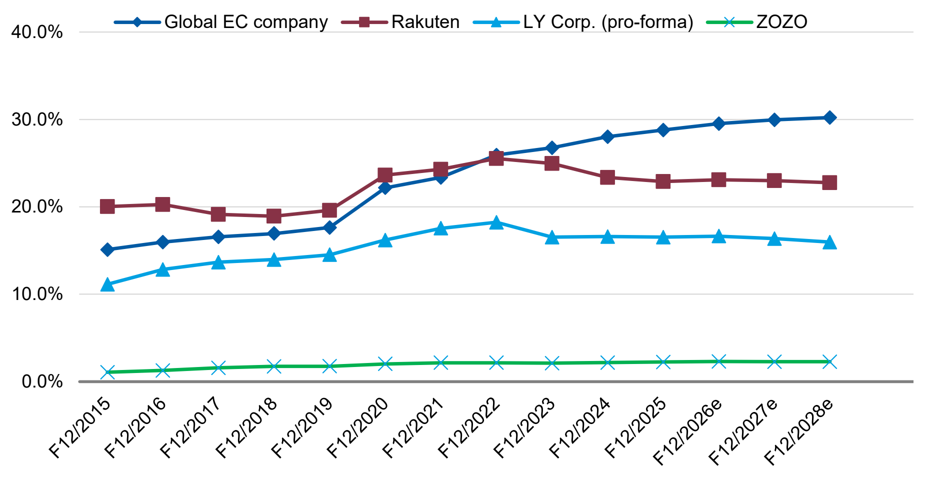
Market Share Trends

Japan EC sector continues to be led by three majors and one apparel specialist.

- **Amazon Japan** (est. No. 1 share in 2025: 25-30%): No.1 market share for over past five years underpinned by numerous logistics bases and strong inventory control/logistics abilities. Appears capable of staying the market maker with No.1 share since strengthening investment in Japan.

- **Rakuten** (est. No. 2 market share: 20-25%): EC business has moved past its high-growth phase as Japan's merchandise EC market matures, but it continues to grow steadily, supported by Rakuten Ichiba's strong customer base and points ecosystem. In addition to merchandise EC, the recovery in travel demand and expansion of advertising revenue are also supporting sales growth, making transaction value growth across the broader ecosystem more important than EC alone.
- **LY Corp.** (est. No. 3 market share: 10%): EC business should be viewed not as the growth of Yahoo! Shopping alone, but as a broader commerce business encompassing Shopping, Reuse, Travel, ZOZO, and ASKUL. While Shopping growth is moderate, Reuse and Travel are driving growth. Going forward, the key focus will be whether LY can increase purchase frequency and transaction value through LINE traffic and PayPay integration.
- **ZOZO** (est. market share: 2%): Even as the fashion EC market matures, ZOZO continues to maintain stable transaction value growth, supported by ZOZOTOWN's brand strength, broad product lineup, and user-friendly interface. In addition to its core ZOZOTOWN business, integration with the LY ecosystem and advertising/promotional initiatives are supporting customer traffic. Maintaining and expanding share within fashion EC will remain the key sales-side theme.
- **Mercari** (C2C) : GMV momentum in 2026 is very strong. Growth is being driven particularly by trading cards, entertainment/hobby items, and collectibles. Going forward, the key focus will be whether this demand can extend beyond a temporary boom and support continued growth in high-ticket categories where authenticity matters, and whether cross-border EC can become a new driver of GMV expansion.

Exhibit 113: Japan eCommerce GMV Market Share Trends



Source: Minister of Economy, Trade and Industry (METI), Company data, Morgan Stanley Research estimates

Agentic Playbook and Implications

Current State of Agentic Commerce in Japan

Agentic commerce in Japan is still at an early stage. At present, the focus is not on AI completing purchases on behalf of users, but rather on AI-assisted commerce, where AI supports product search, comparison, recommendations, and information discovery. In Japan, EC platforms hold purchase histories, search histories, reviews, points, payment, and inventory data internally, making it increasingly important to enhance the purchase journey by combining proprietary data with LLMs, rather than relying on general-purpose LLMs alone.

Partnerships With Major LLMs

LY and ZOZO are the clearest examples of major LLM integration. LY offers a beta product search support function on Yahoo! Shopping using the OpenAI API. When users answer questions from AI, the service suggests up to five products that match their conditions. In addition, Yahoo! Search's "Shopping AI Assistant" uses Google Cloud Vertex AI and provides product suggestions, mainly in home appliances, based on users' responses to AI-generated questions.

ZOZO has started supporting OpenAI's Apps in ChatGPT, enabling users to access WEAR outfit recommendations and ZOZOTOWN product information within ChatGPT. Fashion is particularly well suited to conversational AI, as users often struggle to verbalize the exact image of the items they want. ZOZO uses more than 14 million outfit posts on WEAR to suggest outfits and items based on users' conversations in ChatGPT.

Agentic Commerce Stock Call-Outs

LY Corporation (4689.T, Overweight, Covered by Tetsuro Tsusaka): Combining LINE's overwhelming user base with agentic AI creates room for growth in advertising and commerce. Agent i is their own AI agent brand. Although still in the early rollout phase, it could expand transaction opportunities across PayPay and Yahoo! Shopping. In addition, LY is positioned for double-digit profit growth company-wide, supported by the expansion of the LINE media business, the shift in EC from GMV growth to monetization, and growth in strategic businesses. Agent i should be viewed less as a near-term earnings contributor and more as a medium-term catalyst that helps make LINE-led growth opportunities more visible and accelerate monetization.

Mercari (4385.T, Overweight, Covered by Tetsuro Tsusaka): Improving AI-driven matching accuracy could becomes an important driver of sustained GMV growth for Mercari. In C2C, a large share of inventory consists of one-off items, and the structural challenge is that buyers often struggle to find the products they want. Better search, recommendations, and item-data analysis should improve matching between buyers and sellers. Recently, high-ticket and hobby-driven categories such as trading cards and entertainment/hobby items have been driving Japan GMV, and better AI-driven discovery could help sustain growth in these categories. Given short-term strong earnings momentum, fintech monetization, low valuation, and future shareholder return potential, we see significant upside.

India

Archana Menon, Shravan Vohra, Gaurav Varma

Market Outlook

GMV Forecasts & Drivers

India's retail sector and eCommerce will reach over US$1.5 trillion and ~US$190 billion, respectively, by 2030, as per our estimates, vs. US$969 billion and US$92 billion currently. We forecast India eCommerce GMV increasing at a +18% CAGR over 2025-30 and the share of eCommerce in retail to reach 12.9% as compared to 9.5% in 2025 given the rising penetration, and supported by a broadening category base.

India's Consumption environment remains favorable over the medium to long term: As discussed in our India Bluepaper The New India: Why This Is India's Decade (31 Oct 2022), India has been a consumption-led economy for multiple decades (currently running at around 57% of GDP) and this is unlikely to change over the next few decades given the drivers in place. The continuing strength in consumption can be attributed to a mix of socioeconomic factors including the demographic dividend, with declining age dependency, and a steady rise in per-capita income. The major boost to consumer activity will likely occur in the discretionary consumption space. We expect consumption to further shift from staples to discretionary as India's per capita income rises from US$2,760 today to US $4,230 by 2031. At this point a higher allocation of incremental earnings will be directed toward discretionary spending, setting the stage for a consumption boom.

India's eCommerce story still has a long growth runaway: The eCommerce industry's growth advanced by almost 3-5 years due to pandemic effects, taking up the penetration by over 200 bps over 2019-21 vs. annual increases of 50-60 bps in the past, and, importantly, sustained and grew from the higher levels in 2022 and 2023 even as the operating environment normalized. Going ahead, we expect retail growth to be stronger at 11% (2025-30e) vs. 8% growth (2019-25) given the favorable macro, rising per capita income, broadening of categories and faster shift from unorganized to organized, and within that eCommerce salience to rise from 9.5% in 2025 to 12.9% by 2030, implying an annual increase of ~70bps.

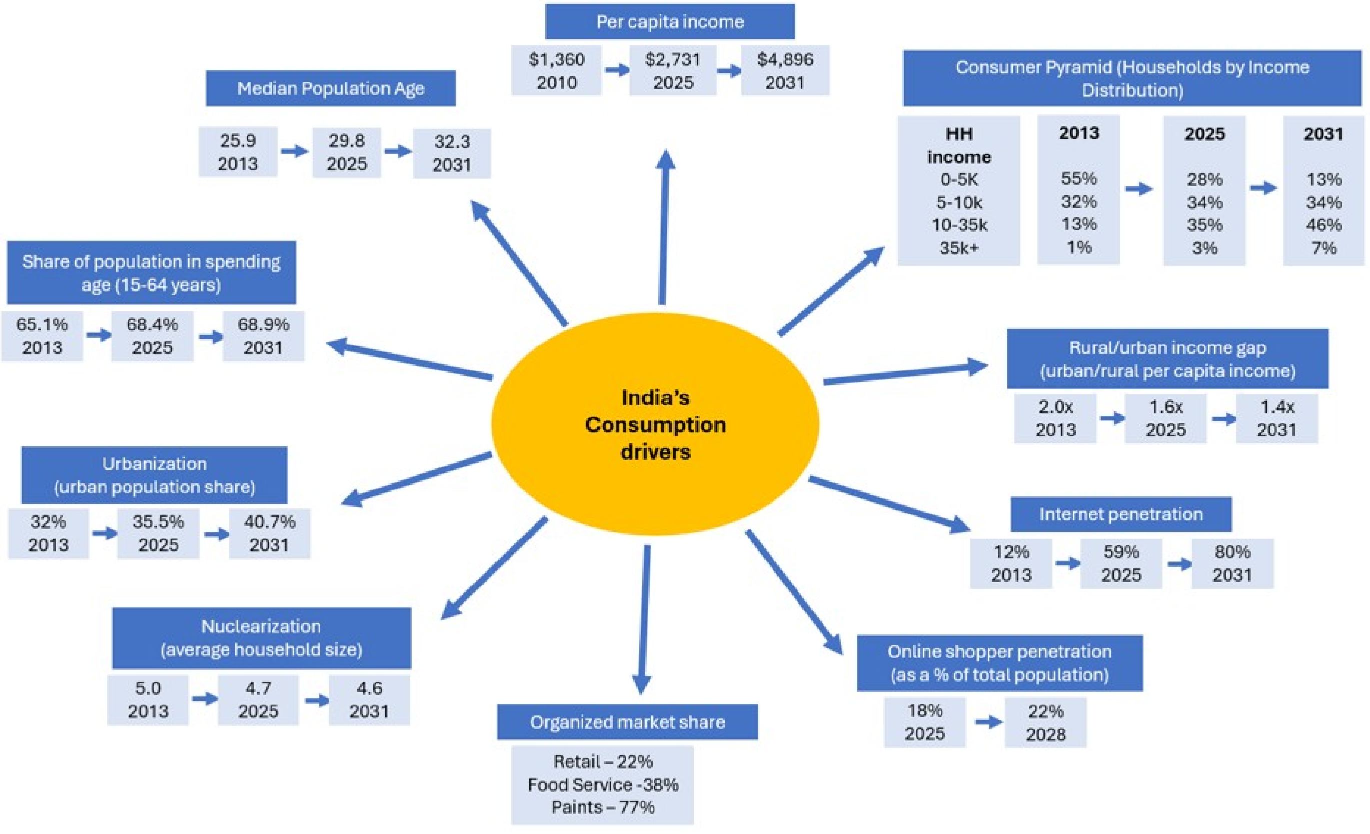
We highlight three key enabling factors that drive the eCommerce opportunity:

- India has the largest AAA cohort opportunity at play led by age (favorable demographics), access (rising internet penetration) and aspiration (rising per capita income).
- High population density and low labor costs (lowest among any large market globally), in our view, are important enablers for eCommerce penetration.
- India is among the fastest growing retail markets globally with a significant eCommerce opportunity. Moreover, India also has the largest informal sector globally with almost 90% of the retail industry in the informal space. This enables eCommerce companies to strategize not just an online strategy but build an omni-channel strategy in India, very different from what we see globally.

We expect eCommerce salience across categories to rise, but still remain below global averages. For instance, overall eCommerce share for the apparel category will see a rise to ~14.9% by 2030e vs. 11.4% currently (again amongst the fastest growing eCommerce segments). This is still much lower vs. the average of ~22% across global markets in 2025. The key reasons for the lower penetration come from India's large unorganized market (over 50%), and secondly India has a relatively high share of fine jewelry given the cultural significance of gold in India. Given the ticket size, lower eCommerce penetration rates are seen for fine jewelry and that weighs down on the overall apparel & accessory penetration.

In the past, the electronics category has seen the greatest increase in eCommerce penetration. On the contrary, for the food & beverages category, the starting point for eCommerce has been very low. The key reason for the low share is a result of low share of the organized market in grocery (see Exhibit 119). Over the next 5 years, apparel & accessories should see the largest delta in eCommerce penetration.

Exhibit 114: Consumption drivers remain favorable



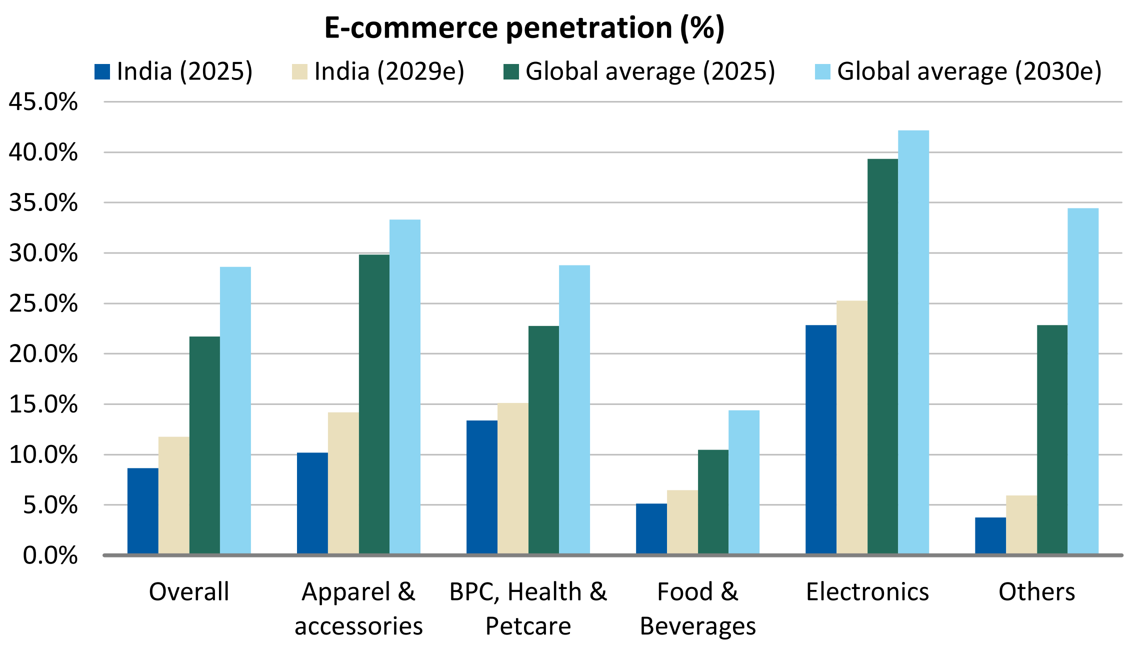
Source: Euromonitor, RedSeer, Morgan Stanley Research estimates

Exhibit 115: India Consumer Internet Funnel

Market / Year	Unit	Access to Internet	Smartphone Users	Online Retail Users
India CY2025	*mn*	835-875	710-720	300-320
	% pop	57-60%	~49%	20-22%
India CY2030P	*mn*	968-1,065	906-964	425-475
	% pop	63-70%	59-63%	28-31%
Growth multiple CY25–30P		***~1.2x***	***~1.3x***	***1.4-1.5x***
China CY2025	*mn*	1,120-1,160	1,110-1,160	950-1,000
	% pop	79-82%	78-82%	71-79%
United States CY2025	*mn*	330+	315+	285+
	% pop	~95%	~92%	~83%
Indonesia CY2025	*mn*	250+	240+	130+
	% pop	n/a	~82%	~44%

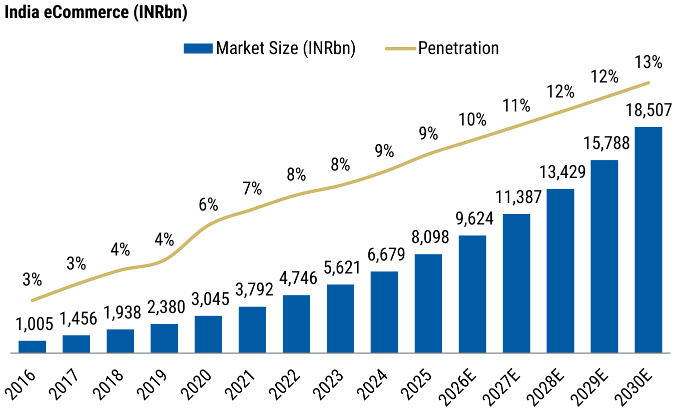
Source: Redseer Research and Analysis, Morgan Stanley Research.

Exhibit 116: India eCommerce penetration trends are still much lower than global averages and have a long runway ahead



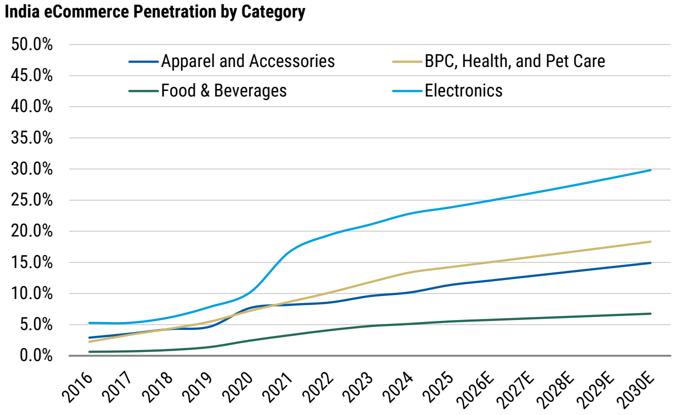
Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Exhibit 117: India Growth & Penetration



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Exhibit 118: India Penetration by Category



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Exhibit 119:

India Retail and eCommerce trends

	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e	Growth CAGR 2019-2025	Growth CAGR 2025-2030e
Retail market ($bn)	761	673	748	800	850	911	969	1,013	1,107	1,215	1,335	1,465	4%	9%
Apparel & accessories	145	95	110	127	137	147	153	161	179	199	222	247	1%	10%
BPC, Health & Petcare	28	27	29	31	33	35	37	39	42	46	50	54	5%	8%
Food & Beverages	122	120	137	147	155	170	183	191	209	229	251	275	7%	9%
Electronics	107	102	112	124	138	155	171	183	204	229	256	286	8%	11%
Others	359	330	359	370	387	404	426	439	473	513	556	603	3%	7%
E-commerce penetration (%)	4.4%	6.1%	6.9%	7.5%	8.0%	8.7%	9.5%	10.2%	10.8%	11.5%	12.2%	12.9%	18%	15%
Apparel & accessories	4.7%	7.7%	8.2%	8.6%	9.6%	10.2%	11.4%	12.1%	12.8%	13.5%	14.2%	14.9%	17%	16%
BPC, Health & Petcare	5.5%	7.2%	8.7%	10.2%	11.8%	13.4%	14.2%	15.0%	15.8%	16.7%	17.5%	18.3%	23%	13%
Food & Beverages	1.4%	2.4%	3.3%	4.1%	4.8%	5.1%	5.5%	5.8%	6.0%	6.3%	6.5%	6.8%	34%	13%
Electronics	7.8%	10.1%	16.7%	19.4%	21.1%	22.8%	23.8%	24.9%	26.1%	27.3%	28.5%	29.8%	30%	16%
Others	4.3%	5.7%	4.6%	4.4%	3.8%	3.8%	4.4%	4.8%	5.2%	5.6%	6.0%	6.4%	3%	16%

Source: Euromonitor, Morgan Stanley Research estimates.

Agentic Playbook and Implications

India's agentic commerce market is still in a nascent phase. India's agentic commerce opportunity should be framed less as immediate fully autonomous purchasing and more as AI-assisted discovery, advice-led conversion, and basket expansion. Rather than enabling AI to make purchases independently for consumers, current use cases are centered around AI-driven support across the shopping process, such as ***helping users discover products, compare options, receive personalized suggestions, and access relevant information***. Even retailers are adopting AI to improve customer experience, enhance productivity gains and attempting to employ use cases to reduce costs. For India, we expect the early adoption curve to be concentrated in conversational search, visual / vernacular discovery, product comparison, personalized recommendations and repeat-basket use cases. In India, the control point is even more important because consumer trust. Cash on Delivery / UPI behavior, fragmented supply, counterfeit risk and service reliability remain key determinants of conversion.

We believe highest ROI use cases could be in choice-heavy, advice-led categories. Beauty, personal care, fashion and wellness are well suited to agentic journeys because the consumer often does not start with a precise SKU. They start with an occasion, concern, budget, ingredient preference, skin type, shade, fit or style intent. That makes AI useful not only for “finding” products, but for translating vague intent into a credible basket.

Agentic Commerce Stock Call-Out

FSN E-Commerce Ventures Ltd (FSNE.NS, Overweight, Covered by Archana Menon)

FSN has a mix of an established beauty business model with category trends supportive of strong and sustainable growth potential, combined with a young but promising fashion business. FSN is a strong play on India’s beauty evolution theme. There are three key trends that will drive strong beauty category growth over the medium term: (1) Shift from unorganized to organized, (2) rising share of beauty in BPC consumption and (3) premiumization. Nykaa has a strong and established Beauty business which is well-placed to play the three key trends and can deliver sustainable profitable growth over the medium term. In addition, given the improving growth momentum in the fashion business and margin improvement trajectory across both segments we expect FSN to maintain its strong growth momentum over the next three years. We view FSN as a consumer business with a technology edge.

FSN's AI journey: FSN is positioning Nykaa as an AI-native commerce platform, not just a digital retailer using AI tools. At its Analyst Day, the company framed its FY27 AI strategy around three pillars: One Nykaa AI Platform, Reimagining Customer Experience with AI, and Reimagining Enterprise with AI. Its stated moat is the “Customer Cube” / first-party data layer built over 14 years, with Customer Cube-trained models and self-learning loops that improve with each customer interaction. The methodology is to combine foundation models, data lakes and agents into an adaptive architecture, with teams building through AI copilots and real-time decisions increasingly delegated to AI agents. On the consumer side, Nykaa has already moved beyond pilots. FY26 AI wins include Ask Nykaa Beta, Virtual Closet, Skin Scan, Make-Up VTO and Foundation Finder. There has been a 5x increase in conversational queries for Ask Nykaa.

The most agentic consumer product is Ask Nykaa: a beauty advisor that “listens, acts and follows her across the app,” remembers skin and habits, and can build a cart on demand in English, Hindi or Hinglish. Nykaa is also building an AI-powered Match Score for product "fitment" and a personalized For You surface where purchase history, search intent, brand affinity and beauty profile feed a personalization engine.

The company is also applying AI to fulfillment and enterprise workflows. In beauty, Nykaa says on-site journeys are being integrated with AI and beauty tech, and that AI-based demand forecasting and allocation will be the backbone for efficient network and logistics planning as it targets same-day / next-day delivery for 90% of orders across 19k serviceable pincodes by FY30.

Australia

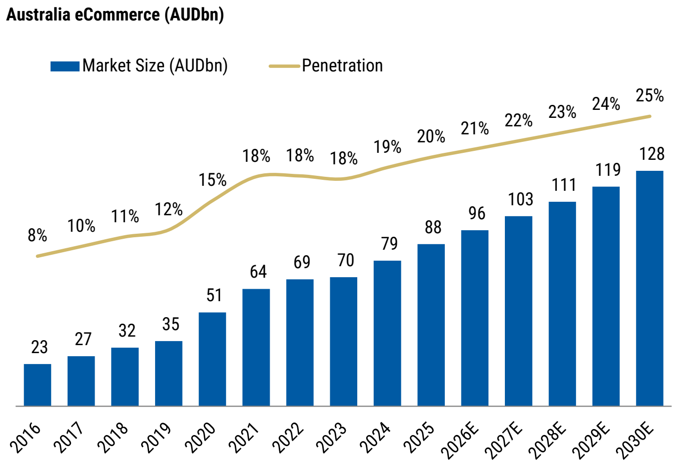
James Bales, Edward Xu

Market Outlook

GMV Forecasts & Drivers

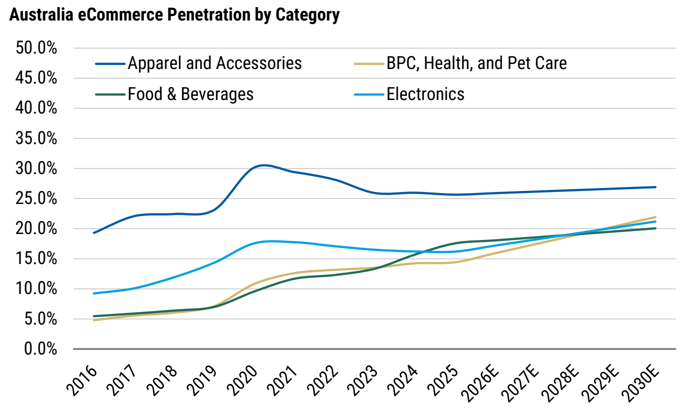
We forecast Australia eCommerce sales to grow by a 7.8% CAGR from A$88 billion in 2025 to A$128 billion in 2030E. There are two top-down factors that drive our assumptions: 1) Total retail sales CAGR of +3.1% over the forecast period (vs. +5.8% in 2019-25). This is broadly in-line with other developed market economies. 2) Total eCommerce penetration increasing to 25% by 2030E from 20% in 2025 and 12% in 2019, an uplift in-line with the global average.

Exhibit 120: Australia Growth & Penetration



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Exhibit 121: Australia Penetration by Category



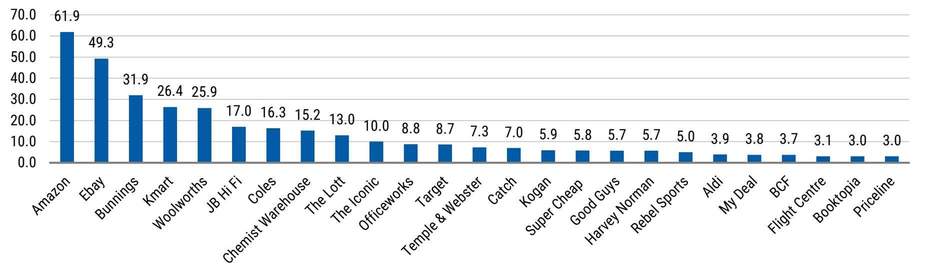
Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Market Share Trends

The Australian eCommerce market is highly fragmented, in our view, similar to the broader retail sector. We use web traffic as a proxy for market share given it is difficult to estimate revenue for global players operating in Australia and for unlisted businesses. A few points of observation:

- Omni-channel retailers account for 13 of the top 20 retailers compared to 7 pure play eCommerce businesses.
- Marketplaces (e.g., Ebay, Amazon, Kogan, Catch) generate some of the highest levels of traffic in Australia.
- Groceries (e.g., Woolworths, Coles, ALDI) are a highly concentrated category due to the oligopolist industry structure.

Exhibit 122: Australia eCommerce: Top 25 websites by traffic



Source: Similarweb monthly web traffic (LTM average), Morgan Stanley Research

Agentic Playbook and Implications

Very early stages — In Australia we are seeing:

- The emerging of infrastructure to enable agentic commerce — payment authentication
- Early commercial pilots — often shopping assistants requiring consumer approval
- Early signs of consumer acceptance — Paypal found 48% of Australian are already using AI assistants
- Several Australian retailers have spoken positively about a broadening of top-of-funnel from current heavy search reliance

Much of the discussion amongst Australian retailers centres on improving the user experience (app/website personalization, greater product discoverability in LLMs). Often AI assistants aim to help consumers research and select products, or augment loyalty offering. So far we have seen very limited scope for autonomous transactions.

Agentic Commerce Stock Call-Outs

Temple & Webster (TPW.AX, Overweight, Covered by James Bales)

TPW is Australia's largest pure-play online homewares and furniture (H&F) retailer. TPW offers a wide range with 210k+ products from 500+ suppliers across 200+ categories. Key product categories include Furniture, Outdoor, Office, Home Decor, Rugs, Lighting, Wall Art, Bed & Bath and Kitchen. TPW sells products either through a drop ship model (70-75% of revenue) or private label (25-30% of revenue). TPW is predominantly a B2C business, but also has a growing B2B (Trade & Commercial) and Home Improvement business (link to deep dive on their fast growing Home Improvement business).

Scope to move the needle in agentic commerce: TPW has been an early adopter of AI, reducing cost and increasing conversion on site with innovation such as automated product descriptions. We see scope for TPW to deliver:

- greater personalization
- an assisted shopping experience with inspiration
- scope to assist the purchasing journey leveraging data from 1.4m active customers
- up-sell suggestions that add value to the customer at check-out or post purchase
- reduced friction on payment, delivery, returns, etc.

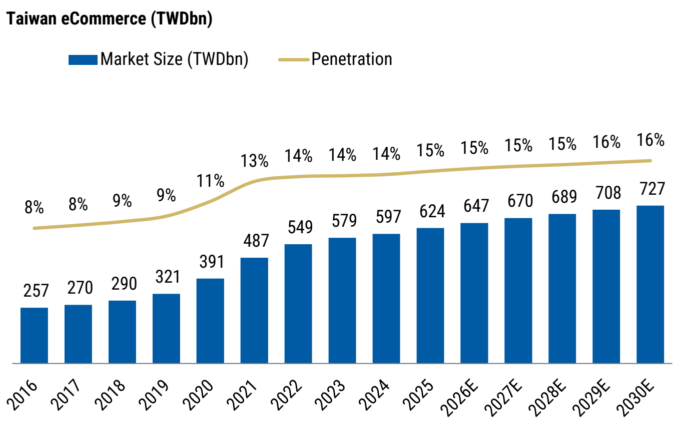
Taiwan

Terence Cheng, Jenny Ting

Market Outlook

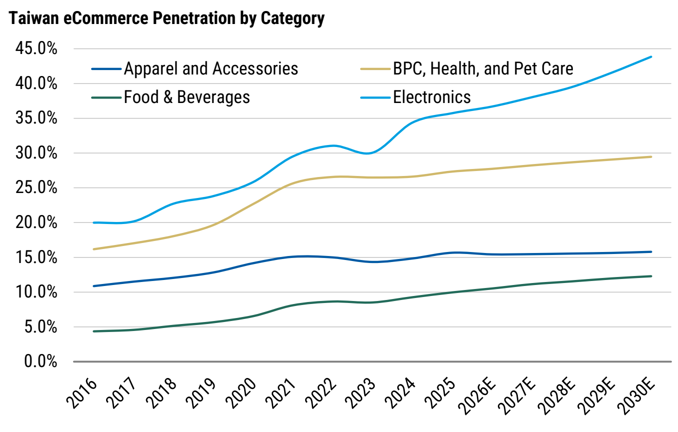
Taiwan's EC market is expected to grow at a 3.0% CAGR from US$20 billion in 2025 to US$23 billion in 2030E with the eCommerce penetration rate rising from 14.6% in 2025 to 15.8% in 2030E, which is summarized in Exhibit 123 , thanks to (1) Covid leading to consumers getting used to better price and convenience offered by the EC platforms; (2) ongoing development of logistics infrastructure and delivery services; and (3) a wider range of product selections. We believe 2026 onwards will be a normal growth phase for EC in Taiwan given ongoing normalization after accelerated growth during the Covid pandemic and the fact that Taiwan's well-established retail networks may cap EC growth, on top of consumers' spending shifting toward more service-related categories, such as outbound travel. We expect EC penetration to gradually rise onwards in Taiwan given the aforesaid reasons, on top of the fact that Taiwanese consumers tend to have high mobility and often prefer direct pick-up over online orders (travel costs to physical stores are relatively low, and the use of shared bicycles and personal mobility vehicles is widespread) with lower EC penetration rates versus global peers.

Exhibit 123: Taiwan Growth & Penetration



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Exhibit 124: Taiwan Penetration by Category



Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Among the domestic and foreign eCommerce platforms in Taiwan, Momo, PChome, and Coupang operate mostly 1P models with **Momo gradually ramping up the 3P ecosystem,** while Shopee started from a 3P model. For **Momo,** its 1P business is the main contributor, and Momo started to put focus on building the 3P business, starting May 2024.

According to our checks with industry experts, **Shopee and Momo are leading the Taiwan market,** with Coupang aggressively ramping up its presence in the market. We believe Momo has the potential to gradually cede share in the EC market in Taiwan, as the company faces strong competition from both Shopee and Coupang's investments in Taiwan, and new business development like the 3P marketplace business, retail media network, and livestreaming shopping are still unclear whether they will be long-term growth drivers.

Agentic Playbook and Implications

Current State of Agentic Commerce in Taiwan

Agentic commerce in Taiwan is still at an early stage. At present, the focus is not on AI completing purchases on behalf of users, but rather on AI-assisted commerce, where Taiwanese consumers use AI to support product search, comparison, recommendations, and information discovery. According to Visa, 96% of the online shoppers use AI to help them search products. In Taiwan, EC platforms hold purchase histories, search histories, reviews, points, payment, and inventory data internally. Therefore, to further evolve in agentic commerce, it is increasingly important for the EC platforms to advance and improve their customers' shopping experience and efficiency by combining proprietary data with LLMs, rather than relying on general-purpose LLMs alone.

Momo has started to implement agentic commerce initiatives

Momo kicked off the "**Shopping Agent**" development project at end-2025, aiming to embed LLM into its platform to help consumers search for suitable products via dialogue with AI. The company leverages its product data that have been tagged with not only quantitative descriptions but also qualitative metrics such as "country style", "suitable for outdoor activities" to advance consumers' search experience with more precise search results, improving conversion rates.

Agentic Commerce Stock Call-Outs

Momo.com (8454.TW, UW, Covered by Terence Cheng)

While Momo has started experimenting with agentic commerce, we do not expect meaningful contributions to its business near-term. We appreciate Momo's initiative in developing agentic commerce applications to improve its positioning in Taiwan's EC market; however, given Shopee's ongoing re-investment efforts, alongside Coupang's aggressive expansion strategy in Taiwan, we expect Momo to face tough competition from the aforesaid two platforms. This points to a challenging growth outlook and we expect Momo's market share loss to continue.

Global eCommerce Model Detail

Exhibit 125: eCommerce Model – Region-Level Summary

	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Total eCommerce Sales													
Asia	936,930	1,058,056	1,250,895	1,471,826	1,475,266	1,520,318	1,585,408	1,672,610	1,880,044	2,080,752	2,276,312	2,468,932	2,669,189
North America	541,583	623,978	880,997	979,703	1,056,857	1,147,820	1,246,203	1,324,839	1,444,637	1,565,274	1,687,881	1,817,835	1,955,666
Western Europe	383,884	402,579	540,608	638,839	564,762	596,380	636,548	705,918	772,864	823,161	878,565	932,931	986,920
Eastern Europe + Central Asia	72,763	86,756	122,159	158,852	191,798	228,512	281,614	361,488	397,811	424,605	450,270	478,966	511,449
LatAm	51,192	60,169	94,218	119,635	138,174	167,683	189,454	220,784	273,103	312,839	344,430	374,270	404,605
ASEAN	40,392	53,318	83,617	123,925	149,545	164,580	180,325	215,312	251,132	282,280	318,041	351,594	384,287
Oceania	23,765	24,608	35,079	47,782	47,752	46,466	52,094	56,716	64,773	71,150	76,556	81,622	86,883
Africa	2,649	3,369	5,569	7,792	8,732	8,259	8,616	10,517	13,122	14,779	16,442	18,155	19,820
Total eCommerce Sales	**2,053,157**	**2,312,833**	**3,013,141**	**3,548,354**	**3,632,885**	**3,880,018**	**4,180,263**	**4,568,184**	**5,097,487**	**5,574,840**	**6,048,496**	**6,524,306**	**7,018,819**
eCommerce Penetration													
Asia	*16%*	*18%*	*22%*	*23%*	*24%*	*25%*	*25%*	*25%*	*27%*	*28%*	*29%*	*29%*	*30%*
North America	*15%*	*17%*	*23%*	*22%*	*23%*	*24%*	*25%*	*26%*	*27%*	*28%*	*29%*	*30%*	*31%*
Western Europe	*11%*	*12%*	*16%*	*17%*	*16%*	*16%*	*17%*	*17%*	*18%*	*19%*	*19%*	*20%*	*20%*
Eastern Europe + Central Asia	*7%*	*8%*	*11%*	*13%*	*15%*	*17%*	*19%*	*21%*	*22%*	*23%*	*24%*	*25%*	*26%*
LatAm	*5%*	*5%*	*10%*	*11%*	*11%*	*12%*	*13%*	*15%*	*16%*	*18%*	*20%*	*21%*	*22%*
ASEAN	*5%*	*6%*	*10%*	*14%*	*16%*	*17%*	*18%*	*20%*	*23%*	*25%*	*27%*	*28%*	*30%*
Oceania	*11%*	*12%*	*15%*	*18%*	*18%*	*18%*	*19%*	*20%*	*21%*	*22%*	*23%*	*24%*	*25%*
Africa	*1%*	*2%*	*3%*	*3%*	*4%*	*4%*	*5%*	*5%*	*6%*	*6%*	*7%*	*7%*	*8%*
Total eCommerce	***12.7%***	***14.2%***	***18.5%***	***19.4%***	***19.9%***	***20.4%***	***21.4%***	***22.2%***	***23.4%***	***24.5%***	***25.5%***	***26.4%***	***27.3%***
Total eCommerce Change y/y (Local Currency)													
Asia	*23.3%*	*17.3%*	*18.2%*	*11.8%*	*6.9%*	*8.2%*	*6.7%*	*5.7%*	*9.0%*	*7.9%*	*7.0%*	*6.5%*	*6.0%*
North America	*13.3%*	*15.3%*	*41.3%*	*10.8%*	*8.1%*	*8.8%*	*8.6%*	*6.4%*	*9.0%*	*8.4%*	*7.8%*	*7.6%*	*7.5%*
Western Europe	*12.2%*	*8.9%*	*33.0%*	*13.8%*	*-3.7%*	*4.1%*	*5.8%*	*7.8%*	*7.7%*	*6.9%*	*6.1%*	*5.6%*	*5.0%*
Eastern Europe + Central Asia	*24.9%*	*23.1%*	*46.0%*	*34.4%*	*34.2%*	*23.7%*	*27.8%*	*31.0%*	*13.2%*	*10.9%*	*10.1%*	*9.6%*	*9.3%*
LatAm	*22.3%*	*31.2%*	*90.2%*	*32.1%*	*20.3%*	*34.6%*	*42.7%*	*24.0%*	*22.0%*	*18.6%*	*16.6%*	*14.6%*	*13.8%*
ASEAN	*29.8%*	*31.7%*	*57.1%*	*46.3%*	*27.8%*	*12.2%*	*12.9%*	*18.7%*	*18.7%*	*15.3%*	*13.0%*	*11.0%*	*9.8%*
Oceania	*17.2%*	*11.2%*	*43.9%*	*24.9%*	*8.2%*	*1.6%*	*12.9%*	*11.4%*	*8.6%*	*8.0%*	*7.6%*	*7.4%*	*7.2%*
Africa	*23.0%*	*29.2%*	*69.7%*	*33.9%*	*30.5%*	*28.3%*	*27.0%*	*24.2%*	*20.6%*	*19.1%*	*18.0%*	*16.6%*	*15.1%*
Total eCommerce	***18.4%***	***16.0%***	***31.1%***	***14.6%***	***7.8%***	***9.7%***	***10.3%***	***9.4%***	***10.2%***	***9.1%***	***8.2%***	***7.6%***	***7.2%***
Total eCommerce Change y/y (USD)													
Asia	*25.6%*	*12.9%*	*18.2%*	*17.7%*	*0.2%*	*3.1%*	*4.3%*	*5.5%*	*12.4%*	*10.7%*	*9.4%*	*8.5%*	*8.1%*
North America	*13.3%*	*15.2%*	*41.2%*	*11.2%*	*7.9%*	*8.6%*	*8.6%*	*6.3%*	*9.0%*	*8.4%*	*7.8%*	*7.7%*	*7.6%*
Western Europe	*15.7%*	*4.9%*	*34.3%*	*18.2%*	*-11.6%*	*5.6%*	*6.7%*	*10.9%*	*9.5%*	*6.5%*	*6.7%*	*6.2%*	*5.8%*
Eastern Europe + Central Asia	*21.4%*	*19.2%*	*40.8%*	*30.0%*	*20.7%*	*19.1%*	*23.2%*	*28.4%*	*10.0%*	*6.7%*	*6.0%*	*6.4%*	*6.8%*
LatAm	*7.2%*	*17.5%*	*56.6%*	*27.0%*	*15.5%*	*21.4%*	*13.0%*	*16.5%*	*23.7%*	*14.5%*	*10.1%*	*8.7%*	*8.1%*
ASEAN	*28.8%*	*32.0%*	*56.8%*	*48.2%*	*20.7%*	*10.1%*	*9.6%*	*19.4%*	*16.6%*	*12.4%*	*12.7%*	*10.6%*	*9.3%*
Oceania	*14.2%*	*3.5%*	*42.5%*	*36.2%*	*-0.1%*	*-2.7%*	*12.1%*	*8.9%*	*14.2%*	*9.8%*	*7.6%*	*6.6%*	*6.4%*
Africa	*22.2%*	*27.2%*	*65.3%*	*39.9%*	*12.1%*	*-5.4%*	*4.3%*	*22.1%*	*24.8%*	*12.6%*	*11.3%*	*10.4%*	*9.2%*
Total eCommerce	***19.5%***	***12.6%***	***30.3%***	***17.8%***	***2.4%***	***6.8%***	***7.7%***	***9.3%***	***11.6%***	***9.4%***	***8.5%***	***7.9%***	***7.6%***

Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Exhibit 126: eCommerce Penetration – Market-Level Time Series

	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
eCommerce Penetration													
China	*19.9%*	*22.6%*	*26.9%*	*26.8%*	*28.5%*	*28.8%*	*29.6%*	*30.0%*	*31.6%*	*32.9%*	*34.0%*	*35.0%*	*35.9%*
India	*4.0%*	*4.4%*	*6.1%*	*6.9%*	*7.5%*	*8.0%*	*8.7%*	*9.5%*	*10.2%*	*10.8%*	*11.5%*	*12.2%*	*12.9%*
Japan	*11.1%*	*11.6%*	*13.9%*	*14.6%*	*15.1%*	*15.1%*	*15.1%*	*15.2%*	*15.5%*	*15.7%*	*16.0%*	*16.2%*	*16.5%*
South Korea	*21.5%*	*25.3%*	*31.3%*	*34.6%*	*36.7%*	*39.1%*	*42.0%*	*43.4%*	*45.4%*	*46.5%*	*47.3%*	*47.9%*	*48.4%*
US	*16.3%*	*18.0%*	*24.0%*	*23.3%*	*23.6%*	*24.5%*	*25.6%*	*26.7%*	*27.6%*	*28.6%*	*29.8%*	*31.0%*	*32.3%*
Canada	*6.8%*	*7.9%*	*12.3%*	*13.0%*	*12.2%*	*12.8%*	*13.6%*	*14.5%*	*17.8%*	*18.8%*	*18.8%*	*18.8%*	*18.8%*
UK	*20.5%*	*22.1%*	*31.0%*	*30.5%*	*28.2%*	*28.7%*	*29.6%*	*30.8%*	*32.0%*	*33.0%*	*34.0%*	*35.0%*	*36.0%*
France	*8.5%*	*9.1%*	*11.7%*	*12.1%*	*11.0%*	*10.7%*	*11.1%*	*11.5%*	*12.0%*	*12.6%*	*13.2%*	*14.0%*	*14.7%*
Germany	*12.0%*	*12.7%*	*14.8%*	*17.1%*	*15.9%*	*15.5%*	*15.9%*	*16.3%*	*17.1%*	*17.9%*	*18.7%*	*19.5%*	*20.3%*
Italy	*6.1%*	*7.0%*	*9.0%*	*9.7%*	*10.2%*	*10.8%*	*11.4%*	*11.8%*	*12.3%*	*12.8%*	*13.3%*	*13.8%*	*14.3%*
Spain	*5.2%*	*6.3%*	*10.1%*	*11.1%*	*11.7%*	*12.3%*	*13.2%*	*14.3%*	*15.1%*	*15.7%*	*16.2%*	*16.7%*	*17.2%*
Other Western Europe	*10.2%*	*11.0%*	*14.1%*	*15.4%*	*15.0%*	*14.7%*	*15.0%*	*15.4%*	*15.9%*	*16.4%*	*16.9%*	*17.3%*	*17.7%*
Turkey	*5.5%*	*6.6%*	*11.6%*	*14.0%*	*14.3%*	*14.3%*	*15.1%*	*16.8%*	*17.9%*	*19.0%*	*20.1%*	*21.2%*	*22.3%*
Poland	*8.7%*	*9.6%*	*14.2%*	*14.4%*	*14.5%*	*14.8%*	*15.8%*	*16.6%*	*17.6%*	*18.6%*	*19.3%*	*20.1%*	*20.8%*
Other Eastern Europe	*6.4%*	*7.5%*	*10.5%*	*12.8%*	*15.6%*	*17.9%*	*20.9%*	*23.2%*	*24.0%*	*24.8%*	*25.6%*	*26.4%*	*27.2%*
Kazakhstan	*3.2%*	*4.1%*	*7.1%*	*10.4%*	*11.8%*	*13.3%*	*15.8%*	*18.2%*	*20.0%*	*21.4%*	*22.7%*	*23.9%*	*25.0%*
Brazil	*6.3%*	*7.3%*	*11.7%*	*14.4%*	*13.8%*	*14.2%*	*15.5%*	*17.7%*	*20.2%*	*22.7%*	*24.7%*	*26.2%*	*27.7%*
Mexico	*4.1%*	*5.2%*	*10.5%*	*10.5%*	*11.5%*	*12.8%*	*14.5%*	*16.5%*	*18.5%*	*20.2%*	*22.0%*	*23.7%*	*25.5%*
Argentina	*5.4%*	*6.9%*	*14.2%*	*13.1%*	*13.5%*	*15.5%*	*16.3%*	*16.7%*	*18.2%*	*19.7%*	*21.2%*	*22.7%*	*24.2%*
Chile	*5.5%*	*6.7%*	*11.7%*	*12.5%*	*11.4%*	*10.5%*	*10.9%*	*10.9%*	*12.4%*	*13.9%*	*15.4%*	*16.9%*	*18.4%*
Colombia	*2.4%*	*3.0%*	*5.3%*	*6.2%*	*6.8%*	*7.5%*	*9.1%*	*9.8%*	*10.8%*	*11.8%*	*12.8%*	*13.8%*	*14.8%*
Other LatAm	*2.8%*	*3.1%*	*5.6%*	*6.3%*	*7.0%*	*7.4%*	*8.4%*	*9.4%*	*10.4%*	*11.4%*	*12.6%*	*13.8%*	*15.0%*
Indonesia	*5.5%*	*7.5%*	*12.5%*	*18.3%*	*21.6%*	*21.8%*	*22.3%*	*23.2%*	*24.3%*	*25.5%*	*26.8%*	*28.3%*	*29.9%*
Malaysia	*3.9%*	*4.9%*	*7.0%*	*8.3%*	*9.1%*	*11.5%*	*13.3%*	*15.9%*	*18.5%*	*20.6%*	*22.5%*	*24.0%*	*25.1%*
Singapore	*7.0%*	*7.8%*	*14.5%*	*16.6%*	*15.8%*	*15.3%*	*16.1%*	*17.1%*	*17.7%*	*18.4%*	*19.2%*	*20.1%*	*21.1%*
Philippines	*1.8%*	*2.7%*	*6.2%*	*8.7%*	*11.1%*	*11.9%*	*14.1%*	*16.8%*	*19.0%*	*21.6%*	*24.0%*	*26.0%*	*27.5%*
Taiwan	*8.8%*	*9.5%*	*11.2%*	*13.5%*	*14.0%*	*14.1%*	*14.3%*	*14.6%*	*15.0%*	*15.2%*	*15.4%*	*15.6%*	*15.8%*
Thailand	*6.1%*	*7.4%*	*12.3%*	*19.2%*	*23.5%*	*25.0%*	*26.2%*	*33.9%*	*41.6%*	*46.8%*	*49.9%*	*51.3%*	*52.3%*
Vietnam	*3.3%*	*3.7%*	*6.1%*	*8.6%*	*9.2%*	*10.0%*	*13.0%*	*15.0%*	*17.4%*	*19.3%*	*21.1%*	*22.5%*	*23.3%*
Australia	*10.7%*	*11.5%*	*15.1%*	*18.0%*	*18.1%*	*17.8%*	*19.2%*	*20.4%*	*21.4%*	*22.4%*	*23.4%*	*24.4%*	*25.4%*
South Africa	*1.5%*	*1.8%*	*3.0%*	*3.8%*	*4.4%*	*5.2%*	*6.1%*	*6.9%*	*7.6%*	*8.1%*	*8.6%*	*9.1%*	*9.6%*
Egypt	*1.3%*	*1.6%*	*2.9%*	*3.6%*	*4.3%*	*4.3%*	*4.3%*	*4.6%*	*5.0%*	*5.6%*	*6.2%*	*6.8%*	*7.5%*
Nigeria	*1.2%*	*1.4%*	*1.6%*	*1.7%*	*1.6%*	*1.6%*	*1.9%*	*1.9%*	*2.2%*	*2.4%*	*2.6%*	*2.9%*	*3.1%*
Total eCommerce Penetration	***12.7%***	***14.2%***	***18.5%***	***19.4%***	***19.9%***	***20.4%***	***21.4%***	***22.2%***	***23.4%***	***24.5%***	***25.5%***	***26.4%***	***27.3%***

Source: Euromonitor, National Data Sources, Morgan Stanley Research estimates

Agentic Commerce Scorecard Detail

Exhibit 127: MS Agentic Commerce Scorecard Detail — Ecosystem Capabilities

	Ecosystem Capabilities Inputs by Company					
	Own Agent Developed	Catalogue Integrated to any major LLMs	Loyalty Program	Financial Services Offering	Logistics Operation	Off-Platform Ads
MercadoLibre	Actively Planned	No	Yes, high importance	Yes, high importance	Yes, high importance	Yes, high importance
Magazine Luiza	Yes	No	No	Yes, moderate importance	Yes, high importance	No
Walmex	No	No	No	Yes, moderate importance	Yes, high importance	No
Casas Bahia	No	No	No	Yes, moderate importance	Yes, high importance	No
Amazon	Yes	No	Yes, high importance	Yes, moderate importance	Yes, high importance	Yes, moderate importance
eBay	Actively Planned	Actively Planned	No	Yes, moderate importance	Yes, moderate importance	Yes, moderate importance
Chewy	No	No	Yes, moderate importance	No	Yes, high importance	Yes, high importance
Revolve	Actively Planned	Actively Planned	Yes, moderate importance	No	Yes, moderate importance	No
FIGS	No	No	No	No	Yes, moderate importance	No
Wayfair	Yes	Yes	Yes, high importance	No	Yes, high importance	Yes, high importance
Etsy	Actively Planned	Yes	Yes, moderate importance	Yes, moderate importance	No	Yes, moderate importance
Walmart	Yes	Yes	Yes, high importance	Yes, moderate importance	Yes, high importance	Yes, high importance
Target	Yes	Yes	Yes, high importance	No	Yes, high importance	Yes, high importance
Alibaba	Yes	Yes	Yes, high importance	Yes, high importance	Yes, moderate importance	No
Pinduoduo	Actively Planned	No	Yes, moderate importance	No	No	No
JD.com	Yes	Actively Planned	Yes, high importance	Yes, high importance	Yes, high importance	No
Kuaishou	No	No	No	No	No	Yes, high importance
Meituan	Yes	Actively Planned	Yes, high importance	Yes, moderate importance	Yes, high importance	No
Vipshop	No	No	Yes, high importance	Yes, moderate importance	No	No
Shopee	Actively Planned	Actively Planned	Yes, high importance	Yes, high importance	Yes, high importance	No
Rakuten	Yes	No	Yes, high importance	Yes, high importance	Yes, high importance	Yes, moderate importance
LY Corp.	Yes	Yes	Yes, high importance	Yes, high importance	Yes, moderate importance	Yes, high importance
Mercari	Actively Planned	No	Yes, moderate importance	Yes, high importance	No	No
ZOZO	Yes	Yes	Yes, moderate importance	Yes, moderate importance	Yes, high importance	No
MonotaRo	No	No	No	No	Yes, high importance	No
Coupang	No	No	Yes, high importance	Yes, high importance	Yes, high importance	No
Naver	Yes	Yes	Yes, high importance	Yes, high importance	Yes, high importance	No
Allegro	Yes	Yes	Yes, high importance	Yes, high importance	Yes, high importance	Yes, moderate importance
Kaspi	Yes	No	Yes, high importance	Yes, high importance	Yes, high importance	Yes, moderate importance
FSN	Yes	Yes	Yes, moderate importance	No	Yes, high importance	No
Meesho	Yes	No	No	Yes, moderate importance	Yes, high importance	No
Temple & Webster	No	No	No	No	Yes, moderate importance	No
Zalando	Yes	No	Yes, high importance	No	Yes, high importance	Yes, moderate importance
Momo	No	No	Yes, moderate importance	Yes, moderate importance	Yes, high importance	Yes, moderate importance
Shopify	No	Yes	Yes, moderate importance	Yes, high importance	Yes, moderate importance	Yes, moderate importance

Source: Morgan Stanley Research

Exhibit 128: MS Agentic Commerce Scorecard — 5 I's Framework

	5 I's Ratings by Company					
	Inventory	Infrastructure	Innovation	Incremental Growth Opp.	Income Statement / Margin Impact	5 I's Score Average
MercadoLibre	4	5	4	5	3	**4.2**
Magazine Luiza	2	4	3	3	4	**3.2**
Walmex	3	4	2	2	4	**3.0**
Casas Bahia	1	4	2	2	4	**2.6**
Amazon	5	5	5	4	2	**4.2**
eBay	5	3	4	4	3	**3.8**
Chewy	2	4	3	2	5	**3.2**
Revolve	3	2	4	4	4	**3.4**
FIGS	5	2	1	2	4	**2.8**
Wayfair	5	5	5	3	5	**4.6**
Etsy	2	2	3	5	4	**3.2**
Walmart	5	5	5	5	2	**4.4**
Target	3	3	1	3	1	**2.2**
Alibaba	5	5	4	4	3	**4.2**
Pinduoduo	4	3	4	4	3	**3.6**
JD.com	4	5	3	3	3	**3.6**
Kuaishou	2	2	4	3	4	**3.0**
Meituan	5	5	3	4	3	**4.0**
Vipshop	1	2	2	2	3	**2.0**
Shopee	5	5	4	4	3	**4.2**
Rakuten	3	3	4	3	3	**3.2**
LY Corp.	3	3	3	3	2	**2.8**
Mercari	4	1	3	4	4	**3.2**
ZOZO	3	4	3	2	3	**3.0**
MonotaRo	4	5	2	4	4	**3.8**
Coupang	5	5	3	3	4	**4.0**
Naver	3	1	4	3	2	**2.6**
Allegro	2	3	4	3	3	**3.0**
Kaspi	2	3	4	3	3	**3.0**
FSN	5	3	4	4	4	**4.0**
Meesho	5	2	3	4	4	**3.6**
Temple & Webster	4	3	3	4	4	**3.6**
Zalando	2	4	3	2	3	**2.8**
Momo	1	4	2	1	3	**2.2**
Shopify	4	2	5	4	4	**3.8**

Source: Morgan Stanley Research

Global eCommerce Comps

Exhibit 129: Global eCommerce Comps – Americas

Company	Ticker	Country	MS Rating	Last Price	Price Target	Upside/ Downs.	Market Cap ($mn)	EV ($mn)	ADTV ($mn)	EV/GMV		CAGR	EV/Revenue		CAGR	EV/EBITDA		CAGR
										2026	2027	25-28e	2026	2027	25-28e	2026	2027	25-28e
LatAm eCommerce																		
Mercadolibre Inc.	MELI.O	Argentina	OW	1,874	2,450	31%	95,001	92,541	704	1.0x	0.9x	23%	2.2x	1.8x	30%	22.3x	15.5x	24%
Magazine Luiza S.A.	MGLU3.SA	Brazil	UW	5	6	19%	678	1,251	21	0.2x	0.2x	1%	0.2x	0.2x	4%	2.9x	2.7x	5%
Grupo Casas Bahia S.A.	BHIA3.SA	Brazil	UW	1	1	16%	20	1,021	1	0.3x	0.3x	7%	0.2x	0.2x	6%	3.3x	3.1x	9%
LatAm Median										**0.3x**	**0.3x**	**7%**	**0.2x**	**0.2x**	**6%**	**3.3x**	**3.1x**	**9%**
US eCommerce																		
Amazon.com Inc	AMZN.O	United States	OW	247	330	33%	2,724,023	2,666,642	7,246	3.0x	2.8x	10%	3.2x	2.8x	16%	11.9x	8.8x	30%
Shopify Inc	SHOP.O	United States	OW	126	192	53%	162,325	156,547	610	0.3x	0.3x	24%	10.5x	8.6x	25%	73.3x	56.5x	34%
eBay Inc	EBAY.O	United States	OW	113	121	8%	51,201	55,028	335	0.6x	0.6x	6%	4.5x	4.1x	8%	18.6x	15.7x	13%
Wayfair Inc	W.N	United States	OW	89	110	24%	12,214	14,740	160	1.1x	1.1x	6%	1.1x	1.1x	6%	29.4x	23.9x	23%
Etsy Inc	ETSY.N	United States	EW	83	64	-23%	10,053	11,508	187	1.1x	1.0x	-2%	4.1x	4.0x	1%	14.6x	14.3x	3%
Chewy Inc	CHWY.N	United States	OW	20	42	106%	8,447	7,587	159	0.6x	0.5x	8%	0.6x	0.5x	8%	8.1x	6.6x	25%
FIGS, Inc.	FIGS.N	United States	EW	10	15	54%	1,906	1,605	18	2.2x	2.0x	10%	2.2x	2.0x	10%	17.4x	13.9x	18%
Revolve Group Inc	RVLV.N	United States	EW	24	27	11%	1,766	1,463	8	1.1x	1.0x	8%	1.1x	1.0x	8%	17.7x	12.0x	22%
RealReal, Inc.	REAL-US	United States	NC	11	NC	NA	1,311	1,623	30	2.7x	2.3x	13%	2.1x	1.9x	11%	24.9x	18.0x	42%
thredUP, Inc. Class A	TDUP-US	United States	NC	6	NC	NA	687	691	5	2.7x	2.2x	NA	1.9x	1.8x	11%	31.8x	23.3x	45%
Stitch Fix, Inc. Class A	SFIX-US	United States	NC	4	NC	NA	440	299	4	0.2x	0.2x	NA	0.2x	0.2x	4%	6.0x	5.4x	11%
US Median										**1.1x**	**1.0x**	**8%**	**2.1x**	**1.9x**	**8%**	**17.7x**	**14.3x**	**23%**
Global Average										**1.0x**	**0.9x**	**12%**	**2.1x**	**1.8x**	**12%**	**14.9x**	**11.4x**	**20%**
Global Median										**0.6x**	**0.5x**	**10%**	**1.3x**	**1.2x**	**10%**	**11.9x**	**10.2x**	**17%**
Global 75th Percentile										**1.1x**	**1.0x**	**17%**	**3.0x**	**2.6x**	**15%**	**17.9x**	**14.1x**	**25%**
Global 25th Percentile										**0.3x**	**0.3x**	**6%**	**0.5x**	**0.5x**	**6%**	**6.3x**	**5.8x**	**11%**

Source: Factset, Company data, Morgan Stanley Research estimates, except for non-covered companies (NC), which are consensus estimates.
Note: Pricing as of 7/14/2026.

Exhibit 130: Global eCommerce Comps – EMEA & APAC

Global	Ticker	Country	MS Rating	Last Price	Price Target	Upside/ Downs.	Market Cap ($mn)	EV ($mn)	ADTV ($mn)	EV/GMV 2026	EV/GMV 2027	CAGR 25-28e	EV/Revenue 2026	EV/Revenue 2027	CAGR 25-28e	EV/EBITDA 2026	EV/EBITDA 2027	CAGR 25-28e
EMEA eCommerce																		
Kaspi	KSPI.KZ	Kazakhstan	EW	42,000	40,000	-5%	17,145	19,172	27	0.8x	0.7x	17%	2.5x	2.2x	16%	5.8x	4.9x	15%
Allegro.eu SA	ALEP.WA	Poland	OW	44	39	-12%	12,248	12,796	167	0.6x	0.6x	11%	3.7x	3.2x	14%	12.6x	10.0x	19%
Zalando SE	ZALG.DE	Germany	EW	28	24	-15%	8,336	6,742	NA	0.3x	0.3x	5%	0.4x	0.4x	6%	6.4x	5.2x	13%
Luxexperience BV	LUXE.N	Germany	EW	8	9	14%	1,075	397	1	0.1x	0.1x	29%	0.1x	0.1x	30%	NM	17.0x	NM
D-MARKET Elektronik Hizmetler ve Ticaret AS	HEPS-US	Turkey	NC	3	NC	NA	1,054	795	0	0.5x	0.4x	NA	0.3x	0.2x	34%	25.6x	8.9x	NM
Boozt AB	BOOZT-SE	Denmark	NC	152	NC	NA	949	880	2	1.0x	1.0x	NA	0.9x	0.9x	7%	9.7x	8.5x	11%
Jumia Technologies AG Sponsored ADR	JMIA-US	Germany	NC	7	NC	NA	839	773	5	4.6x	4.1x	26%	3.4x	2.8x	15%	NM	NM	NM
ASOS Plc	ASC-GB	United Kingdom	NC	4	NC	NA	577	1,125	2	0.3x	0.3x	3%	0.4x	0.4x	-2%	5.3x	4.8x	13%
Westwing Group SE	WEW-DE	Germany	NC	15	NC	NA	340	269	NA	0.5x	0.5x	NA	0.5x	0.5x	6%	5.6x	4.8x	8%
EMEA Median										**0.5x**	**0.5x**	**14%**	**0.5x**	**0.5x**	**14%**	**6.4x**	**6.8x**	**13%**
APAC eCommerce																		
Alibaba Group Holding	BABA.N	China	OW	112	180	60%	278,007	228,656	1,256	0.2x	0.2x	4%	1.5x	1.4x	8%	16.6x	10.8x	7%
PDD Holdings Inc	PDD.O	China	OW	84	129	54%	119,586	58,001	573	0.1x	0.1x	8%	0.8x	0.8x	8%	2.9x	2.6x	17%
JD.com, Inc.	JD.O	China	UW	29	27	-6%	78,667	73,145	188	0.1x	0.1x	4%	0.4x	0.3x	5%	11.8x	10.3x	25%
Sea Ltd	SE.N	Singapore	OW	109	130	19%	69,752	60,095	388	0.4x	0.3x	20%	1.9x	1.6x	25%	14.8x	11.8x	21%
Meituan	3690.HK	China	OW	83	120	44%	64,650	48,748	651	0.5x	0.4x	20%	0.8x	0.7x	14%	NM	6.8x	NM
Coupang Inc	CPNG.N	S. Korea	OW	18	28	58%	31,950	27,240	378	0.6x	0.5x	8%	0.7x	0.6x	12%	NM	15.1x	44%
LY Corporation	4689.T	Japan	OW	446	500	12%	20,773	18,595	NA	0.9x	0.8x	6%	1.3x	1.2x	10%	6.8x	6.2x	7%
Naver Corp	035420.KS	S. Korea	EW	189,600	270,000	42%	20,174	17,511	102	0.6x	0.5x	10%	1.9x	1.7x	12%	8.2x	7.1x	14%
FSN E-Commerce Ventures Ltd	FSNE.NS	India	OW	329	321	-2%	9,741	9,822	NA	3.7x	2.9x	27%	9.4x	7.4x	27%	NM	NM	53%
Meesho Limited	MEES.NS	India	EW	189	190	0%	9,090	9,074	NA	0.9x	0.8x	26%	6.9x	4.7x	36%	NM	NM	NM
Vipshop Holdings Ltd	VIPS.N	China	EW	14	18	30%	7,095	4,383	29	0.1x	0.1x	5%	0.3x	0.3x	2%	3.2x	3.1x	0%
ZOZO	3092.T	Japan	EW	1,170	1,200	3%	6,378	5,973	NA	1.4x	1.4x	7%	4.0x	3.7x	6%	11.9x	11.2x	8%
MonotaRO	3064.T	Japan	OW	1,950	2,500	28%	5,864	5,663	NA	2.5x	2.2x	14%	2.4x	2.1x	13%	14.9x	12.9x	16%
Mercari	4385.T	Japan	OW	4,693	5,000	7%	4,774	4,597	NA	0.5x	0.5x	11%	3.3x	2.9x	14%	15.9x	12.8x	29%
Temple & Webster Group Ltd	TPW.AX	Australia	OW	5	8	52%	457	376	2	0.8x	0.7x	11%	0.8x	0.7x	11%	25.7x	13.4x	38%
APAC Median										**0.6x**	**0.5x**	**10%**	**1.5x**	**1.4x**	**12%**	**11.9x**	**10.8x**	**17%**
Global Average										**1.0x**	**0.9x**	**12%**	**2.1x**	**1.8x**	**12%**	**14.9x**	**11.4x**	**20%**
Global Median										**0.6x**	**0.5x**	**10%**	**1.3x**	**1.2x**	**10%**	**11.9x**	**10.2x**	**17%**
Global 75th Percentile										**1.1x**	**1.0x**	**17%**	**3.0x**	**2.6x**	**15%**	**17.9x**	**14.1x**	**25%**
Global 25th Percentile										**0.3x**	**0.3x**	**6%**	**0.5x**	**0.5x**	**6%**	**6.3x**	**5.8x**	**11%**

Source: Factset, Company data, Morgan Stanley Research estimates, except for non-covered companies (NC), which are consensus estimates.
Note: Pricing as of 7/14/2026.

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Group NV, NICE Ltd., O'Reilly Automotive Inc, Ocado Group PLC, Okta, Inc., Ollie's Bargain Outlet Holdings Inc, Opendoor Technologies Inc, Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, PDD Holdings Inc, Pearl Abyss Corp, Peloton Interactive, Inc., Pinterest Inc, Poya International Co Ltd, Qualys Inc, Rakuten Group, Rapid7 Inc, Rasan Information Technology, Reddit Inc, RH, Rightmove Plc, RingCentral Inc, Roblox Corporation, Sabre Corp, Salesforce, Inc., Sally Beauty Holdings Inc, Samsara Inc, Scout24, Sea Ltd, Sendas Distribuidora S.A., SentinelOne, Inc., Service Stream Ltd, ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Shutterstock Inc, SK Telecom Co Ltd, Snowflake Inc., Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Superloop Ltd, Take-Two Interactive Software, Talabat Holding PLC, Target Corp, Temple & Webster Group Ltd, Tenable Holdings Inc, Toast, Inc., Tractor Supply Co, Trade Desk Inc, Trainline PLC, Trip.com Group Ltd, Trustpilot, Twilio Inc, Uber Technologies Inc, UiPath Inc, Ulta Beauty Inc, Uniao Pet Participacoes SA, Unity Software Inc, Valvoline Inc., Vend Marketplaces ASA, Vertex Inc., Vivara Participacoes SA, Wal-Mart de Mexico, Walmart Inc, Webtoon Entertainment Inc, Williams-Sonoma Inc, Wix.Com Ltd, Workday Inc, Yelp Inc, Zalando SE, Zeta Global Holdings Corp, Zillow Group Inc, ZoomInfo Technologies Inc, ZOZO.

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In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Academy Sports and Outdoors Inc, Aditya Birla Fashion and Retail Limited, Adobe Inc., Airbnb Inc, Akamai Technologies, Inc., Albertsons Companies, Inc, Alibaba Group Holding, Alphabet Inc., Amazon.com Inc, Amplitude Inc., Appian Corp, AppLovin Corp, Arhaus Inc, Asana Inc, Askul, Atlassian Corporation PLC, Auto Trader Group PLC, Autodesk, Autohome Inc, Azzas 2154 SA, Baby Bunting, Baidu Inc, Bapcor Limited, BBB Foods Inc, Best Buy Co Inc, Bilibili Inc, BILL Holdings Inc, Blackline Inc, Bob's Discount Furniture, Inc., Booking Holdings Inc, Box Inc, Brainbees Solutions Limited, Breville Group Ltd., Bumble Inc., C&A Modas S.A., C3.ai, CCC Intelligent Solutions Holdings Inc, Cencosud SA, Check Point Software Technologies Ltd., Chewy Inc, Cloudflare Inc, Commerce.com Inc., Companhia Brasileira de Distribuicao, CoreWeave, Costco Wholesale Corp, Coupang Inc, Coursera, Inc., Criteo SA, CrowdStrike Holdings Inc, CyberAgent, Datadog, Inc., Delivery Hero SE, Dentsu, Descartes Systems Group Inc, Dick's Sporting Goods, DigitalOcean Holdings Inc, Docebo Inc., DocuSign Inc, Dollar General Corporation, DoorDash Inc, DoubleVerify Holdings Inc, Driven Brands Holdings Inc, Duolingo Inc, eBay Inc, Elastic NV, Electronic Arts Inc, Etsy Inc, Expedia Inc., Falabella S.A., Figma Inc, FIGS, Inc., Five9 Inc, Fleetpartners Group Ltd, Flight Centre Travel Group Ltd, Floor & Decor Holdings Inc, Fortinet Inc., Freshworks Inc, FSN E-Commerce Ventures Ltd, Full Truck Alliance Co. Ltd, Gen Digital Inc., GitLab Inc, GoDaddy Inc, Godrej Consumer Products Limited, GoTo Gojek Tokopedia PT, Grab Holdings Ltd, Grocery Outlet Holding Corp, Grupo Casas Bahia S.A., Hakuhodo DY Holdings, Hemnet Group AB, Hindustan Unilever Ltd, Home Depot Inc, HubSpot, Inc., IGI (India) Ltd, Instacart, Intuit, IQIYI Inc, Jahez International Co, JD.com, Inc., JFrog Ltd., JOYY Inc., Jumbo Interactive Ltd, Kakaku.com, Kakao Corp, Kanzhun Ltd, Kaspi.kz, KE Holdings Inc, Klaviyo, Inc, Krafton Inc, KT Corp, Kuaishou Technology, LegalZoom.com Inc, Lenskart Solutions Limited, LG Uplus Corp, Life360, Liftoff Mobile Inc., Lightspeed Commerce Inc., Liveramp Holdings Inc, Lojas Renner SA, Lowe's Companies Inc, LY Corporation, Lyft Inc, Magazine Luiza S.A., Match Group Inc, McMillan Shakespeare Limited, Meesho Limited, Meituan, Mercadolibre Inc., Mercari, Meta Platforms Inc, Microsoft, MNTN Inc, Momo Com Inc, monday.com Ltd, MongoDB Inc, MonotaRO, MONY Group PLC, Naspers, Natura Cosmeticos SA, Navan Inc, Naver Corp, NC Corporation, Nebius Group NV, NetEase, Inc, Netmarble Games Corp, Netskope, Inc., Netwealth Group Ltd, NICE Ltd., Ocado Group PLC, Okta, Inc., Ollie's Bargain Outlet Holdings Inc, Opendoor Technologies Inc, Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, PDD Holdings Inc, Peloton Interactive, Inc., Pinterest Inc, Playtika Holding Corp, Prosus, Qualys Inc, Rakuten Group, Rapid7 Inc, Rasan Information Technology, Recruit Holdings, Reddit Inc, Redox Ltd, Revolve Group Inc, RH, Rightmove Plc, RingCentral Inc, Roblox Corporation, Sabre Corp, SailPoint Inc, Salesforce, Inc., Samsara Inc, Scout24, Sea Ltd, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Shutterstock Inc, Siteminder Ltd, SK Telecom Co Ltd, SMG Swiss Marketplace Group Holding AG, Snap Inc., Snowflake Inc., Softbank Group, Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Take-Two Interactive Software, Talabat Holding PLC, Target Corp, Temple & Webster Group Ltd, Tenable Holdings Inc, Tencent Holdings Ltd., Toast, Inc., Tongcheng Travel Holdings, Tractor Supply Co, Trade Desk Inc, Trainline PLC, Trip.com Group Ltd, Trustpilot, Twilio Inc, Uber Technologies Inc, UiPath Inc, Ulta Beauty Inc, Uni-President Enterprises Corp., Uniao Pet Participacoes SA, Unity Software Inc, Valvoline Inc., Varonis Systems, Inc., Varun Beverages Limited, Vend Marketplaces ASA, Ventia Services Group Ltd, Vertex Inc., Via Transportation Inc, Vipshop Holdings Ltd, Walmart Inc, Webtoon Entertainment Inc, Weibo Corp, Williams-Sonoma Inc, Wix.Com Ltd, Workday Inc, Yelp Inc, Yesway, Zalando SE, Zeta Global Holdings Corp, Zillow Group Inc, Zoom Communications, ZOZO, Zscaler Inc.

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Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Academy Sports and Outdoors Inc, Aditya Birla Fashion and Retail Limited, Adobe Inc., Airbnb Inc, Akamai Technologies, Inc., Albertsons Companies, Inc, Alibaba Group Holding, Alphabet Inc., Amazon.com Inc, Amplitude Inc., Appian Corp, AppLovin Corp, Arhaus Inc, Asana Inc, Atlassian Corporation PLC, Auto Trader Group PLC, Autodesk, Autohome Inc, Azzas 2154 SA, Baby Bunting, Baidu Inc, Bapcor Limited, BBB Foods Inc, Best Buy Co Inc, Bilibili Inc, BILL Holdings Inc, Blackline Inc, Bob's Discount Furniture, Inc., Booking Holdings Inc, Box Inc, Brainbees Solutions Limited, Breville Group Ltd., Bumble Inc., C&A Modas S.A., C3.ai, CCC Intelligent Solutions Holdings Inc, Cencosud SA, Check Point Software Technologies Ltd., Chewy Inc, Cloudflare Inc, Commerce.com Inc., Companhia

Brasileira de Distribuicao, Compass, Inc., CoreWeave, Costco Wholesale Corp, Coupang Inc, Coursera, Inc., Criteo SA, CrowdStrike Holdings Inc, CyberAgent, Datadog, Inc., Delivery Hero SE, Dentsu, Descartes Systems Group Inc, Dick's Sporting Goods, DigitalOcean Holdings Inc, Docebo Inc., DocuSign Inc, Dollar General Corporation, DoorDash Inc, DoubleVerify Holdings Inc, Driven Brands Holdings Inc, Duolingo Inc, eBay Inc, Elastic NV, Electronic Arts Inc, Etsy Inc, Expedia Inc., Falabella S.A., Figma Inc, FIGS, Inc., Five9 Inc, Fleetpartners Group Ltd, Flight Centre Travel Group Ltd, Floor & Decor Holdings Inc, Fortinet Inc., Freshworks Inc, FSN E-Commerce Ventures Ltd, Full Truck Alliance Co. Ltd, Gen Digital Inc., GitLab Inc, GoDaddy Inc, Godrej Consumer Products Limited, GoTo Gojek Tokopedia PT, Grab Holdings Ltd, Grocery Outlet Holding Corp, Grupo Casas Bahia S.A., Hakuhodo DY Holdings, Hemnet Group AB, Hindustan Unilever Ltd, Home Depot Inc, HubSpot, Inc., IGI (India) Ltd, Instacart, Intuit, IQIYI Inc, Jahez International Co, JD.com, Inc., JFrog Ltd., JOYY Inc., Jumbo Interactive Ltd, Kakao Corp, Kanzhun Ltd, Kaspi.kz, KE Holdings Inc, Klaviyo, Inc, Krafton Inc, KT Corp, Kuaishou Technology, LegalZoom.com Inc, Lenskart Solutions Limited, LG Uplus Corp, Life360, Liftoff Mobile Inc., Lightspeed Commerce Inc., Liveramp Holdings Inc, Lojas Renner SA, Lowe's Companies Inc, LY Corporation, Lyft Inc, Magazine Luiza S.A., Match Group Inc, McMillan Shakespeare Limited, Meesho Limited, Meituan, Mercadolibre Inc., Mercari, Meta Platforms Inc, Microsoft, MNTN Inc, Momo Com Inc, monday.com Ltd, MongoDB Inc, MONY Group PLC, Naspers, Natura Cosmeticos SA, Navan Inc, Naver Corp, NC Corporation, Nebius Group NV, NetEase, Inc, Netmarble Games Corp, Netskope, Inc., Netwealth Group Ltd, NICE Ltd., Ocado Group PLC, Okta, Inc., Ollie's Bargain Outlet Holdings Inc, Opendoor Technologies Inc, Oracle Corporation, PagerDuty, Inc., Palantir Technologies Inc., Palo Alto Networks Inc, PDD Holdings Inc, Peloton Interactive, Inc., Pinterest Inc, Playtika Holding Corp, Prosus, Qualys Inc, Rakuten Group, Rapid7 Inc, Rasan Information Technology, Recruit Holdings, Reddit Inc, Redox Ltd, Revolve Group Inc, RH, Rightmove Plc, RingCentral Inc, Roblox Corporation, Sabre Corp, SailPoint Inc, Salesforce, Inc., Samsara Inc, Scout24, Sea Ltd, SentinelOne, Inc., ServiceNow Inc, ServiceTitan Inc, Shopify Inc, Shutterstock Inc, Siteminder Ltd, SK Telecom Co Ltd, SMG Swiss Marketplace Group Holding AG, Snap Inc., Snowflake Inc., Softbank Group, Sprinklr Inc, Sprout Social Inc, SPS Commerce Inc, Take-Two Interactive Software, Talabat Holding PLC, Target Corp, Temple & Webster Group Ltd, Tenable Holdings Inc, Tencent Holdings Ltd., Toast, Inc., Tongcheng Travel Holdings, Tractor Supply Co, Trade Desk Inc, Trainline PLC, Trip.com Group Ltd, Trustpilot, Tuas Ltd., Twilio Inc, Uber Technologies Inc, UiPath Inc, Ulta Beauty Inc, Uni-President Enterprises Corp., Uniao Pet Participacoes SA, Unity Software Inc, Valvoline Inc., Varonis Systems, Inc., Varun Beverages Limited, Vend Marketplaces ASA, Ventia Services Group Ltd, Vertex Inc., Via Transportation Inc, Vipshop Holdings Ltd, Vishal Mega Mart Ltd, Walmart Inc, Webtoon Entertainment Inc, Weibo Corp, Williams-Sonoma Inc, Wix.Com Ltd, Workday Inc, Yelp Inc, Yesway, Zalando SE, Zeta Global Holdings Corp, Zillow Group Inc, Zoom Communications, ZOZO, Zscaler Inc.

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Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

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Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O or Over) - The stock's total return is expected to exceed the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis over the next 12-18 months.

Equal-weight (E or Equal) - The stock's total return is expected to be in line with the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis over the next 12-18 months.

Not-Rated (NR) - Currently the analyst does not have adequate conviction about the stock's total return relative to the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U or Under) - The stock's total return is expected to be below the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

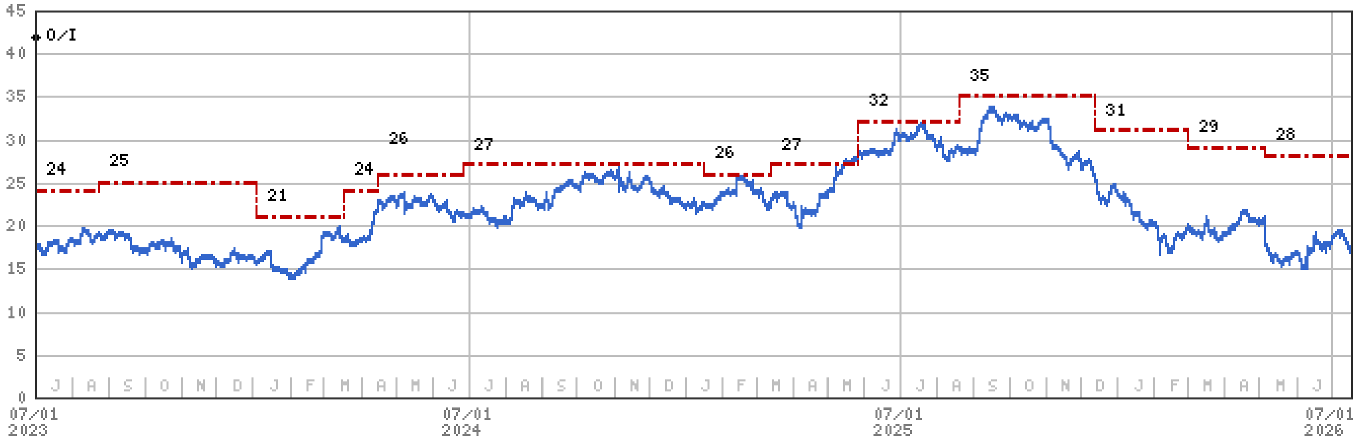
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Coupang Inc (CPNG.N) - As of 07/17/26 GMT in USD
Industry : S. Korea Telecoms & Internet



Stock Rating History: 6/29/22 : O/I

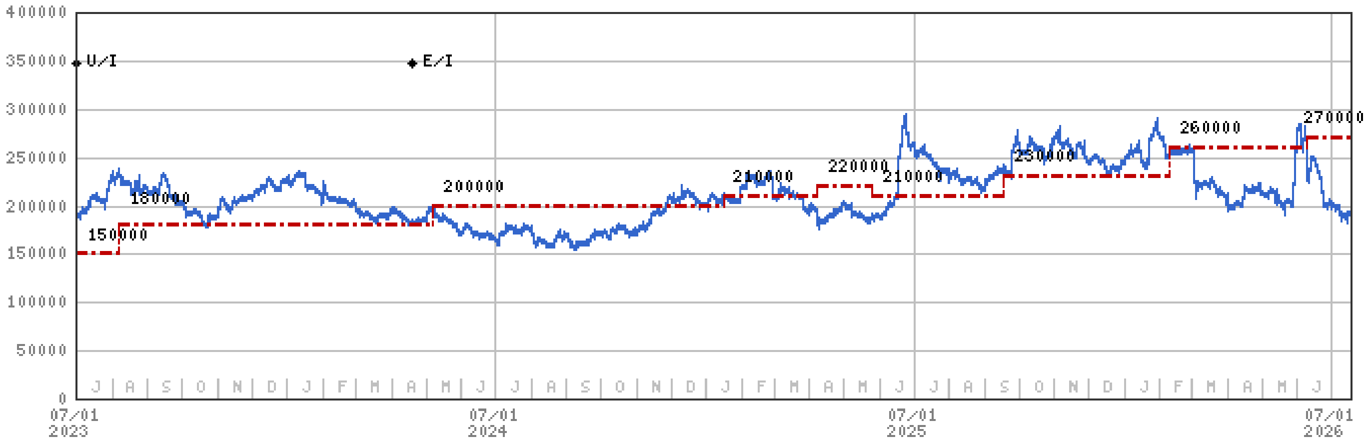
Price Target History: 6/29/22 : 18; 8/15/22 : 25; 11/29/22 : 26; 3/1/23 : 23; 4/10/23 : 22; 5/29/23 : 24; 8/23/23 : 25; 1/4/24 : 21; 3/18/24 : 24; 4/15/24 : 26; 6/26/24 : 27; 1/16/25 : 26; 3/14/25 : 27; 5/27/25 : 32; 8/20/25 : 35; 12/12/25 : 31; 3/2/26 : 29; 5/6/26 : 28

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target -·-   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) —— Stock Price (Covered by Current Analyst) ——
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Naver Corp (035420.KS) - As of 07/17/26 GMT in KRW
Industry : S. Korea Telecoms & Internet



Stock Rating History: 7/1/21 : O/I; 4/22/22 : E/I; 3/13/23 : U/I; 4/19/24 : E/I

Price Target History: 4/29/21 : 460000; 7/1/21 : 500000; 9/28/21 : 480000; 1/10/22 : 410000; 1/27/22 : 370000; 4/22/22 : 320000; 7/18/22 : 260000; 8/8/22 : 230000; 10/14/22 : 160000; 11/7/22 : 150000; 8/7/23 : 180000; 5/7/24 : 200000; 1/16/25 : 210000; 4/8/25 : 220000; 5/26/25 : 210000; 9/17/25 : 230000; 2/9/26 : 260000; 6/10/26 : 270000

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target -·-   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) —— Stock Price (Covered by Current Analyst) ——
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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INDUSTRY COVERAGE: LatAm Retail & eCommerce

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
Alexandre K Namioka, CFA		
Azzas 2154 SA (AZZA3.SA)	E (01/22/2026)	R$18.59
Companhia Brasileira de Distribuicao (PCAR3.SA)	U (01/22/2026)	R$2.60
Vivara Participacoes SA (VIVA3.SA)	O (08/26/2024)	R$22.44
Andrew R Ruben		
BBB Foods Inc (TBBB.N)	O (01/28/2026)	US$40.74
C&A Modas S.A. (CEAB3.SA)	O (01/22/2026)	R$9.75
Cencosud SA (CENCOSUD.SN)	E (12/15/2021)	Ch$1,995.00
El Puerto de Liverpool SAB de CV (LIVEPOLC1.MX)	E (06/03/2025)	M$100.74
Falabella S.A. (FALABELLA.SN)	E (03/16/2025)	Ch$5,835.00
Grupo Casas Bahia S.A. (BHIA3.SA)	U (12/15/2021)	R$1.05
Lojas Renner SA (LREN3.SA)	O (10/10/2024)	R$13.42
Magazine Luiza S.A. (MGLU3.SA)	U (01/15/2024)	R$4.92
Meliuz S.A. (CASH3.SA)	E (09/20/2021)	R$4.32
Mercadolibre Inc. (MELI.O)	O (01/06/2020)	US$1,813.91
Natura Cosmeticos SA (NATU3.SA)	E (08/06/2020)	R$8.55
Sendas Distribuidora S.A. (ASAI3.SA)	E (09/30/2024)	R$8.50
Uniao Pet Participacoes SA (AUAU3.SA)	E (03/03/2026)	R$3.08
Wal-Mart de Mexico (WALMEX.MX)	U (01/28/2026)	M$49.49

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

INDUSTRY COVERAGE: S. Korea Telecoms & Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/16/2026)
Seyon Park		
Coupang Inc (CPNG.N)	O (06/29/2022)	US$16.62
Kakao Corp (035720.KS)	O (02/27/2025)	W35,900
Krafton Inc (259960.KS)	O (07/10/2026)	W240,500
KT Corp (030200.KS)	E (02/24/2026)	W52,400
LG Uplus Corp (032640.KS)	O (01/13/2026)	W14,620
Naver Corp (035420.KS)	E (04/19/2024)	W190,000
NC Corporation (036570.KS)	O (10/25/2024)	W223,000
SK Telecom Co Ltd (017670.KS)	E (07/28/2025)	W89,700
Sohyun Park		
DoubleU Games Co Ltd (192080.KS)	E (07/10/2026)	W61,600
Netmarble Games Corp (251270.KS)	E (05/14/2026)	W36,300
Pearl Abyss Corp (263750.KQ)	U (09/01/2025)	W34,150

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Internet & Media

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
Tetsuro Tsusaka, CFA		
Askul (2678.T)	U (12/06/2024)	¥1,253
CyberAgent (4751.T)	E (01/12/2024)	¥1,484
Dentsu (4324.T)	U (04/06/2026)	¥3,506
Hakuhodo DY Holdings (2433.T)	E (04/06/2026)	¥1,269
Kakaku.com (2371.T)	++	¥3,615
LY Corporation (4689.T)	O (09/11/2024)	¥447
Mercari (4385.T)	O (04/06/2026)	¥4,616

MonotaRO (3064.T)	O (09/12/2025)	¥1,944
Rakuten Group (4755.T)	O (07/08/2026)	¥799
Recruit Holdings (6098.T)	O (11/16/2014)	¥12,820
Softbank Group (9984.T)	E (04/25/2023)	¥5,424
ZOZO (3092.T)	E (04/06/2026)	¥1,193

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
Brian Nowak, CFA		
Airbnb Inc (ABNB.O)	U (12/06/2022)	US$145.98
Alphabet Inc. (GOOGL.O)	O (08/11/2015)	US$346.77
Amazon.com Inc (AMZN.O)	O (04/24/2015)	US$247.23
Booking Holdings Inc (BKNG.O)	O (02/23/2026)	US$181.68
DoorDash Inc (DASH.O)	O (02/21/2024)	US$184.14
Expedia Inc. (EXPE.O)	E (01/09/2019)	US$268.77
Instacart (CART.O)	E (01/29/2024)	US$45.82
Lyft Inc (LYFT.O)	E (10/24/2019)	US$15.52
Meta Platforms Inc (META.O)	O (03/20/2023)	US$646.01
Pinterest Inc (PINS.N)	O (07/20/2025)	US$23.20
Reddit Inc (RDDT.N)	O (12/08/2024)	US$181.18
Snap Inc. (SNAP.N)	E (07/22/2024)	US$4.53
Uber Technologies Inc (UBER.N)	++	US$72.46
Matthew Cost		
AppLovin Corp (APP.O)	O (04/10/2025)	US$424.54
Compass, Inc. (COMP.N)	E (01/12/2026)	US$12.00
Criteo SA (CRTO.O)	E (01/26/2016)	US$22.48
DoubleVerify Holdings Inc (DV.N)	E (06/25/2024)	US$11.42
Electronic Arts Inc (EA.O)	E (08/04/2021)	US$208.90
Liftoff Mobile Inc. (LFTO.O)	E (06/29/2026)	US$22.61
MNTN Inc (MNTN.N)	E (06/16/2025)	US$8.94
Opendoor Technologies Inc (OPEN.O)	E (07/24/2023)	US$4.50
Playtika Holding Corp (PLTK.O)	E (11/27/2022)	US$4.02
Roblox Corporation (RBLX.N)	O (11/04/2024)	US$51.68
Shutterstock Inc (SSTK.N)	E (07/28/2022)	US$7.41
Take-Two Interactive Software (TTWO.O)	O (02/01/2018)	US$236.68
Trade Desk Inc (TTD.O)	E (09/10/2025)	US$18.59
Unity Software Inc (U.N)	O (09/02/2024)	US$28.99
Webtoon Entertainment Inc (WBTN.O)	E (07/22/2024)	US$10.43
Yelp Inc (YELP.N)	U (01/10/2019)	US$26.22
Zillow Group Inc (Z.O)	E (04/18/2018)	US$33.91
Nathan Feather		
Bumble Inc. (BMBL.O)	E (03/08/2021)	US$2.92
Chewy Inc (CHWY.N)	O (10/31/2023)	US$20.93
Duolingo Inc (DUOL.O)	E (02/27/2026)	US$133.85
eBay Inc (EBAY.O)	O (04/18/2024)	US$112.06
Etsy Inc (ETSY.N)	E (07/20/2025)	US$84.10
FIGS, Inc. (FIGS.N)	E (02/29/2024)	US$10.31
Grindr Inc. (GRND.N)	O (07/01/2026)	US$15.26
Match Group Inc (MTCH.O)	E (04/18/2024)	US$39.15
Peloton Interactive, Inc. (PTON.O)	E (03/14/2022)	US$6.12
Revolve Group Inc (RVLV.N)	E (10/20/2024)	US$24.88
WW International Inc (WW.O)	E (08/01/2025)	US$14.57

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* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
David Nolan		
Baltic Classifieds Group (BCG) (BCG.L)	O (01/22/2026)	181p
Trustpilot (TRST.L)	E (05/12/2026)	263p
Ed Young		
Auto Trader Group PLC (AUTOA.L)	E (01/09/2026)	498p
Hemnet Group AB (HEM.ST)	E (04/27/2022)	SKr 85.90
Rightmove Plc (RMV.L)	U (01/09/2026)	451p
Scout24 (G24n.DE)	O (01/09/2026)	€72.35
SMG Swiss Marketplace Group Holding AG (SMGC.S)	O (01/09/2026)	SFr 26.55
Trainline PLC (TRNT.L)	O (02/15/2023)	224p
Vend Marketplaces ASA (VEND.OL)	O (02/13/2024)	NKr 238.00
Luke Holbrook		
Allegro.eu SA (ALEP.WA)	O (06/30/2025)	PLN 43.40
Delivery Hero SE (DHER.DE)	++	€38.96
HelloFresh SE (HFGG.DE)	U (12/09/2025)	€3.71
Jahez International Co (6017.SE)	U (05/29/2024)	SAR 12.49
Kaspi.kz (KSPI.KZ)	E (02/06/2026)	KZT 41,888.87
Kaspi.kz (KSPI.O)	E (02/06/2026)	US$87.91
MONY Group PLC (MONY.L)	E (12/05/2025)	202p
Naspers (NPNJn.J)	O (03/25/2026)	ZAc 84,000
Ocado Group PLC (OCDO.L)	U (09/06/2022)	165p
Prosus (PRX.AS)	O (03/25/2026)	€38.51
Prosus (PROSY.PK)	O (03/25/2026)	US$8.88
Rasan Information Technology (8313.SE)	O (03/12/2025)	SAR 139.00
Talabat Holding PLC (TALABAT.DU)	++	AED 1.17
Zalando SE (ZALG.DE)	E (02/12/2026)	€27.91

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INDUSTRY COVERAGE: India Consumer

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
Archana Menon, CFA		
Aditya Birla Fashion and Retail Limited (ADIA.NS)	O (09/08/2025)	Rs57.85
Brainbees Solutions Limited (BRAE.NS)	E (02/16/2026)	Rs211.57
Britannia Industries Ltd (BRIT.NS)	E (05/09/2024)	Rs5,412.50
Dabur India Ltd (DABU.NS)	U (04/10/2025)	Rs427.20
FSN E-Commerce Ventures Ltd (FSNE.NS)	O (01/31/2022)	Rs323.05
Godrej Consumer Products Limited (GOCP.NS)	E (03/03/2026)	Rs1,071.90
Hindustan Unilever Ltd (HLL.NS)	E (04/10/2025)	Rs2,143.80
ITC Ltd (ITC.NS)	E (01/02/2026)	Rs280.70
Jubilant FoodWorks Ltd (JUBI.NS)	E (04/17/2026)	Rs417.15
Lenskart Solutions Limited (LENS.NS)	O (02/12/2026)	Rs537.20
Marico Limited (MRCO.NS)	O (03/03/2026)	Rs844.00
Nestle India Ltd (NEST.NS)	E (03/03/2026)	Rs1,427.20
Page Industries Ltd. (PAGE.NS)	O (03/14/2023)	Rs39,900.00
Tata Consumer Products Ltd (TACN.NS)	O (01/20/2022)	Rs1,088.60
Titan Company Ltd (TITN.NS)	O (01/31/2025)	Rs4,638.10
Trent Ltd (TREN.NS)	O (08/12/2024)	Rs2,842.40

Varun Beverages Limited (VARB.NS)	O (04/15/2024)	Rs463.35
Shravan Vohra		
Aditya Birla Lifestyle Brands Limited (AITT.NS)	O (09/08/2025)	Rs94.88
Asian Paints Ltd (ASPN.NS)	U (10/22/2021)	Rs2,689.00
Avenue Supermarts Ltd. (AVEU.NS)	O (04/06/2026)	Rs3,951.90
Berger Paints India Ltd. (BRGR.NS)	U (11/02/2023)	Rs493.70
IGI (India) Ltd (ITEN.NS)	O (01/27/2025)	Rs346.35
Kansai Nerolac Paints Ltd (KANE.NS)	U (03/23/2022)	Rs201.28
Vedant Fashions Ltd (VEDN.NS)	U (02/16/2026)	Rs399.20
Vishal Mega Mart Ltd (VSSL.NS)	O (01/26/2025)	Rs110.33

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INDUSTRY COVERAGE: China Internet and Other Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
Eddy Wang, CFA		
Autohome Inc (ATHM.N)	E (02/09/2023)	US$21.53
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US$9.14
JD.com, Inc. (JD.O)	U (11/10/2025)	US$29.62
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US$14.91
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US$17.40
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US$84.14
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US$14.50
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US$114.97
Baidu Inc (BIDU.O)	E (05/17/2024)	US$107.24
Meituan (3690.HK)	O (08/29/2024)	HK$83.65
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK$461.60
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US$2.40
IQIYI Inc (IQ.O)	E (01/19/2023)	US$1.19
JOYY Inc. (JOYY.O)	E (06/02/2022)	US$70.07
Weibo Corp (WB.O)	U (05/17/2024)	US$7.75
Yang Liu		
Bilibili Inc (BILI.O)	O (04/13/2026)	US$18.04
Kuaishou Technology (1024.HK)	O (05/26/2026)	HK$43.28
NetEase, Inc (NTES.O)	O (01/08/2025)	US$131.29
Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK$12.67
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US$42.45

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INDUSTRY COVERAGE: Australia Emerging Companies

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
Chenny Wang, CFA		
ARB Corporation (ARB.AX)	O (09/11/2024)	A$17.79
Audinate Group Ltd (AD8.AX)	E (09/18/2025)	A$1.86
Breville Group Ltd. (BRG.AX)	O (07/13/2020)	A$31.05
Data#3 Limited (DTL.AX)	E (07/01/2026)	A$9.48
Dicker Data Ltd (DDR.AX)	O (05/28/2026)	A$11.63
Eagers Automotive Ltd (APE.AX)	O (08/07/2019)	A$22.20
Fleetpartners Group Ltd (FPR.AX)	O (11/13/2023)	A$2.90

Lovisa Holdings (LOV.AX)	O (12/19/2025)	A$23.35
McMillan Shakespeare Limited (MMS.AX)	O (06/22/2020)	A$19.87
Peter Warren Automotive Holdings Ltd (PWR.AX)	O (08/22/2025)	A$0.91
Redox Ltd (RDX.AX)	E (07/01/2026)	A$3.70
Service Stream Ltd (SSM.AX)	O (06/09/2026)	A$2.51
Smartgroup Corporation LTD (SIQ.AX)	E (02/01/2019)	A$12.99
Ventia Services Group Ltd (VNT.AX)	E (06/09/2026)	A$5.96
James Bales		
Baby Bunting (BBN.AX)	O (03/19/2024)	A$1.30
Bapcor Limited (BAP.AX)	U (02/27/2026)	A$0.41
Corporate Travel Management Limited (CTD.AX)	NR (12/19/2025)	A$4.00
Flight Centre Travel Group Ltd (FLT.AX)	O (01/13/2025)	A$12.18
Generation Development Group Ltd (GDG.AX)	O (12/10/2024)	A$3.56
Gentrack (GTK.AX)	E (11/14/2025)	A$3.10
Hub24 Ltd (HUB.AX)	O (07/17/2025)	A$83.23
Jumbo Interactive Ltd (JIN.AX)	E (06/24/2026)	A$7.09
Life360 (360.AX)	O (06/28/2021)	A$25.61
Netwealth Group Ltd (NWL.AX)	O (07/25/2025)	A$23.48
Objective Corporation Ltd (OCL.AX)	O (10/31/2025)	A$7.13
Propel Funeral Partners Ltd (PFP.AX)	O (01/16/2023)	A$3.20
Siteminder Ltd (SDR.AX)	O (11/01/2023)	A$3.46
Superloop Ltd (SLC.AX)	O (07/21/2025)	A$3.12
Temple & Webster Group Ltd (TPW.AX)	O (03/15/2021)	A$5.16
Tuas Ltd. (TUA.AX)	O (01/31/2022)	A$2.31
WEB Travel Group Ltd (WEB.AX)	E (11/25/2025)	A$2.44

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INDUSTRY COVERAGE: Hardline/Broadline/Food Retail

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
Simeon Gutman, CFA		
Academy Sports and Outdoors Inc (ASO.O)	E (08/15/2022)	US$48.39
Advance Auto Parts Inc (AAP.N)	E (08/26/2021)	US$53.16
Albertsons Companies, Inc (ACI.N)	U (01/14/2026)	US$15.11
Arhaus Inc (ARHS.O)	E (11/29/2021)	US$7.69
AutoZone Inc. (AZO.N)	O (06/15/2022)	US$3,046.44
Best Buy Co Inc (BBY.N)	E (01/19/2016)	US$85.41
BJ'S Wholesale Club (BJ.N)	E (07/23/2018)	US$93.40
Bob's Discount Furniture, Inc. (BOBS.N)	O (03/02/2026)	US$16.21
Costco Wholesale Corp (COST.O)	O (03/16/2020)	US$940.87
Dick's Sporting Goods (DKS.N)	O (08/26/2020)	US$217.36
Dollar General Corporation (DG.N)	E (08/29/2024)	US$125.75
Dollar Tree Inc (DLTR.O)	E (02/16/2016)	US$125.94
Driven Brands Holdings Inc (DRVN.O)	E (01/15/2024)	US$15.22
Five Below Inc (FIVE.O)	E (07/17/2024)	US$202.63
Floor & Decor Holdings Inc (FND.N)	E (11/12/2018)	US$56.79
Grocery Outlet Holding Corp (GO.O)	E (08/05/2025)	US$9.44
Home Depot Inc (HD.N)	O (02/23/2017)	US$338.87
Kroger Co. (KR.N)	E (01/17/2023)	US$58.82
Lowe's Companies Inc (LOW.N)	O (01/21/2015)	US$208.73
National Vision Holdings Inc. (EYE.O)	E (01/17/2023)	US$20.73
O'Reilly Automotive Inc (ORLY.O)	O (01/20/2025)	US$86.05
Ollie's Bargain Outlet Holdings Inc (OLLI.O)	E (05/23/2021)	US$66.51
Petco Health and Wellness co (WOOF.O)	E (05/16/2022)	US$2.66

RH (RH.N)	O (01/12/2025)	US$187.88
Sally Beauty Holdings Inc (SBH.N)	U (06/15/2022)	US$14.88
Target Corp (TGT.N)	O (01/15/2024)	US$139.60
Tractor Supply Co (TSCO.O)	E (10/23/2025)	US$30.51
Ulta Beauty Inc (ULTA.O)	O (01/20/2025)	US$479.57
Valvoline Inc. (VVV.N)	E (01/20/2025)	US$39.97
Walmart Inc (WMT.O)	O (01/23/2019)	US$114.24
Wayfair Inc (W.N)	O (01/15/2024)	US$89.31
Williams-Sonoma Inc (WSM.N)	E (03/14/2024)	US$228.41
Yesway (YSWY.O)	E (05/17/2026)	US$20.89

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INDUSTRY COVERAGE: ASEAN Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
Divya Gangahar Kothiyal		
GoTo Gojek Tokopedia PT (GOTO.JK)	E (01/16/2023)	Rp50
Grab Holdings Ltd (GRAB.O)	O (01/24/2022)	US$3.57
Sea Ltd (SE.N)	O (04/22/2024)	US$104.05

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INDUSTRY COVERAGE: Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	US$44.71
Blackline Inc (BL.O)	O (09/29/2024)	US$30.29
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	US$74.16
Intuit (INTU.O)	O (02/26/2025)	US$291.09
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	US$163.19
Navan Inc (NAVN.O)	O (11/24/2025)	US$25.96
Samsara Inc (IOT.N)	E (03/23/2023)	US$38.32
SPS Commerce Inc (SPSC.O)	E (11/11/2025)	US$65.59
Vertex Inc. (VERX.O)	O (01/17/2024)	US$12.80
Workday Inc (WDAY.O)	E (02/19/2025)	US$144.78
Elizabeth Porter, CFA		
Adobe Inc. (ADBE.O)	E (09/24/2025)	US$237.25
Amplitude Inc. (AMPL.O)	O (01/15/2026)	US$9.60
Autodesk (ADSK.O)	O (08/23/2024)	US$218.35
Figma Inc (FIG.N)	E (08/25/2025)	US$23.95
Five9 Inc (FIVN.O)	E (10/10/2022)	US$25.58
Freshworks Inc (FRSH.O)	E (10/18/2021)	US$10.89
GoDaddy Inc (GDDY.N)	E (07/19/2021)	US$94.35
HubSpot, Inc. (HUBS.N)	O (03/21/2023)	US$224.26
Klaviyo, Inc (KVYO.N)	O (04/29/2026)	US$17.67
LegalZoom.com Inc (LZ.O)	U (07/28/2022)	US$7.72
Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	US$37.88
NICE Ltd. (NICE.O)	O (10/16/2023)	US$100.15
RingCentral Inc (RNG.N)	E (08/08/2023)	US$41.32
Salesforce, Inc. (CRM.N)	O (12/21/2023)	US$170.77
Sprinklr Inc (CXM.N)	E (07/19/2021)	US$5.83
Sprout Social Inc (SPT.O)	E (11/17/2020)	US$8.62
Twilio Inc (TWLO.N)	O (02/24/2025)	US$206.78

Wix.Com Ltd (WIX.O)	O (01/13/2025)	US$51.45
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	US$21.68
ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	US$3.07
Josh Baer, CFA		
Asana Inc (ASAN.N)	U (05/20/2025)	US$7.69
Box Inc (BOX.N)	E (05/21/2024)	US$30.48
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	US$6.05
Commerce.com Inc. (CMRC.O)	++	US$3.04
CoreWeave (CRWV.O)	E (04/22/2025)	US$73.21
Coursera, Inc. (COUR.N)	E (04/22/2026)	US$5.56
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	US$118.91
Docebo Inc. (DCBO.O)	E (05/12/2025)	US$20.38
DocuSign Inc (DOCU.O)	E (01/16/2024)	US$52.74
Lightspeed Commerce Inc. (LSPD.N)	E (02/18/2021)	US$10.40
Microsoft (MSFT.O)	O (01/13/2016)	US$393.82
monday.com Ltd (MNDY.O)	O (08/12/2025)	US$78.69
Nebius Group NV (NBIS.O)	E (01/15/2026)	US$177.71
Sabre Corp (SABR.O)	E (03/16/2021)	US$1.73
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	US$76.00
Shopify Inc (SHOP.O)	O (04/19/2024)	US$123.56
Toast, Inc. (TOST.N)	O (12/16/2021)	US$30.08
Via Transportation Inc (VIA.N)	O (01/20/2026)	US$17.96
Zoom Communications (ZM.O)	E (10/11/2022)	US$91.13
Meta A Marshall		
Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	US$137.10
CrowdStrike Holdings Inc (CRWD.O)	O (03/10/2026)	US$203.08
Fortinet Inc. (FTNT.O)	U (09/02/2025)	US$161.61
Gen Digital Inc. (GEN.O)	E (06/07/2024)	US$26.74
Netskope, Inc. (NTSK.O)	O (10/13/2025)	US$13.59
Okta, Inc. (OKTA.O)	O (12/02/2024)	US$149.35
Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	US$358.68
Qualys Inc (QLYS.O)	U (02/09/2021)	US$159.43
Rapid7 Inc (RPD.O)	E (08/11/2015)	US$12.20
SailPoint Inc (SAIL.O)	O (09/02/2025)	US$15.68
SentinelOne, Inc. (S.N)	E (12/02/2024)	US$19.57
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	US$39.88
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	US$47.54
Zscaler Inc (ZS.O)	E (04/22/2026)	US$149.94
Sanjit K Singh		
Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	US$120.19
Appian Corp (APPN.O)	E (04/30/2026)	US$26.11
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	US$93.29
C3.ai (AI.N)	U (01/04/2021)	US$8.82
Cloudflare Inc (NET.N)	O (12/02/2024)	US$277.66
Datadog, Inc. (DDOG.O)	O (01/12/2026)	US$258.69
Dynatrace Inc (DT.N)	E (02/13/2024)	US$44.41
Elastic NV (ESTC.N)	O (12/16/2024)	US$61.59
GitLab Inc (GTLB.O)	E (01/12/2026)	US$32.72
JFrog Ltd. (FROG.O)	O (12/21/2023)	US$88.54
MongoDB Inc (MDB.O)	O (04/12/2023)	US$312.33
Oracle Corporation (ORCL.N)	E (01/15/2019)	US$126.41
PagerDuty, Inc. (PD.N)	E (01/24/2024)	US$10.30
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	US$132.38
ServiceNow Inc (NOW.N)	O (09/24/2025)	US$103.24
Snowflake Inc. (SNOW.N)	O (06/24/2025)	US$268.90

UiPath Inc (PATH.N)	E (09/07/2022)	US$12.15

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INDUSTRY COVERAGE: Taiwan Consumer and Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/17/2026)
Terence Cheng		
China Airlines Ltd (2610.TW)	E (09/16/2025)	NT$20.75
Eclat Textile (1476.TW)	O (12/04/2014)	NT$333.50
Eva Airways Corp (2618.TW)	O (09/16/2025)	NT$41.20
Feng Tay (9910.TW)	U (02/10/2026)	NT$66.80
Fulgent Sun International Holding Co Ltd (9802.TW)	E (02/10/2026)	NT$73.70
Giant Manufacturing (9921.TW)	O (02/02/2026)	NT$86.60
Lai Yih Footwear Co Ltd (6890.TW)	E (11/24/2025)	NT$173.00
Makalot Industrial (1477.TW)	O (11/07/2025)	NT$216.00
Merida Industry (9914.TW)	O (02/02/2026)	NT$84.00
Momo Com Inc (8454.TW)	U (01/15/2026)	NT$254.00
Nien Made Enterprise (8464.TW)	O (04/10/2026)	NT$359.00
Poya International Co Ltd (5904.TWO)	E (01/15/2026)	NT$615.00
President Chain Store (2912.TW)	U (01/15/2026)	NT$243.00
Uni-President Enterprises Corp. (1216.TW)	U (01/15/2026)	NT$80.00

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